



An Coimisiún
um Rialáil Fónais
**Commission for
Regulation of Utilities**

An Coimisiún um Rialáil Fónais
Commission for Regulation of Utilities

Large Energy Users Connection Policy

Decision Paper

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CRU Strategic Plan 2025-27

Vision, Purpose, and Values



OUR VISION:

Resilient, efficient, sustainable, and safe energy and water services for Ireland.



OUR PURPOSE:

We actively serve the public interest by regulating the provision of energy and water to Irish homes and businesses, while supporting the transformation to net zero.



OUR VALUES:

• Integrity • Professionalism • Openness • Accountability

Executive Summary

The purpose of this decision paper is to set out a pathway for new large demand connection applications to the electricity system which addresses risks in relation to security of supply and system constraints and promotes renewable energy targets, while minimising, where possible, the impact on national carbon emissions.

In recent years, there has been a step-change in electricity demand growth from Large Energy Users (LEUs), largely driven by the increase in data centre developments. Ireland's total electricity demand has grown by 30% over the past 10 years, with data centre demand having greatly contributed to this level of growth. This level of growth is projected to continue over the next 10 years with data centres representing a larger share of total energy demand.

As electricity demand increases, the amount of electricity supply required from new and existing generation also increases. The significant increases in electricity demand over recent years has coincided with a challenging environment for the delivery of grid infrastructure and new generation facilities. The pace at which new electricity demand is being sought by data centres is faster than the pace of network infrastructure delivery and the development of new generation capacity. Ireland's target of 80% renewable electricity in 2030 requires a large proportion of new generation to be from renewable projects such as wind and solar.

Decision

On 21 June 2023 the CRU published a call for evidence paper (CRU202357) to commence this review process, followed by the publication of a consultation paper (CRU2024001) on 15 January 2024. On 18 February 2025 the CRU published a proposed decision paper (CRU202504). This decision paper sets out the Commission's decisions in relation to the Large Energy Users (LEUs) connection policy review.

The table below provides a summary of the Commission's decisions in this paper.

Area	Commission Decision
Category of applicant to which the policy applies	This policy will apply exclusively to all data centres seeking to connect to the electricity network.

De-minimis level	There is a minimum project level in terms of MIC below which elements of this policy do not apply, this de-minimis level will be set at 1 MVA. For data centres falling under the de-minimis level the SOs should continue to take into account the location of the requested connection in respect of whether it is in a constrained or unconstrained location of the electricity network. It is within the SOs remit to determine whether a connection can or cannot be accommodated based on their assessment of each application. No other requirements apply to projects below the de-minimis level arising from this policy.
Data centres with MIC equal to or above de-minimis and less than 10MVA	These data centres are required to provide an autoproducer unit that meets 100% of the demand site's MIC on de-rated basis which participates in the wholesale electricity market. If compliant with autoproducer requirements, no separate requirement for Mandatory Demand Curtailment (MDC) provisions. The associated renewable generation contribution (up to 80% of annual demand) should be acknowledged and can be reflected on a de-rated basis against the autoproducer unit requirement. The de-rated capacity of the autoproducer unit must at a minimum meet the site's MIC for the duration of the connection and be operational.
Data centres with MIC equal to or greater than 10MVA	These data centres are required to provide dispatchable onsite or proximate generation and/or storage capacity which matches their MIC (subject to derating requirements), with this generation being separately connected and metered, and required to participate in the wholesale electricity market. If compliant with onsite or proximate generation and/or storage requirements, no separate requirement for Mandatory Demand Curtailment (MDC) provisions. The associated renewable generation contribution should be acknowledged (up to 80% of annual demand) and can be reflected on a de-rated basis against the dispatchable generation requirement. The connection cannot be operational or ramp up to its full MIC without achieving delivery of associated onsite or proximate generation. The de-rated capacity of the onsite or proximate generation and/or storage must at a minimum meet the ramped or enduring MIC of the site for the duration of the connection and be operational.

Renewable Electricity Requirement	Data centres with MIC equal to or above the de-minimis level are required to meet at least 80% of their annual demand with additional renewable electricity generated in the Republic of Ireland. Data centre should have a 6-year glide path from the date of demand site's energisation in order to meet the requirement of at least an 80% renewable electricity generated in the Republic of Ireland on annual basis.
Location	The SOs should take into account the location of the requested data centre connection and associated generation in respect of whether it is in a constrained or unconstrained location of the electricity network. It is within the SOs remit to determine whether a connection can or cannot be accommodated based on their assessment of each application. The SOs are required to publish regular up to date locational information (existing and outlook) in relation to the availability of capacity on the electricity network and network constraint. The SOs are to provide initial proposals to CRU in relation to these requirements, including how to capture interaction between the transmission and distribution systems, by 31 March 2026.
Connection process	The SOs are required to develop and publish an engagement and connection process for data centre connection applicants by 31 March 2026.

Connection applications will be assessed by the SOs against the requirements of this connection policy prior to the issuing of a connection offer. These requirements may be reflected in the contractual arrangements. Where the SO is not satisfied by reference to the assessment criteria that a connection offer can be made to an applicant consistent with the needs of the electricity system, the application will not be processed by the SO, accordingly, the application will terminate. In a scenario where a connection application cannot be facilitated, the relevant SO should provide sufficient detail to the applicant on why this outcome occurred, and reasons provided shall be based on objective and justified criteria.

Gas connections

The CRU is cognisant that there is considerable interaction between the gas and electricity networks and a coordinated approach to connections to the electricity and gas networks has merit. The CRU consulted upon areas such as the use of biomethane and green hydrogen to reduce the emissions impact of LEU gas-fired demand. The CRU is not proposing to

introduce any new decisions relating to connections to the gas network as part of this review process. The CRU does acknowledge the need to consider what changes may be required in this regard and is actively engaging with Gas Networks Ireland to progress the potential introduction of an interruptible gas capacity product and proposes to consult separately on this topic in the near term.

State-led approach

Given the step change in energy requirements seen over recent years and the scale of the infrastructure development required to support Ireland's digital economy, the CRU is of the view that the scale of potential LEU development requires a longer-term State-led approach encompassing spatial planning, targets-based and plan-led infrastructure development, which drives synergies between environmental and enterprise policy. This will help to ensure that the utility infrastructure required to meet the growing demands will be planned in a coordinated and efficient manner, and will provide certainty to the investment community in relation to planning of future projects. The System Operators (EirGrid, ESBN & GNI) are in the process of carrying out a data centre market intelligence exercise to help to inform a medium to long-term approach. Initial feedback from this suggests that there is potential for in the order of 5.8GW additional demand capacity required for the data centre sector in Ireland in the medium term.

Next Steps

This paper sets out the CRU's decisions following the review of the LEU connection policy. Section 6.2 sets out the new direction to the electricity System Operators under Section 34 of the Electricity Regulation Act 1999. This direction supersedes Direction CRU/21/124 and will apply to all new connection applications for new or additional capacity captured under the scope of the decision. Applications received prior to the publication of this decision and which are currently being processed will continue to be processed under CRU/21/124.

The SOs will publish an engagement and connection process for data centre connection applicants based on this decision by 31 March 2026. Once published new applicants will then have the transparency and clarity required to advance new possible data centre connection applications.

Public/ Customer Impact Statement

Connection policy plays an important role in determining the conditions under which customers can connect to the electricity and gas networks. The connection policy for LEUs can have a consequential impact on economic growth and development in the economy, however it can also have significant impact on security of supply and the ability to meet Ireland's renewable energy targets if not adequately addressed.

In recent years new data centre projects have grown quickly in volume and scale, and these sites display unique characteristics relative to other large users on the electricity network, particularly in their ability to ramp up their demand very quickly. This speed of demand growth can be quicker than the development of network infrastructure and electricity generation and can have implications for the capacity available for other customers.

Security of electricity supply, in a general sense, refers to the electricity system having the appropriate capabilities to maintain supply to consumers. These capabilities are in the form of generation, storage, demand response and network capacity, which in combination meet electricity demand.

The CRU, in developing this new LEU connection policy, remains cognisant of its statutory obligation to protect security of supply.

The Climate Action Plan, published by Department of Climate, Energy and the Environment, sets out a roadmap of actions which aims to lead Ireland to meeting its national climate objectives. This includes a target to increase the proportion of renewable electricity to up to 80% by 2030. The CRU has a function to ensure that grid connection policy takes account of renewable energy policy.

New data centres connecting under this policy will be required to provide new renewable and dispatchable electricity generation. The additional investment associated with these projects will help to address renewable energy targets and security of supply in the context of the additional demand associated with new data centres. Data centres will be able to develop these generation projects directly or contract with other parties to develop them. In order to support the wider electricity network and market, the generation projects will participate in the wholesale electricity market. Participation in the market can also provide a revenue stream to support these investments.

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On the 21 June 2023 the CRU published a call for evidence paper to commence this process, followed by a consultation on 15 January 2024. On 18 February 2025 the CRU published a proposed decision. This decision paper is the final step in this review process.

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Glossary of Terms and Abbreviations

Abbreviation or Term	Definition or Meaning
AIRAA	All-Island Resource Adequacy Assessment
CAP	Climate Action Plan
CAP23	Climate Action Plan 2023
CHP	Combined Heat and Power (simultaneous production of electricity and heat)
CPPA	Corporate Power Purchase Agreement
CRM	Capacity Remuneration Mechanism
CRU	Commission for Regulation of Utilities
CSO	Central Statistics Office
DCCOPP	Data Centre Connection Offer Process and Policy
DCEE	Department of Climate, Energy and the Environment
DECC (now DCEE)	Department of the Environment, Climate and Communications
DETE	Department of Enterprise, Trade and Employment
DSU	Demand Side Unit
DSO	Distribution System Operator
ECP-GSS	Enduring Connection Policy – Generation System Services
EPA	Environmental Protection Agency

Abbreviation or Term	Definition or Meaning
FLAP-D	Frankfurt, London, Amsterdam, Paris, Dublin (major European data centre cities including Dublin)
Gas TSO and DSO	Gas Transmission System Operator and Distribution System Operator (Gas Networks Ireland DAC, GNI)
GCS	EirGrid's All-Island Generation Capacity Statement
GoO	Guarantee of Origin
GWh	Gigawatt-hours
HVO	Hydrotreated Vegetable Oil
ICIS	Independent Commodity Intelligence Services
IT	Information Technology
LDES	Long Duration Energy Storage
LEUs	Large Energy Users
LULUCF	Land Use, Land Use Change and Forestry
MDC	Mandatory Demand Curtailment
MEC	Maximum Export Capacity
MIC	Maximum Import Capacity
MtCO₂eq	Million tonnes of CO ₂ equivalent
MW	Megawatts
MVA	Megavolt-Amperes
NEDS	National Energy Demand Strategy
NERC	North American Electric Reliability Corporation
NG	Natural Gas

Abbreviation or Term	Definition or Meaning
NOx	Nitrogen Oxides
ORESS	Offshore Renewable Electricity Support Scheme
PR6	Price Review 6
RESS	Renewable Electricity Support Scheme
SEA	Strategic Environmental Assessment
SEAI	Sustainable Energy Authority of Ireland
SEM	Single Electricity Market
SFO	Secondary Fuel Obligation
SOs	Generally SO refers to electrical System Operators (EirGrid plc, ESB Networks DAC), but on occasion may also refer to electrical and gas (Gas Networks Ireland DAC) System Operators
The 1999 Act	The Electricity Regulation Act 1999
TSO	Transmission System Operator
WEI	Wind Energy Ireland
XLEU	Extra Large Energy User (XLEU)

1.Introduction

1.1. Commission for Regulation of Utilities

The CRU is Ireland's independent energy and water regulator. The CRU was established in 1999. The CRU's purpose is to actively serve the public interest by regulating the provision of energy and water to Irish homes and businesses, while supporting the transformation to net zero. The work of the CRU impacts every Irish home and business as well as broader society. The sectors the CRU regulates underpin Irish economic competitiveness, investment and growth, while also contributing to international obligations to address climate change.

The CRU is committed to playing its role to help deliver a secure, low carbon future at the least possible cost, while ensuring energy is supplied safely, with empowered and protected customers paying reasonable prices and the delivery of a sustainable, reliable and efficient future for energy and water.

Further information on the CRU's role and relevant legislation can be found on the CRU's website at www.cru.ie.

1.2. Legal context

The legal framework within which the CRU has regard to when preparing this decision is as follows:

The Electricity Regulation Act 1999 (the 1999 Act) provides the following provisions:

- Section 34 provides that the CRU has the power to issue Directions to the Electricity TSO and DSO in relation to the terms and conditions offered to parties seeking to connect to and use the transmission and distribution systems. Those Directions may provide for a range of purposes set out in Section 34(2), and the electricity SOs shall comply with such Directions. Under Section 34(2), Directions given by CRU may provide for, inter alia, those matters which the CRU considers necessary or expedient for the purpose of making an offer for connection to or use of the transmission or distribution system.
- Section 34(2) provides that the CRU has the power to issue directions to the electrical SOs in relation to the terms and conditions upon which applications for an agreement

are to be made and the period of time within which an offer or refusal pursuant to an application is to be made.

- Section 34(4)(a) provides that the electricity SOs are not required to enter an agreement with a person for connection to or use of the transmission or distribution system where they have demonstrated to the satisfaction of the Commission that it is not in the public interest to provide additional capacity to meet the requirements to be imposed by that agreement.
- Sections 9(4) and 9(5) require the CRU in the carrying out of its duties to have regard to a range of matters, the most pertinent of which for the purposes of this Decision are contained at section 9(4)(a)(ii), to secure that all reasonable demands by final customers of electricity for electricity are satisfied, section 9(4)(a)(v), to promote the continuity, security and quality of supplies of electricity, and section 9(4)(a)(vi), to promote the use of renewable, sustainable or alternative forms of energy.
- Section 9(3) provides that it is the duty of the CRU to carry out its functions and exercise the powers conferred on it under the Act in a manner which, in relation to electricity, does not discriminate unfairly between holders of licences, authorisations and the system operators, or between applicants for authorisations or licences.
- Section 9(1)(s) provides that the CRU have the function to have regard to the need to ensure that grid connection policy takes account of renewable energy policy, including any such policy in relation to community energy projects.

The European Internal Market in Electricity framework provides for the following:

- The responsibilities and functions of the electricity SOs, arising under the European Communities (Internal Market in Electricity) Regulations 2000 (SI No 445 of 2000), including the duty to operate and ensure the maintenance of and, if necessary, develop a safe, secure, reliable, economical and efficient electricity systems with a view to ensuring that all reasonable demands for electricity are met.
- Regulation 28 the European Communities (Internal Market in Electricity) Regulations 2005 (SI No 60 of 2005) sets out the CRU's duty in respect of the security of supply of electricity. Regulation 28(5) provides that the CRU shall take such measures as it considers necessary to protect security of supply.
- Directive (EU) 2019/944 of the European Parliament and of the Council of 5 June 2019 on common rules for the internal market for electricity and amending Directive 2012/27/EU, including its recitals, which provide guidance on the operation of the internal market in electricity.

- The principle of equal treatment arising under European law, which provides that individuals or undertakings in comparable situations must not be treated differently or that individuals or undertakings in non-comparable situations must not be treated in the same way, save where such differential or similar treatment (as the case may be) can be objectively justified (i.e. that the measure taken is in pursuit of a legitimate aim and that it is proportionate).
- The principle of proportionality arising under European law, which provides that any measure must be suitable for the purpose of attaining the desired objective and go no further than is necessary for achieving that purpose.
- Directive 2024/1711 aims to put the consumer at the centre of the clean energy transition and includes measures that seek to enhance electricity consumer protection, measures intended to further empower electricity consumers in the market and measures that allow more flexibility to accommodate the increasing share of renewable energy in the grid. Directive 2024/1711 amends Article 31 of Directive 2019/944, focusing on the responsibilities of Distribution System Operators (DSOs) to provide enhanced and transparent network information.
- Regulation (EU) 2024/1747 amends Regulations (EU) 2019/942 and (EU) 2019/943 as regards improving the Union's electricity market design. The amendments to Article 50 of Regulation (EU) 2019/943 require Transmission System Operators (TSOs) to provide significantly enhanced and transparent network information.

The Recast EU Energy Efficiency Directive (Directive (EU) 2023/1791) provides for the following:

- Directive (EU) 2023/1791 raises the EU energy efficiency target, making it binding for EU countries to collectively ensure an additional 11.7% reduction in energy consumption by 2030, compared to the projections of the EU reference scenario 2020.
- Directive (EU) 2023/1791 introduces an obligation for the monitoring and reporting of the energy performance of data centres. Arising from this Directive, Delegated Regulation 2024/1364 also requires data centre operators with a power demand of the installed information technology (IT) of at least 500kW to report now on certain required information and key performance indicators to a European database on data centres.

The Climate Action and Low Carbon Development Act 2015 (the Climate Action Act) provides the following:

- Section 6C of the Climate Action Act provides for the preparation of Sectoral Emissions Ceilings which set out the maximum amount of greenhouse gas emissions that are permitted in different sectors of the Irish economy.
- Under the provisions of section 15 of the Climate Action Act, the CRU and System Operators are required, in so far as practicable, to perform their functions in a manner consistent with, inter alia, the approved climate action plan and the furtherance of the national climate objective.

The Gas Act 1976 provides the following:

- Section 8(2) provides that the gas SO shall carry out its obligations under the Gas Act 1976 in accordance with the Natural Gas Market Directive and having regard to the need to ensure the safety and security of the transmission, distribution and supply of natural gas.
- Section 10A sets out the requirements and different provisions around the terms and conditions with parties for access to gas.

1.3. Ireland's climate targets

Ireland's energy targets have been set in the context of the European Green Deal¹, with Regulation (EU) 2021/1119 of the European Parliament and of the Council² establishing the objective of the EU becoming climate neutral in 2050 at the latest, as well as the target of at least a 55% reduction in greenhouse gas emissions by 2030 compared to 1990 levels.

Ireland's Climate Action and Low Carbon Development Act 2015 (the Climate Action Act)³ provides the statutory framework for Ireland to meet its international and EU climate commitments and commits Ireland to a legally binding path to net-zero carbon emissions no later than 2050, and to a 51% reduction in emissions by 2030.

¹ European Union – December 2019 - Communication from the Commission COM (2019) 640 The European Green Deal – [link here](#)

² European Union – June 2021 - Regulation (EU) 2021/1119 of the European Parliament and of the Council of 30 June 2021 establishing the framework for achieving climate neutrality and amending Regulations (EC) No 401/2009 and (EU) 2018/1999 ('European Climate Law') - [link here](#)

³ Climate Action and Low Carbon Development (Amendment) Act 2021 – July 2021 – [link here](#)

Under section 15 of the Climate Action Act, the CRU and System Operators must, in so far as practicable, perform their functions in a manner consistent with, inter alia, the most recent climate action plan, the furtherance of the national climate objective and the objective of mitigating greenhouse gas emissions.

Climate Action Plan

The Climate Action Plan 2025 (CAP 25)⁴ is the latest update to Ireland's Climate Action Plan. This plan includes measures to increase the proportion of renewable electricity to up to 80% by 2030 and a target of 9 GW from onshore wind, 8 GW from solar, and at least 5 GW of offshore wind energy by 2030. CAP 25 is the fifth Climate Action Plan published by the Government. The plan implements the carbon budgets and sectoral emissions ceilings and sets out a roadmap for taking action to halve Ireland's emissions by 2030 and reach net zero no later than 2050.

Table 1 below sets out the key targets in CAP 25 for the electricity sector.

National Target	2025	2030
Renewable Electricity Share	50%	80%
Onshore Wind	6 GW	9 GW
Solar	Up to 5 GW	8 GW
Offshore Wind	-	At least 5 GW
New Flexible Gas Plant	-	At least 2 GW
Demand Side Flexibility	15-20%	20-30%

Table 1: Climate Action Plan 2025 - Department of Climate, Energy and the Environment

1.4. Government policy

In July 2022 the Government Statement on the *Role of Data Centres in Ireland's Enterprise Strategy* was published⁵. This sets out Government policy aims of enabling the “*twin transitions*” of digitalisation and decarbonisation of Ireland's economy and society. It describes how these transitions must be complementary and for this to happen digital and climate change policies need to move in tandem. This statement describes how data centres

⁴ DECC – April 2025 - Climate Action Plan 2025 – [link here](#)

⁵ DETE – July 2022 - Government Statement on the Role of Data Centres in Ireland's Enterprise Strategy – [link here](#)

are core digital infrastructure and play an indispensable role in our economy and society.

The statement also references the limited capacity for further data centre development in the short term as the key state bodies, regulators and the electricity sector work to upgrade Ireland's infrastructure, connect more renewable energy and ensure security of supply.

The Government Statement also states that capacity that will be available will be in regional locations and must assist in national ambitions to deliver an efficient, low-carbon energy system. The statement noted that 'islanded' data centre developments, that are not connected to the electricity grid and are powered mainly by on-site fossil fuel generation, would not be in line with national policy as they would run counter to emissions reduction objectives and would not serve the wider efficiency and decarbonisation of Ireland's energy system.

The Government Statement also set out national principles that should inform and guide decisions on future data centre development. These principles are:

- **Economic Impact** - The Government has a preference for data centre developments associated with strong economic activity and employment.
- **Grid Capacity and Efficiency** - The Government has a preference for data centre developments that make efficient use of our electricity grid, using available capacity and alleviating constraints.
- **Renewables Additionality** - The Government has a preference for data centre developments that can demonstrate the additionality of their renewable energy use in Ireland.
- **Co-location or Proximity with Future-Proof Energy Supply** - The Government has a preference for data centre developments in locations where there is the potential to co-locate a renewable generation facility or advanced storage with the data centre, supported by a CPPA, private wire or other arrangement.
- **Decarbonised Data Centres by Design** - The Government has a preference for data centre developments that can demonstrate a clear pathway to decarbonise and ultimately provide net zero data services.
- **SME Access and Community Benefits** - The Government has a preference for data centre developments that provide opportunities for community engagement and assist SMEs, both at the construction phase and throughout the data centre lifecycle.

The statement also described how these principles will be reflected in energy, enterprise and planning policy, regulatory and other decisions across Government Departments, local

authorities, enterprise development agencies and other public bodies. The CRU is committed to enabling the twin transitions of the digitalisation and decarbonisation of Ireland's economy and society as outlined in the Government policy statement, within the context of its legislative mandate.

In March 2024, the Department of Enterprise, Trade and Employment published *Powering Prosperity – Ireland's Offshore Wind Industrial Strategy*⁶, which sets out Ireland's significant targets for Offshore Renewable Energy (ORE), noting the CAP23 sets an objective to develop 5GW of installed ORE by 2030, with a further 2GW of non-grid connected capacity to be in development by 2030, rising to 37GW by 2050 with floating technology playing a vital role. The strategy states that the 37GW will meet and exceed Ireland's indigenous electricity needs and sets out how, in the longer term, routes to market for Ireland's abundant clean renewable energy will be considered, as well as assessment of regional development opportunities in areas central to the production of offshore wind energy.

The Programme for Government 2025⁷ notes the role of data centres in Ireland's economy. It also notes the development of a comprehensive plan to accelerate energy generation, connectivity, and planning processes. It states that the plan will emphasise renewable sources to provide certainty for industries making short and medium-term investments and that the plan will also guide the development of data centre infrastructure in alignment with our decarbonisation objectives and growing Ireland's knowledge-based economy.

1.5. Background to LEU Connection Policy review

As part of CAP23, the CRU was assigned the action (EL/23/24) as the lead organisation to "Complete and Publish Electricity Demand Side Strategy and Implementation Plan".

Following extensive consultation, the final National Energy Demand Strategy decision (CRU202467) was published on 15 July 2024 and it has since entered its implementation phase. One of the areas captured by the NEDS was a review of the connection policy for New Demand Connections, with an initial focus on new LEUs. This LEU Connection Policy review commenced in parallel with the NEDS consultation.

On 21 June 2023 the CRU published a Call for Evidence on a Review of Large Energy

⁶ [Powering Prosperity – Ireland's Offshore Wind Industrial Strategy - DETE](#)

⁷ [Programme for Government 2025 - Securing Ireland's Future](#)

Users Connection Policy (CRU202357). This Call for Evidence paper described how Ireland has seen significant growth in demand in recent years, with LEUs contributing significantly to this growth. It highlighted risks that continuing to allow LEUs to connect to the electricity and gas networks in accordance with previously established arrangements may significantly challenge Ireland's ability to meet the Sectoral Emissions Ceilings and climate targets.

On 15 January 2024 the CRU published a Consultation on the Review of Large Energy Users Connection Policy (CRU2024001). This consultation paper and the different options explored built upon the Call for Evidence, looking at how to provide a pathway for new LEU connections to the electricity and gas systems which minimises the impact on national carbon emissions while taking into account capacity of the system in relation to supply of energy and grid infrastructure. A wide range of potential solutions, and contributory/supporting measures were identified, including the potential use of a transition period to meet net zero requirements, location of LEUs in relation to renewable generation and/or storage, non-firm demand connections and demand flexibility.

On 18 February 2025 the CRU published a Proposed Decision on Large Energy Users Connection Policy (CRU202504). This paper set out the Commission's proposed decisions in relation to this area, narrowing down the scope of different options considered earlier during the process. In the intervening period, CRU has continued to engage intensively with stakeholders, including ongoing and regular dialogue with relevant government departments and System Operators on a range of issues for mutual consideration, in order to inform the development of this decision.

The outcome of this work will inform any new direction under Section 34 of the 1999 Act, that may apply to connection applications captured under the scope of the decision. It is intended that direction CRU/21/124 will be superseded by a new direction to the SOs as set out in Section 6.2.

1.6. Purpose of Paper

The purpose of this decision paper is to set out a pathway for new large demand connection applications to the electricity system which addresses risks in relation to security of supply and system constraints and promotes renewable energy targets, while minimising, where possible, the impact on national carbon emissions. The outcome of this work is to set out the decisions that apply to connection applications captured under the scope of this decision.

1.7. Related Documents

- **CRU/21/060** – June 2021 - CRU proposed Direction to the System Operators related to Data Centre grid connection
- **CRU/21/124** – November 2021 - CRU Direction to the System Operators related to Data Centre grid connection processing
- **CRU/202357** – June 2023 - Review of large Energy Users connection policy – Call for Evidence
- **CRU/202356** – June 2023 - Energy Demand Strategy Project - Call for Evidence
- **CRU/2023148** – December 2023 - National Energy Demand Strategy – Consultation
- **CRU/2024001** – January 2024 - Review of Large Energy Users connection policy – Consultation
- **CRU/202467** – July 2024 - National Energy Demand Strategy – Decision
- **CRU/202504** – February 2025 - Large Energy Users connection policy – Proposed Decision

1.8. Structure of Paper

This paper is structured as follows:

- **Section 1** provides an introduction to the CRU and background information;
- **Section 2** describes brief summary proposed decision paper;
- **Section 3** sets out the decision on electricity connections;
- **Section 4** sets out the approach to gas connections;
- **Section 5** sets out other considerations raised as part of process;
- **Section 6** sets out the direction to the SOs;
- **Section 7** future potential evolution of LEU policy;
- **Section 8** sets out the next steps; and
- **Appendix A** sets out a high-level summary of feedback to the Proposed Decision on LEU connection policy CRU202504.

2.Summary of Proposed Decision paper (February 2025)

On 18 February 2025 the CRU published a Proposed Decision on Large Energy Users Connection Policy (CRU202504)⁸. The following sections contain a summary of the proposed decision paper.

2.1. Constrained regions of the electrical system and security of supply

Section 2 of the proposed decision described the 2021 CRU data centre direction. It described how in June 2021 the CRU published a consultation paper (CRU/21/060). This consultation considered a number of mitigation options, these were:

1. Do nothing.
2. Moratorium on data centre connections.
3. Connection measures.

In November 2021 the CRU published a decision paper (CRU/21/124) setting out that the connection measures approach outlined in the consultation would be taken. The decision paper set out assessment criteria for the System Operators to assess applications for the connection of data centres.

Section 2 of the proposed decision paper discussed regional constraints on the electrical system. The section outlined the challenges faced by Ireland in balancing the increasing demand for electricity, driven mainly by the growth of Large Energy Users (LEUs) such as data centres. This section emphasised the impact of data centres on Ireland's electricity system, noting the growing share of electricity consumed by data centres, using 21% of electricity in 2022. Network planning and strategic development were discussed and it was noted that, even with the completion of certain flagged reinforcement works, available additional capacity for large new demand connections may still be limited.

The CRU requested the electricity and gas SOs to conduct a market intelligence exercise with the aims of providing a better understanding of the scale of potential medium-term demand from prospective data centres, helping to inform System Operators, CRU and Government of

⁸ CRU – Feb 2025 – LEU Proposed Decision (CRU202504) - link [here](#)

the risks and potential consequences of seeking to meet such potential demand, and to help inform the potential development of a State-led approach to enable the continued future development of the data centre sector in Ireland.

2.2. Summary table of proposed decision (February 2025)

The table below provides a summary of the Commission's proposed decisions set out in paper CRU202504 in February 2025.

Area	Commission Proposed Decision
Category of applicant to which the policy applies	This policy should apply exclusively to all data centres seeking to connect to the electricity network. The CRU is seeking feedback from respondents as to whether there should be a minimum level in terms of Maximum Import Capacity (MIC) below which this policy, or elements thereof, should not apply and, if so, what would be a reasonable minimum level of MIC e.g. 500kW or 1 MW.
Location	The SOs should take into account the location of the requested data centre connection and associated generation in respect of whether it is in a constrained or unconstrained region of the electricity network. The SOs are required to publish regular up to date locational information (existing and outlook) in relation to the availability of capacity on the network and network constraint. The format of this will be determined through further engagement with the SOs.
Treatment of onsite or proximate generation and/or storage	Data centres connecting to the electricity network will be required to provide dispatchable onsite or proximate generation and/or storage capacity which matches their MIC (subject to derating requirements), with this generation required to participate in the wholesale electricity market. Participation in a mature stable market like the Single Electricity Market (SEM) can provide a revenue stream which can contribute towards offsetting the initial capital outlay required on the generation assets over the asset lifetime. Data centres providing onsite or proximate dispatchable generation as required under this decision will not be required to meet Mandatory Demand Curtailment (MDC) provisions. The ramping up of a new data centre demand connection towards full MIC is linked to achieving delivery of dispatchable onsite or proximate generation and/or storage in the wholesale market. The onsite or proximate generation must build up in a stepwise manner in line with demand, ensuring that the de-rated generation capacity matches the sites MIC, at a minimum.

Demand flexibility	There is no additional requirement for demand flexibility provisions on all new data centre connections, however the System Operators can require demand flexibility provisions from data centres on the local system as deemed necessary on a case-by-case basis. This may help facilitate the contribution to demand flexibility targets as envisioned under the National Energy Demand Strategy (NEDS).
Renewable energy targets and emission requirements	Data centres are required to self-report to the System Operator annually in relation to their use of renewable energy (directly or through Corporate Power Purchase Agreements (CPPAs)) and their sites' emissions, and the System Operators will annually publish information summarising the information provided by the data centres.

Table 2: Summary of proposed decision

Climate Action Act

The proposed decision described how the CRU considers that the current provisions under the Climate Action Act do not provide a sufficient legal basis to allow the CRU to explicitly mandate specific emissions reduction and offsetting measures (e.g. to require that connection applicants put in place arrangements to ensure that emissions associated with a demand connection are fully abated from the time of connection or on a set trajectory). It described that under Section 9 of the Electricity Regulation Act 1999, the CRU does have a basis however to take account of renewable energy policy in the development of electricity connection policy, namely, to promote the use of renewable energy.

Gas

The proposed decision described the considerable interaction between gas and electricity networks. The proposed decision described how the CRU is not proposing to introduce any new decisions relating to connections to the gas network as part of this review process.

Plan or State-led approach

The proposed decision described how, given the step change in energy requirements seen over recent years and the scale of the infrastructure development required to support Ireland's digital economy, the CRU is of the view that the scale of potential LEU development requires a longer-term State-led approach encompassing spatial planning, targets-based and plan-led infrastructure development, which ensures consistency and synergy between energy, environmental and enterprise commitments and policies.

2.3. Responses to the Proposed Decision

The CRU received 81 responses to the Proposed Decision on Review of Large Energy Users Connection Policy (CRU202504), with 9 of these marked as confidential. 72 of these responses are published alongside this consultation paper. A summary of the responses received to Proposed Decision CRU202504 is provided in Appendix A.

3. Decision on electricity connections

In recent years, there has been a step-change in electricity demand growth driven by LEUs, largely driven by the increase in data centre developments. The significant increase in electricity demand over recent years has coincided with a challenging environment for the delivery of grid infrastructure and new generation facilities.

The aim of this policy review is to provide a pathway for new large demand connections to the electricity system which respects security of supply and system constraints and promotes renewable energy targets, while minimising, where possible, the impact on national carbon emissions. Connection policy sets the process for customers to request a new or changed connection on the electricity network and the conditions for access.

2021 CRU data centre direction

In June 2021 the CRU published a consultation paper (CRU/21/060) on security of supply matters and the role of data centres in this context. This consultation considered the following mitigation options:

1. Do nothing.
2. Moratorium on data centre connections.
3. Connection measures.

In November 2021 the CRU published a decision paper (CRU/21/124) setting out that a connection measures approach would be taken. The CRU was of the view that imposing a moratorium on data centre connections would have been disproportionate. The CRU identified risks that continuing to allow data centres to connect to the electricity network in accordance with previously established arrangements would have significantly impacted the CRU's ability to comply with its statutory obligation to protect the security of supply of electricity by ensuring that the electricity system can meet the reasonable demands of all consumers, including the demands of existing data centres. Consistent with the approach taken in decision CRU/21/124 the CRU is of the view that imposing a moratorium on data centre connections at this time is not an appropriate or proportionate approach and proposes to take an approach based on 'connection measures'. This decision sets out connection measures that should be taken.

3.1. Emissions remit

3.1.1. Proposed decision

Proposed Decision CRU202504 described how, under the provisions of Section 15 of the Climate Action and Low Carbon Development Act 2015 (the Climate Action Act), the CRU and System Operators are required to perform their functions in a manner consistent with the furtherance of the national climate objective. There are a range of considerations that contribute to the implementation of Sectoral Emissions Ceilings (SECs) including Government policy, regulatory policy, and planning and environmental conditions.

The CRU notes that the criteria around connection policy are within the remit of CRU and the system operators. In Proposed Decision CRU202504 it described how the CRU considers that the current provisions under the Climate Action Act do not provide a sufficient legal basis to allow the CRU to explicitly mandate specific emissions reduction and offsetting measures.

In Proposed Decision CRU202504 it described how the CRU is of the view that connection policy should take account of renewable energy policy, namely, to promote the use of renewable energy. Proposed Decision CRU202504 referred to the publication of the Electricity Generation and System Services Connection Policy Decision Paper (CRU2024101) in September 2024 which facilitates more timely connection of generation to the electricity system. This update to the connection policy removed the cap on the number of projects to be processed in a given year, thereby facilitating an opportunity for increased connections of renewable energy projects to the electricity system. This can support the delivery of projects to provide renewables additionality for data centres.

3.1.2. Feedback to Proposed Decision CRU202504

A number of respondents to Proposed Decision CRU202504 highlighted concerns about the CRU's interpretation of its legal mandate under the Climate Action and Low Carbon Development Act. Some respondents criticised the CRU for not prioritising low-carbon objectives and for perceived policy uncertainty. Some called for the CRU to take a more proactive role in promoting decarbonisation and aligning its decisions with climate laws and goals. Some respondents expressed disappointment with the CRU's approach, urging it to engage with the government, address legal shortcomings, and revise its policies to better align with climate objectives and legal obligations. There was criticism that the CRU's policies could potentially hinder Ireland's ability to meet its national and international climate targets. Some respondents emphasised the importance of aligning connection policies with

decarbonisation goals to avoid damaging Ireland's reputation in renewable energy and climate action.

Some respondents did not see emissions as falling directly within the CRU functions such as the development of connection policy. One respondent stated they believe there is currently a regulatory gap in the accounting of emissions from data centres in the case of both existing operational and proposed developments. This respondent suggested that it is unclear which government department or organisation is responsible for assessing the impacts of data centre developments on our Sectoral Emissions Ceilings (SEC) and carbon budgets at a 'whole of industry' level, rather than for a single development. Another respondent stated that while they fully supported Ireland's climate targets and have structured their own business model around enabling them, they did not believe that embedding emissions-related conditions directly into connection policy is the correct approach. This respondent stated that this connection process is not an appropriate or effective substitute for coherent climate governance, warning that attempting to use LEU connection policy to deliver carbon outcomes risks legal and planning conflicts, regulatory overreach, and inconsistent decision-making.

Some respondents referred to the judgment of the High Court in *Coolglass Windfarm Limited v An Bord Pleanála* (January 2025), which considered the nature and scope of the obligations imposed on public bodies by Section 15 of the Climate Action Act. Based on this judgment, some respondents stated that the Proposed Decision was not in compliance with the CRU's obligations under section 15(1).

In feedback to Proposed Decision CRU202504 concerns were raised by respondents about the impact of data centre development on Ireland's climate goals. Recommendations included imposing moratoriums on new developments, requiring emissions modelling, and ensuring data centres contribute positively to decarbonisation efforts. The importance of integrating renewable energy into data centre operations and large energy users (LEUs) was emphasised. Suggestions included mandating renewable energy use, promoting corporate PPAs, and ensuring renewable energy additionality to contribute towards meeting Ireland's climate targets. Some respondents raised concerns about policy uncertainty, particularly regarding what was perceived as a shift between the previous public consultations (CRU202357 and CRU2024001) and the Proposed Decision (CRU 202504) from a renewable energy emphasis to dispatchable generation. Some respondents stressed the need for clear guidance and robust policies to support decarbonisation. CPPAs were

highlighted by respondents as a significant mechanism for data centres to meet renewable energy goals, with some respondents including data centres highlighting commitments they have made to meet at least 30-50% of annual site electricity demand through CPPAs. Some respondents proposed more ambitious goals for CPPAs, including real-time net-zero energy matching and hourly emissions reporting. It was suggested a glide path could be developed toward achieving 24/7 renewable energy matching.

3.1.3. Interpretation of CRU functions under Climate Action Act and Electricity Regulation Act

The CRU notes references by respondents to the judgment of the High Court in *Coolglass Windfarm Limited v An Bord Pleanála* (ABP). In this case ABP had refused planning permission to a windfarm development on the basis that the proposed development would materially contravene the (Laois) County Development Plan. The High Court's judgment subsequently quashed ABP's decision to refuse planning permission to Coolglass Wind Farm Limited. The Supreme Court granted ABP leave to appeal the High Court's decision in the Coolglass case and the case was heard in July 2025. The Supreme Court has acknowledged the urgency of this appeal. The decision of the Supreme Court is awaited.

The Climate Action Act sets out that a relevant body shall, in so far as practicable, perform its functions in a manner consistent with:

- (a) the most recent approved climate action plan,
- (b) the most recent approved national long term climate action strategy,
- (c) the most recent approved national adaptation framework and approved sectoral adaptation plans,
- (d) the furtherance of the national climate objective, and
- (e) the objective of mitigating greenhouse gas emissions and adapting to the effects of climate change in the State.

The CRU is a relevant body under the Climate Action Act. The CRU notes, however, that the Climate Action Act does not confer any additional functions on the CRU but places it under an obligation to perform its current functions in a manner consistent with the objectives and policies in section 15(1)(a)–(e) insofar as practicable. The CRU does not consider, therefore, that the Climate Action Act confers a statutory function on the CRU to set a connection policy other than in line with the CRU's other existing statutory functions. The CRU has no existing statutory function in the 1999 Act or otherwise that allows it to set express requirements for

emissions reduction and/or offsetting measures. In contrast, under section 9(1)(s) of the 1999 Act, the CRU has the statutory function of ensuring that grid connection policy takes account of renewable energy policy. Based on this statutory function the CRU intends to require new data centre connections to the electricity system to meet at least 80% of their annual demand with renewable electricity generated in the Republic of Ireland in line with current renewable energy policy and the associated renewable electricity targets. These provisions are described in more detail below in section “3.5 Renewable Electricity Requirement”.

3.2. Category of applicant to the electricity network to which this policy applies

As described in Proposed Decision CRU202504, an important part of this review process is to define the category of applicant to the electricity network to which this policy will apply. It was explored in the Call for Evidence (CRU202357), Consultation (CRU2024001) and Proposed Decision (CRU202504) papers that this definition/scope could be based on a number of different factors. The CRU set out its initial view in the Call for Evidence that this review should focus on the larger end of the LEU category, i.e. for electricity customers at Extra Large Energy User (XLEU) scale e.g. DG10, DTS-T. In consultation CRU2024001, the CRU set out its view that this approach would benefit from further consideration and invited additional stakeholder feedback. In Proposed Decision CRU202504 the CRU proposed to use the criteria of “class of energy user” in defining the category of user on the electricity system to which this policy will apply, and that the policy should apply exclusively to all data centres seeking to connect to the electricity network. It was described that the CRU is of the view that applying the policy to a broader scope of LEUs could create a barrier to electrification of existing large energy users.

3.2.1. Data centres

Respondents to Proposed Decision CRU202504 emphasised the need for clear definitions and classifications of data centres and LEUs. A number of respondents agreed with the proposed approach of this policy applying exclusively to data centres. It was stated that this is justified given the relatively small size of Ireland’s Single Electricity Market, and the growing proportion of total electricity demand utilised by data centres. It was also highlighted that it is important that the beneficial role data centres can play on the electricity system as a whole is recognised. It was described by one respondent that they recognise the impact that data

centres have on a grid such as Ireland's, but any targeted policy should only apply over a certain MIC, while another respondent stated policy should apply to all data centres regardless of size and without a de minimis level being introduced. Some respondents proposed distinguishing between different types of data centres. Some respondents discussed including minimum connection thresholds, setting thresholds for MIC and energy usage, and clarifying policies for different types of data centres. Some respondents raised concerns about policies targeting data centres exclusively, with suggestions that this policy should apply to all LEUs. These respondents highlighted the importance of non-discrimination and the need for balanced approaches to energy consumption and decarbonisation goals. It was acknowledged that the growth in electricity demand from data centres in Ireland is significant, with respondents noting it is crucial to avoid policies that disproportionately impact or discourage investment in this sector.

The CRU considers it most appropriate to use the criteria of “class of energy user” in defining the category of user on the electricity system to which this policy will apply. The large number of data centre connections, and the speed of their demand growth, combined with the typical scale of demand applied for by this class of user has been a major challenge for the electricity grid in facilitating this additional electricity demand with equivalent generation and electricity infrastructure in a relatively short period of time. In CRU decision paper CRU/21/124 it was described how the TSO considers data centres to be a distinct class of demand side energy user due to their energy usage characteristics and strong influence on the electricity system.

As described in Proposed Decision CRU202504 data centres by contrast to many other LEUs have tended to exhibit distinct characteristics of:

- Rapid rate at which contracted demand ramps up.
- Large flat energy profile (limited diversification).

In the context of the Irish energy system, data centres have a concentrated geographic dispersal and represent an unprecedented cumulative scale of energy demand from a particular sector. It was described in Proposed Decision CRU202504 that data centres are having a unique impact on the Irish electricity system, and on the ability of the system to meet reasonable demands, that is not comparable to any other sector or industry, or indeed all other industries combined. Based on the distinct characteristics referred to and as outlined in Proposed Decision CRU202504, the CRU is of the view that this policy should apply exclusively to all data centres seeking to connect to the electricity network.

3.2.2. *Data centre profile characteristics*

The TSO previously indicated to the CRU that it considers data centres to be a distinct class of demand side energy user due to their energy usage characteristics and strong influence on the electricity system. In June 2019 EirGrid published the Data Centre Connection Offer Process and Policy (DCCOPP). In July 2020 EirGrid published an updated version of the DCCOPP. This policy applied to data centres connecting directly to the transmission network or large data centres indirectly connected to the transmission system through the distribution system. This policy outlined a two-stage connection offer process for data centres, and included provisions such as for MIC ramping rates, flexible demand for customers in constrained areas, and provisions for firm capacity where new on-site dispatchable generation is made available to EirGrid. Following extensive engagement between the CRU and EirGrid on security of supply matters and the role of data centres in this context, EirGrid sent a letter to CRU dated 27 May 2021, which outlined their concerns. In response to this, in June 2021 the CRU published a consultation paper (CRU/21/060) which led to a decision (CRU/21/124) and direction to the SOs.

Data centres, like other LEUs, have relatively large energy consumption, however most LEUs ramp up their operations and energy use slowly over time. Data centres as a class, tend to ramp up towards their full Maximum Import Capacity (MIC) far more quickly than other LEUs. The historic growth of data centre load in Ireland over the last decade is shown in the Figure 1 below. Total electricity demand has grown by 30% over the past 10 years, with data centre demand having significantly contributed to this level of growth, with data centre demand up over 460% over the same period. It also shows that the share of total electrical consumption in Ireland represented by data centres increased from circa 5% in 2015 to circa 22% in 2024. Between 2023 and 2024 annual data centre electricity consumption grew by 633 GWh. This growth would be the equivalent of circa 150,000 households' annual electricity demand⁹. Since 2015 annual data centre electricity consumption grew by 5,731 GWh. This level of consumption growth is equivalent to 1.36 million households' annual electricity demand.

⁹ The average household in Ireland uses 4,200 kWh of electricity per annum.

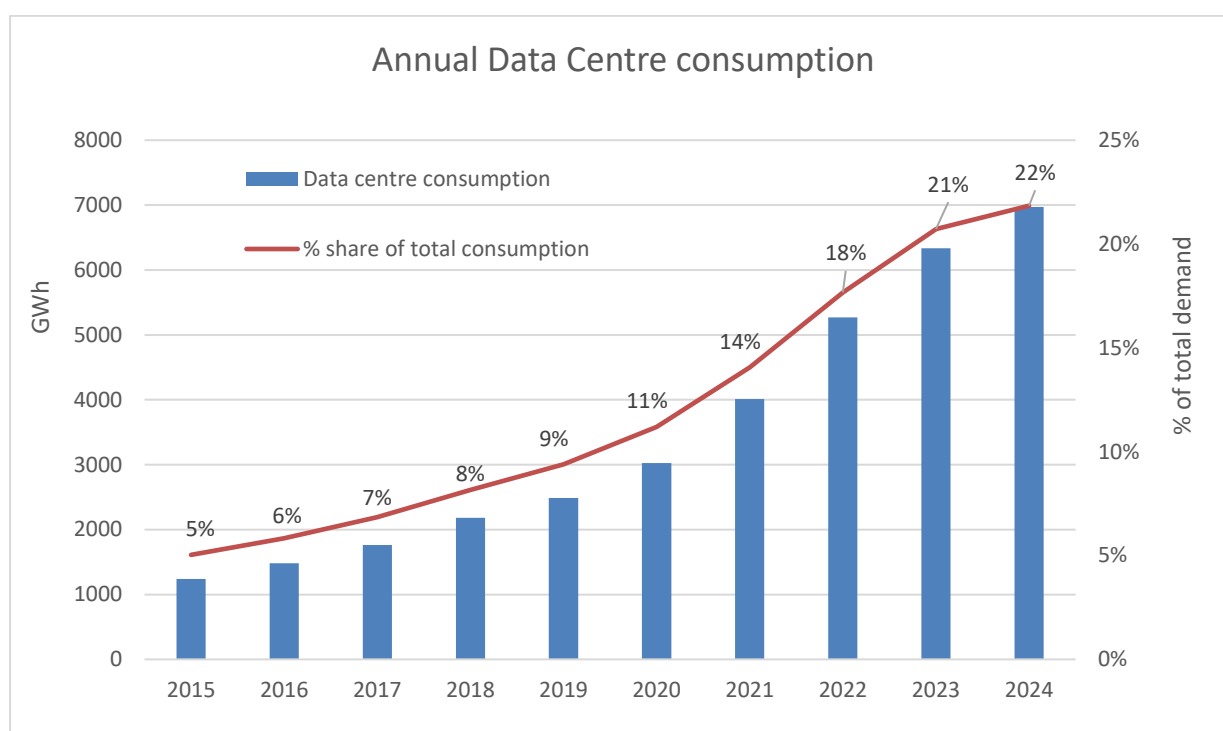


Figure 1: Data centre metered electricity consumption 2015-2024 (CSO)

The scale and speed of electricity demand growth already contracted to the data centre sector is significantly beyond that arising from more general growth in the economy or even that arising from the delivery of Government policy targets to electrify the heating and transport sectors. Figure 2 below from EirGrid's All-island Resource Adequacy Assessment 2025–2034¹⁰ sets out contracted and projected growth in data centre and new technology electricity loads out to 2034. For this analysis EirGrid described how they account for a range of factors that will drive growth from each site. These include historical demand growth rates from existing sites, contracted positions from companies and their growth potential, financial close, planning permission, etc. It was described by EirGrid how this process creates three credible scenarios that drive demand across the low, median, and high forecast scenarios. Decision paper CRU/21/124 described how a data centre with a load of 60 MVA would be comparable to the load usage of a city such as Kilkenny being added to the electricity grid in a relatively short timeframe.

¹⁰ [All-Island Resource Adequacy Assessment 2025-2034](#)

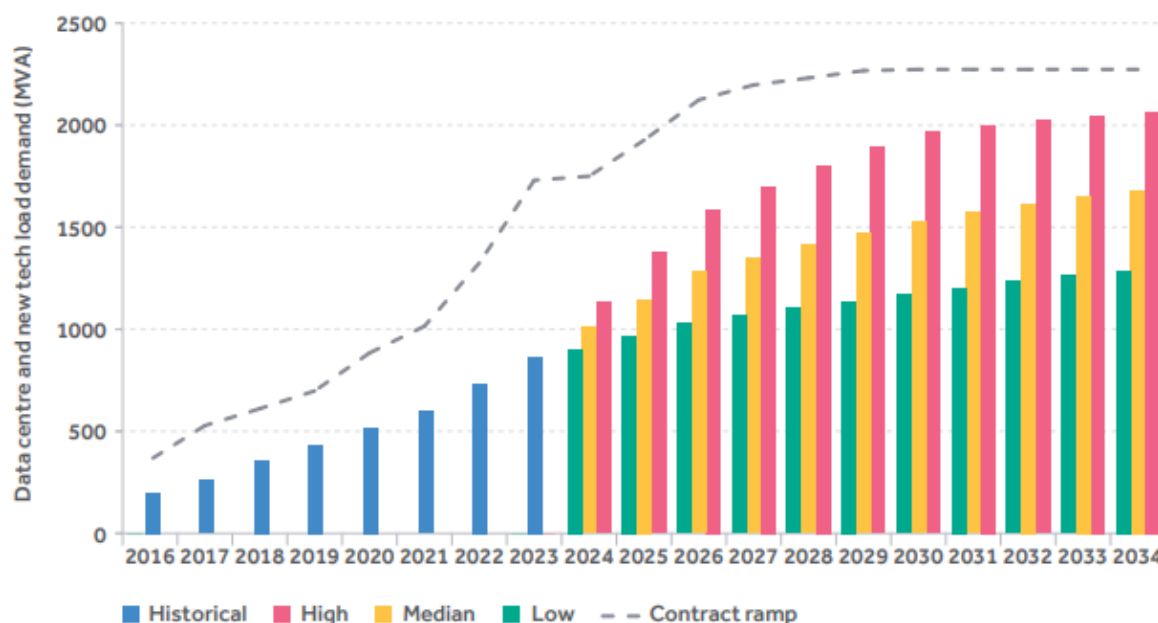


Figure 2: Ireland electricity demand expected from assumed build out of data centres and new technology loads (EirGrid, AIRAA 2025-2034)

In the All-island Resource Adequacy Assessment 2025–2034 EirGrid show the projected proportion of demand for each sector for 2025 and 2034. EirGrid estimates that in the median demand scenario, data centre and new tech load will account for 31% of Ireland's national electricity requirement by 2034 (Table 3 below) based on contracts already signed by system operators.

	2025 (TWh)	% of 2025	2034 (TWh)	% of 2034
Residential	8.44	24%	8.82	19%
Commercial	8.78	25%	7.82	17%
Industrial	6.95	20%	7.04	15%
Electric Vehicles	0.47	1%	3.69	8%
Heat Pumps	1.27	4%	4.55	10%
Data Centres & New Tech Loads	9.41	27%	14.56	31%
Total	35.32		46.49	

Table 3: Ireland median demand sectoral proportion of energy requirement (EirGrid, AIRAA 2025-2034)

3.2.3. Data centre concentrated geographic dispersal

The majority of data centre load is located in the Dublin region, as described in EirGrid's All-island Resource Adequacy Assessment 2025–2034. Figure 3 below shows the high

concentration of data centres in Dublin, with 97% of the total number of data centres in Ireland located in Dublin. This is considerably higher than the next highest concentration of data centres in other European cities which have a large data centre presence. The next highest concentration after Dublin is Amsterdam, where 44% of the data centres in the Netherlands are located.

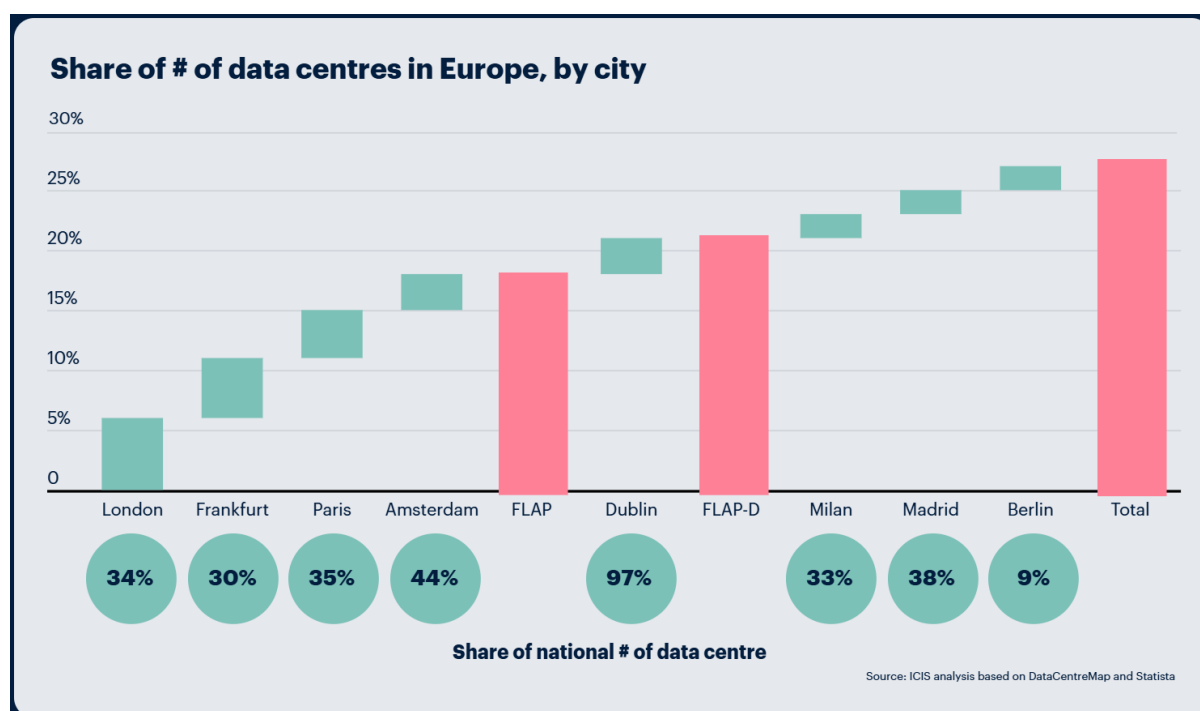


Figure 3: Share of data centres in Europe by city (ICIS 2025) . The FLAP region refers to the major European cities of Frankfurt, London, Amsterdam and Paris, while the FLAP-D region also includes Dublin, which are significant players in the data centre market.

The uniquely rapid increase in demand from these types of demand customers and concentration in the general Dublin region has placed significant pressures on the local system and generation capacity requirements. In Proposed Decision CRU202504 it described a report from October 2023 where EirGrid noted short circuit current/fault levels in the Dublin region as a challenge. EirGrid indicated that this is a safety and system security issue and is related to the amount of generation connected in the Dublin area and the topology of their transmission network. EirGrid set out how Dublin has a high concentration of synchronous generators, and that the electricity network in Dublin is highly meshed. It was also described how the current fleet of generation in Dublin is connected to the 220 kV network, contributing to the difficulty in connecting additional generation in Dublin. On a separate issue EirGrid noted in their feedback as part of this LEU connection policy review that operational issues have arisen regarding the technical performance of data centres on the system which are predominantly located in the Dublin region. EirGrid's observations are

that the collective response of data centres to system faults (fault ride through capability) is exacerbating disturbances on the power system via disconnection and automatic reconnection of their demand, and that this behaviour is presenting some technical challenges.

In order to assess the scale of data centre demand in this region, the CRU has examined metered electricity consumption data¹¹ published on the CSO website which is available on a per county basis. The CRU has focussed its analysis on the Dublin/Meath area given the concentration of data centres in this region and have made the following assumptions:

- The total metered electricity consumption from data centres is assumed to be concentrated in the Dublin/Meath area. This is based on the concentration of data centres in this region.
- The county data for electricity consumption in Dublin/Meath is assumed not to capture the metered electricity consumption from data centres. (The CSO states that a small number of large energy users have not been classified by county for confidentiality reasons. We note that some data centre demand may still be included which, if removed, would result in a calculation which would demonstrate a higher proportion of demand being from data centres).
- The total electricity consumption in the Dublin/Meath region is reflected by adding the relevant county totals and the total data centre metered electricity consumption data.

Figure 4 illustrates the results of this analysis. The analysis suggests that circa 50% of metered electricity consumption in the Dublin/Meath region in 2024 is attributable to data centre load. The rapid increase in demand from data centre customers in the Dublin/Meath region has placed significant pressures on the local grid and generation capacity requirements. The continued contracted ramp up of this contracted data centre demand is likely to have the effect of adding to these local and system wide pressures, adding to the need for timely delivery of new generation and infrastructure.

¹¹ CSO – June 2025 – Data centre metered electricity consumption 2024 – [link here](#)

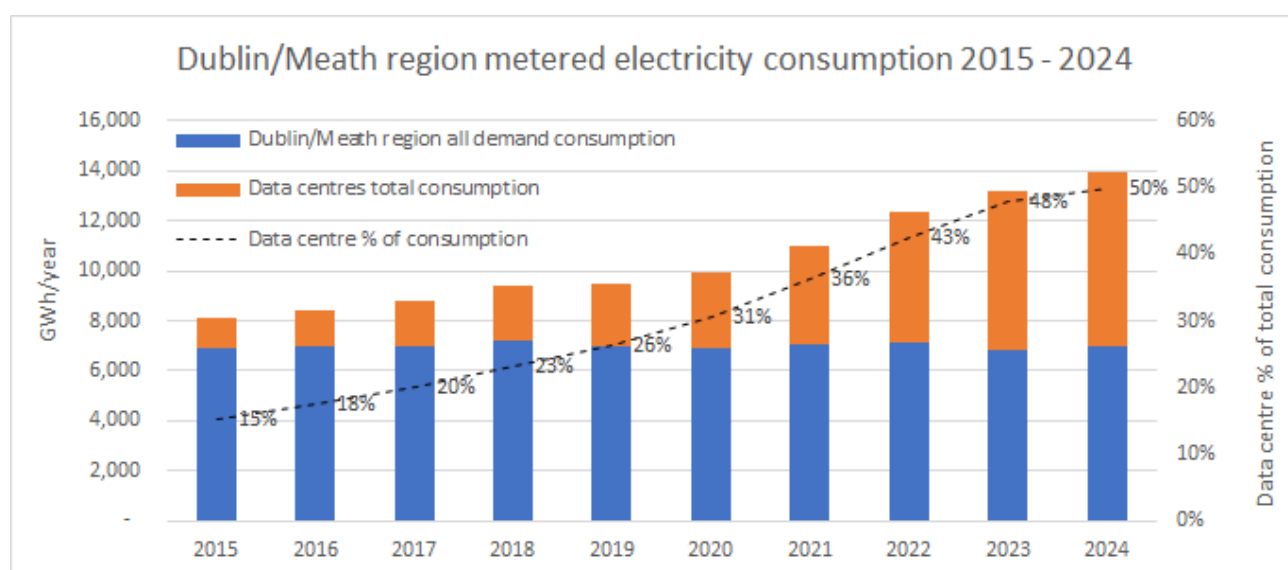


Figure 4: Illustrative graph of Dublin/Meath region and data centres metered electricity consumption

3.2.4. Cumulative scale of data centre electricity demand in Ireland

Proposed Decision CRU202504 referred to the European Commission Joint Research Centre report 'Energy Consumption in Data Centres and Broadband Communication Networks in the EU'¹² which estimated the energy consumption of data centres and telecommunication networks in the European Union (EU-27) for 2022. This report shows the scale of cumulative data centre demand in Ireland in absolute and relative terms (to total nation demand) compared to the EU 27 countries.

Figure 5 below shows how in 2022 Ireland is the fourth highest among the EU 27 countries in terms of the amount of electricity used by data centres in absolute terms. Using the same data, Figure 6 below shows how Ireland in 2022 has by far the highest share of national electricity use by data centres (in % terms) compared to the other EU 27 countries. The report describes that data centres represented 18% of national electricity use in Ireland in 2022, while in the Netherlands it is 5.2%, in Germany it is 3%, and in France it represents 2.2% of national electricity use. This demonstrates Ireland's success to date in connecting data centres in a developer-led environment.

The figures below show the scale of data centre development accommodated already on the

¹² Joint Research Centre – February 2024 - Energy Consumption in Data Centres and Broadband Communication Networks in the EU – [link here](#)

Irish electricity system, representing a far greater percentage of national electricity use compared to all other EU 27 countries in 2022. In addition to this there is more data centre demand contracted to ramp up over the coming years.

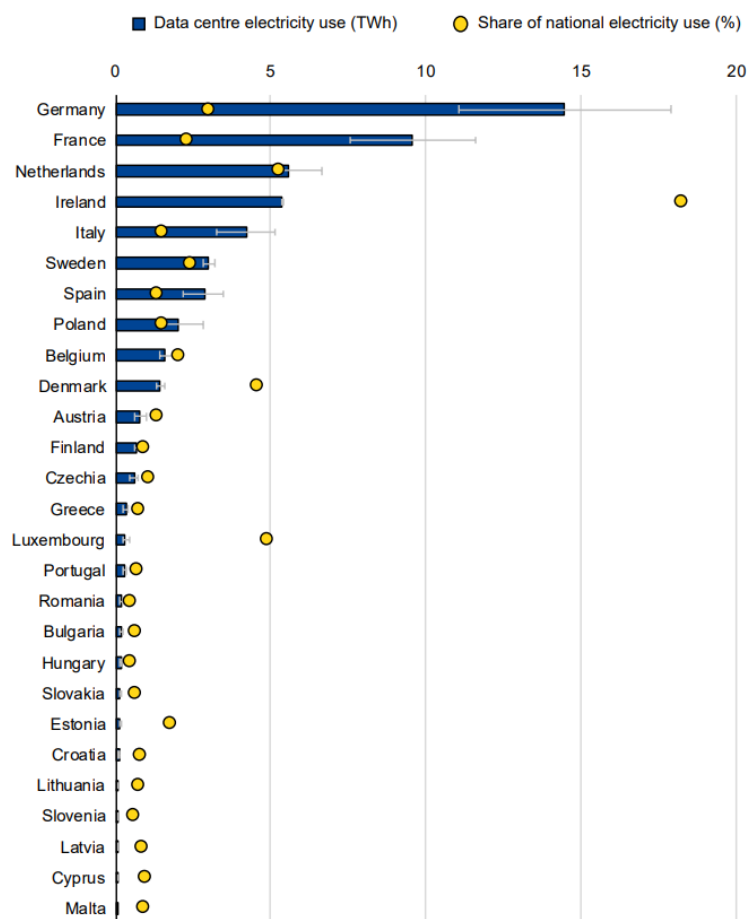


Figure 5: Estimated data centre electricity use by country, 2022 (JRC)

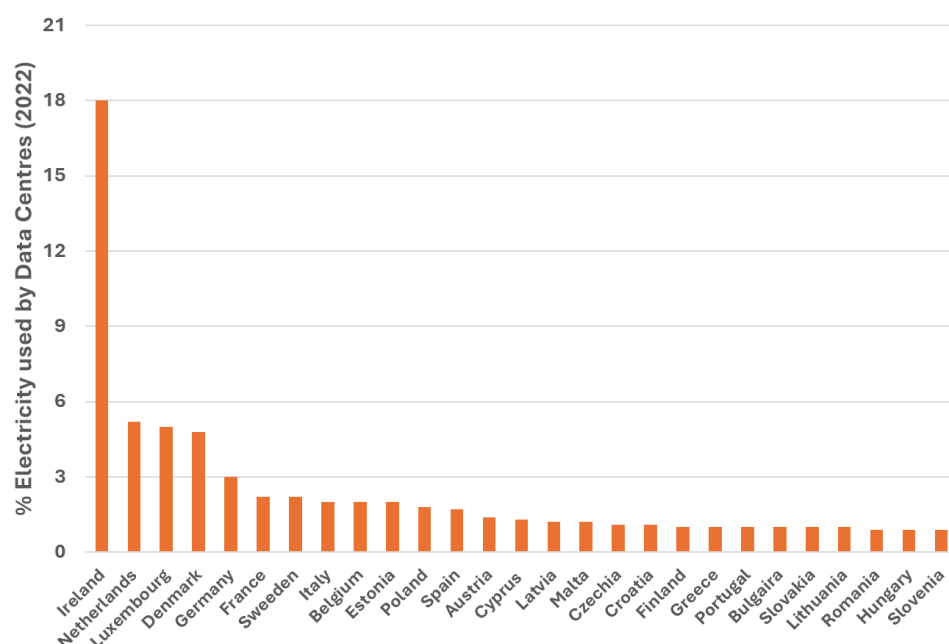


Figure 6: Estimated percentage of electricity used by data centres by country in 2022 (JRC)

The CRU notes that challenges with the rapid increase of data centre demand on the electrical system have also been experienced in other jurisdictions such as in the Netherlands, North America and Singapore. In Amsterdam and across the Netherlands restrictions remain in place since 2019 in relation to new hyperscale developments. These restrictions capture data centre projects with an IT capacity of 70 MW or more, or footprint above 10 hectares in size. Such projects are prohibited in most parts of the country, with a number of exceptions for sites in the north of the Netherlands. In Singapore a moratorium was put in place by the city state's government in 2019. This was imposed due to concerns about sufficient availability of electricity and development space. New development is controlled through the Data Centre Call for Application (DC-CFA) scheme, with the last round launched in 2023. New data centre developments are required to meet strict sustainability criteria, including energy and water efficiency. In the United States, Virginia is home to a large cluster of more than 200 data centres, with this area known as Data Centre Alley. During summer 2024 a large number of data centres (60) dropped their load from the grid and switched to onsite generation in a very short space of time. This event created operational challenges for the system, causing a large imbalance between electricity supply and demand due to the sudden large surge in excess electricity on the network. This event and the risk it created to operational security is similar in nature to EirGrid's concerns relating to fault ride through. A North American Electric Reliability Corporation (NERC) White Paper published in 2025 and titled Characteristics and Risks of

Emerging Large Loads¹³ states *“In addition to the rapid, demonstrated, and forecasted growth of emerging large loads, the characteristics that inform their electrical behavior are not as predictable as conforming loads. The electrical behavior of emerging large loads during both normal and abnormal grid conditions represents new challenges for planners and operators.”* Consultation paper CRU2024001 described how requirements which may be put in place under this policy will have to take into account a number of challenges including electricity grid infrastructure limitations and available generation. As described in Proposed Decision CRU202504 the CRU is of the view that allowing data centres to connect to the electricity network without requiring them to contribute to system adequacy may impact on the security of supply of the electricity system, and could result in potential system-wide impacts.

3.2.5. *De-minimis level*

In Proposed Decision CRU202504, the CRU described that there may be a minimum level in terms of MIC below which this policy, or elements thereof, may not apply. It was noted that there is a risk that setting a threshold could result in a high number of applications below that threshold which could give rise to security of supply or network constraint risks when aggregated. The CRU sought feedback from respondents as to whether there should be a minimum level in terms of MIC below which this policy, or elements thereof, may not apply and, if so, what would be an appropriate minimum level of MIC, for example 500kW (in line with Article 12 of the Energy Efficiency Directive) or 1MW. Some respondents to the proposed decision suggested different MIC thresholds which could be applied, ranging from 100 kW to 20 MW, with arguments for different levels based on technology, system risk, administrative burden, and the impact on smaller facilities. It was suggested that gas and electricity consumption / demand should be coordinated to inform a de-minimis level e.g. 50MWth would relate to 20MWe. Some respondents raised concerns about the potential negative effects of strict policies on smaller data centres, including SMEs and local facilities, while other respondents did not support the setting of a minimum level of MIC below which this policy would not apply. Some respondents highlighted the risk of applicants splitting projects into smaller sub-projects to bypass thresholds. Some respondents recommended solutions such as regulatory clarity and aggregated treatment of multiple applications for the same project to mitigate this risk.

¹³ NERC – July 2025 - Characteristics and Risks of Emerging Large Loads - link [here](#)

The CRU is of the view that there should be a minimum level in terms of MIC below which elements of this policy do not apply. The CRU sees merit in the points raised as part of its consultation about potential negative impacts of some of these requirements being placed on smaller data centre sites. It may be disproportionate or overly onerous to mandate for these smaller users to provide services such as dispatchable generation and/or to meet renewable energy requirements. For example, one energy service provider respondent described utilising a modular approach from a size of 1 MW up to larger sizes of generation capacity in providing different energy services. The CRU notes that locational elements may still need to remain in place for security of supply purposes regardless of any de-minimis limits, with the SOs needing to take into account the location of the requested connection of applicants in respect of whether it is in a constrained or unconstrained region, in considering whether a connection offer can be made. The CRU is of the view that a de-minimis level should be set at a sufficient level so as not to undermine security of supply or inadvertently exacerbate network constraint risks.

The CRU is of the view that the de-minimis level of MIC below which elements of this policy do not apply should be set at 1 MVA. The CRU is of the view that applicants below the de-minimis level should not have to provide dispatchable generation and/or storage or renewable energy requirements. However, the CRU is of the view that the SOs should continue to take into account the location of the requested connection in respect of whether it is in a constrained or unconstrained region, in considering whether a connection offer can be made to applicants below the de-minimis level. The CRU considers this de-minimis level as striking an appropriate balance in not applying certain provisions of this policy on data centre connection applications below a certain scale while still mitigating risks relating to security of supply and network constraint. For example, it may be disproportionate for demand sites below this level of 1 MVA to provide services like dispatchable generation to the system or meet renewable electricity requirements. This could be due to economies of scale and the administrative burden created by such requirements. In the CRU's view, not putting requirements for the provision of generation on demand sites below this de-minimis level of 1 MVA should not have a disproportionate impact on security of supply.

The CRU notes concerns raised regarding potential behaviour by applicants such as 'project splitting'. The CRU notes that this de-minimis threshold of <1MVA is based on the size of the whole project. Existing projects increasing their MIC to 1MVA or more (even if the requested increase in capacity is <1MVA) would not be captured under the de-minimis, as this de-minimis level applies to the whole project. In the CRU's view multiple applications below the de-minimis level for the same project/owner will not be permitted and must be treated on an

aggregated basis. Any behaviour of separating a project into multiple applications/sub-projects in order to qualify under the de-minimis level will not be deemed acceptable by the System Operators, as this would undermine this policy and potentially increase security of supply and network constraint risks. The CRU may review this de-minimis provision and level it is set at going forward as necessary.

Decision

The Commission has made a decision that this policy will apply exclusively to all data centres seeking to connect to the electricity network.

The Commission has made a decision that there is a minimum project level in terms of MIC below which elements of this policy do not apply. This de-minimis level will be set at 1 MVA.

The Commission has determined that for data centres falling under the de-minimis level the System Operators should continue to take into account the location of the requested connection in respect of whether it is in a constrained or unconstrained location of the electricity network. It is within the SOs remit to determine whether a connection can or cannot be accommodated based on their assessment of each application.

No other requirements apply to projects below the de-minimis level arising from this policy.

3.3. Requirements for data centres that are equal to or above the de-minimis (1 MVA) level and have an MIC <10MVA

The CRU considers that it is necessary and proportionate to issue directions to the SOs that will promote and maintain the continuity, security, and quality of supply of electricity and ensure that system security standards are not breached. At the same time, the CRU considers it is appropriate, where possible, to facilitate the continued connection of data centres that can provide support equivalent to their own demand so as not to negatively impact the stability of the electricity grid. In Proposed Decision CRU202504 the CRU proposed that data centres would be required to provide onsite or proximate generation and/or storage which matches their MIC (subject to derating requirements outlined below), with this generation being separately metered and required to participate in the wholesale electricity market.

Feedback to Proposed decision CRU202504

In the feedback to the proposed decision some respondents proposed distinguishing between hyperscale, wholesale, and retail data centres within this policy. Some respondents described the impacts of the different data centre types and differences between these. It was described that hyperscale self-build represents three-quarters of the existing data centre footprint in Ireland in terms of capacity (MW). Over half of Ireland's operational data centres have IT capacity below 10 MW, with these data centres constituting less than 18% of the total MIC power capacity of all operational data centres in Ireland. Data centres with capacity above 10 MW IT are contracted for 82% of data centre MIC capacity on the national electricity network. Some respondents suggested including exemptions or less stringent requirements for smaller facilities (lower MIC) to avoid stifling growth and innovation. Some respondents suggested that requirements for dispatchable generation in the SEM from smaller data centres were unreasonable. Some respondents to Proposed Decision CRU202504 suggested alternative approaches to requiring generation that participates in the SEM to ensure flexibility and reduce onerous requirements. These respondents suggested allowing non-market-integrated on-site generation, to reduce barriers while ensuring system flexibility and reliability.

Treatment of smaller data centres

The CRU notes there may be some merit in having different requirements for smaller data centres versus requirements placed on larger data centres, which still meet the overall requirements of this policy. For example, for a demand connection below a certain scale it may be proportionately more onerous to require a separate connection and metering for any required generation and/or storage. However, the CRU sees merit in leveraging the existing scheduling and dispatch, and settlement systems used in the SEM. This may justify using a market unit in the SEM which would facilitate behind the meter arrangements, such as an autoproducer unit that can be traded and dispatched through the SEM. As part of the engagement process on this policy, a concern raised by ESB Networks was the additional use of substation equipment that would be required for separate connections for demand and generation. This may also contribute towards justification for different requirements for smaller data centres below a certain size.

In order to meet the overall requirements of this policy and to acknowledge the distinction between larger and smaller data centre sites, the CRU sees merit in requiring smaller data centres to support the system with behind the meter services in the form of an autoproducer

which participates in the wholesale electricity market (SEM). The CRU favours a centrally dispatched approach for this requirement which will help facilitate the optimum solution on a system-wide operational basis where possible via existing market structures. This will help the system to make efficient use of available renewable electricity on the system. The CRU considers that it is necessary for these services to be provided through the SEM to assist in ensuring the continuity, security, and quality of supply of electricity is maintained. These arrangements would allow these sites to develop and engineer solutions behind the meter which support the system and are on the same electrical line as the demand. The CRU notes that the demand site would benefit from avoided network charges and energy payments based on the net energy position of the site. This may have an impact on the amount these sites contribute to support the system and on the overall charging base. While the requirement for the generation to be registered and dispatched through the market is expected to reduce the impact of these arrangements on the overall tariff charging base, the CRU considers that there should be a threshold below which these arrangements are considered appropriate to further limit the impact. In the CRU's view the threshold should be for applicants seeking an MIC equal to or above the de-minimis level (1MVA) and below 10MVA. The requirements on data centres captured in this category would be distinct to those described in sub section "3.4 Requirement for all data centres equal to or above 10 MVA".

Approach for data centres with MIC $\geq$ de-minimis level & < 10MVA

Data centre connection applications equal to or above the de-minimis level (1MVA) and with an MIC <10MVA will be required to provide an autoproducer in the SEM which matches 100% of the demand site's MIC on a de-rated basis (reflecting the underlying technology), facilitated through assets situated behind the demand site's meter. The data centre, acting as an autoproducer, would be required to set up as a trading site in the SEM. This autoproducer would need to be able to run on an operational basis e.g. not be bound by limited run hours outside of agreed levels of routine necessary maintenance. The de-rated capacity of the autoproducer unit must at a minimum meet the site's MIC for the duration of the data centre demand connection and be operational. In the CRU's view the autoproducer should have to meet some minimum performance and availability requirements. This new capacity should be made available to the system on an operational basis in order to reflect the additional demand capacity of the data centre and support the continuity, security, and quality of supply of electricity for the wider system. As described in Section 3.9.3 Connection process and assessment the CRU requires the electrical SOs to each publish an engagement and connection process for data centre connection applicants by 31 March 2026. As part of this process the SOs will outline minimum expected performance and availability requirements

for autoproducer units. In relation to the performance and availability of the autoproducer unit, it is envisaged that reliability of service will be a contractual requirement for the data centre demand connection. If the performance and availability of the autoproducer site falls below this minimum expected reliability or provision of available capacity to the system, the SOs will have the ability to reduce the MIC of the related data centre's demand connection. This should be set out by the SOs within contractual arrangements. The CRU is of the view that the provision of an autoproducer in the SEM which is compliant in meeting 100% of the demand site's MIC on a de-rated basis as described in this section removes the need for additional Mandatory Demand Curtailment (MDC) measures.

Participation of the autoproducer in the SEM leverages the existing market settlement systems, providing a participant with remuneration from the wholesale electricity markets for providing these services to the system. Any autoproducer units developed by data centres under this approach would participate through the existing market structures, contributing to price formation in these different markets. Excluding assets of this scale (and possibly multiple sites) from the existing market structures could distort the operation of the wholesale market.

Acknowledgement of renewables contribution

Section 3.5 Renewable Electricity Requirement sets out a new requirement that at least 80% of annual demand annual should be met with renewable electricity generated in the Republic of Ireland. The CRU is of the view that renewable generation contracted to provide up to 80% of annual demand should be taken into account when determining the requirement for autoproducer unit in the SEM (e.g. meeting the MIC on de-rated basis). This associated renewable generation can be reflected on a de-rated basis against the de-rated autoproducer requirement. The de-rating to be applied for the purposes of connection requirements will be informed by the de-rating curves that are published in most recent CRM T-4 capacity auction information packs as part of the CRM auctions in the wholesale electricity market (SEM). The de-rating information to be used to inform the sizing of the generation in the autoproducer unit in relation to the sites MIC will be the most recent available at the time of the planning submission.

Other considerations

The CRU considers that there may be cases where multiple data centres with an MIC of less than 10MVA may seek to join together to develop a single shared generator and or storage facility. Equally a single data centre with an MIC of less than 10MVA may seek to develop a separately connected proximate generator and or storage facility. Insofar as the proximate

generation and/or storage is able to comply with the requirements as set out in Section 3.4 and meets the combined MIC of the data centre(s) on a de-rated basis, then these approaches could be deemed acceptable. The CRU notes that there may be local system reasons why the relevant SO would not be able to accommodate these configurations for generation and/or storage as a solution or where alternative connection arrangements may be required. This assessment would be done on a case-by-case basis by the relevant SO.

The CRU notes that any potential behaviour by applicants such as ‘project splitting’ in order to fit a larger project into this smaller data centre category is not appropriate. The CRU notes that the MIC <10MVA threshold is based on the size of the whole project. Multiple applications below the threshold level (<10MVA) for the same project will not be permitted and the requirements of this policy must be considered on an aggregated basis in such scenarios. Any behaviour which is considered by System Operator(s) to have the effect of separating a project into multiple applications in order to qualify under the threshold level (<10MVA) will not be deemed acceptable, as this would undermine this policy and potentially increase security of supply risks. The CRU may review these requirements going forward in light of performance of the above arrangements and new developments in the evolution of the network.

Decision

The Commission has made a decision that data centres which are above the de-minimis level (1MVA) and have an MIC <10MVA are required to provide an autoproducer unit that meets 100% of the demand site’s MIC on de-rated basis which participates in the SEM.

The Commission has made a decision that the associated renewable generation contribution (up to 80% of annual demand) should be acknowledged and can be reflected on a de-rated basis against the autoproducer requirement (see Section 3.5 Renewable Electricity Requirement).

The Commission has made a decision that any data centres which are equal to or above the de-minimis level (1MVA) and have an MIC <10MVA and compliant in providing autoproducer unit as required under this decision will not be required to meet MDC provisions.

The Commission has made a decision that, for any data centres which are equal to or above the de-minimis level (1MVA) and have an MIC <10MVA, the de-rated capacity of the autoproducer unit must at a minimum meet the site’s MIC for the duration of the connection and be operational.

3.4. Requirements for all data centres equal to or above 10 MVA

The CRU is of the view that data centre connection applications seeking a Maximum Import Capacity (MIC) of 10MVA and above should be required to provide onsite or proximate generation and/or storage with a Maximum Export Capacity (MEC) which is equal to or greater than their MIC (subject to derating requirements), with this generation being separately connected and metered, and required to participate in the wholesale electricity market. Also depending on the size of the site's MIC, an applicant may choose, or it may be required by the relevant SO, that this generation is provided in the form of a number of separate dispatchable generator units. As described in Proposed Decision CRU202504 the scale and speed of new data centre demand presents an infrastructure development timing challenge, with the potential for this significant new demand to connect faster than the required generation capacity or network capacity can be delivered. Requiring a data centre to provide onsite or proximate generation which participates in the wholesale markets would ensure that the additional operational electricity needs of the demand site are catered for through the market while maintaining the continuity, security, and quality of supply of electricity for the wider system. The CRU notes that data centre demand sites may develop the generation assets directly or may choose to contract with service providers to meet these requirements. Figure 7 below sets out an indicative diagram of these arrangements.

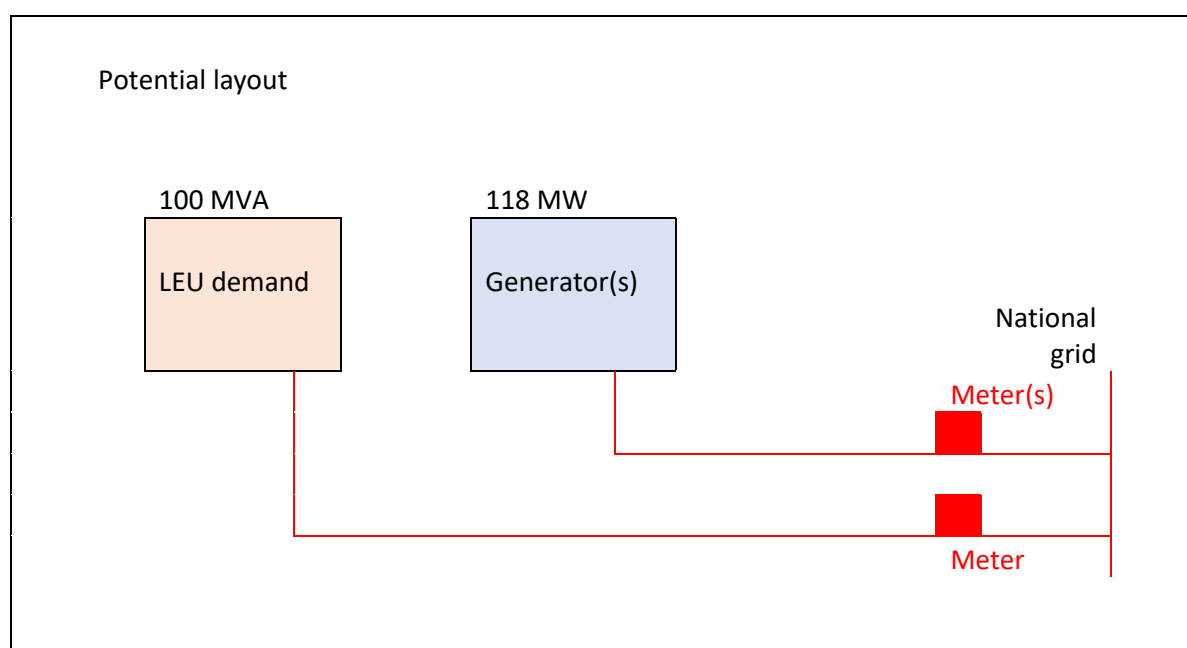


Figure 7: Indicative diagram of onsite or proximate generation arrangements

3.4.1. Separate connection and metering

The CRU is of the view that data centres with MIC equal to or greater than 10MVA should be required to provide onsite or proximate generation and/or storage which is connected separately and metered separately to the data centre demand connection. In feedback to Proposed Decision CRU202504 some respondents supported the requirement for onsite/proximate generation to be independently connected to the grid, with this seen as beneficial for ensuring system reliability and optimising the use of dispatchable energy plants. Other respondents raised concerns about the practicality and economic viability of separate connections for onsite/proximate generation. One respondent highlighted the need for significant infrastructure investment due to the requirement for a separate grid connection for each generator, resulting in increased capital expenditure for data centres and grid operators. One respondent was of the view that this setup introduces inefficiencies in energy use, as power generated on-site must first be exported to the grid before it can be consumed by the data centre, causing unnecessary transmission and/or distribution losses. This respondent suggested that a more technically and economically efficient approach would be to integrate onsite generation directly with LEU demand.

The CRU considers the requirement for data centres to provide onsite or proximate generation and/or storage which is separately connected and metered to be the optimum approach for the system, supporting security of supply. By requiring a separate connection point, the SO has full visibility of the generation unit which can provide system services such as operating reserve and reactive power without impacting the operation of the demand unit. The required onsite or proximate generation and/or storage will be connected separately and centrally dispatched similar to any other generator in the SEM serving the energy needs of the overall system and not just the specific data centre site, enabling the optimum use of generation for the overall system on an ongoing basis. All electricity market charges and a significant percentage of electricity network charges are levied on SEM demand on a €/MWh basis. In this approach all of the data centres energy volume would face these network charges, helping to support the system. The CRU notes similar considerations by authorities in other markets such as in North America¹⁴.

¹⁴Powermag – article June 2025 - [link here](#)

3.4.2. Definition of proximate generation and/or storage

As proposed in CRU202504 the CRU considers that connection applicants should have the flexibility to request the siting of this generation and/or storage either onsite or proximate to the site of their data centre (i.e. connected to the Transmission or Distribution system close to the demand connection). Many respondents to Proposed Decision CRU202504 emphasised the need for a clear and precise definition of the term 'proximate generation'. Some respondents suggested defining it as either geographically or electrically proximate. Suggestions included defining it as assets connected at the same electrical node or within a specific radius. It was suggested the lack of clarity had caused confusion among stakeholders. Some respondents expressed concerns about the feasibility of meeting proximate generation requirements due to planning, financial, and logistical challenges.

The use of proximate generation and/or storage aims to address challenges in accommodating this generation and reflects how it may be challenging in certain space constrained locations to accommodate generation onsite, and provides the ability to locate the generation on another site that may be more suitable. The ability to use proximate rather than only onsite generation may facilitate innovative solutions, for example allowing multiple data centres to develop a single larger proximate generator to cover their collective MIC. The System Operators will be empowered to decide on whether the proposed siting of generation assets meets the required system needs. In the CRU's view this proximate generation would need to be electrically close at a minimum. The CRU does not see merit in defining proximate on a geographic basis, as this may not accurately reflect the level of electrical interconnection between a data centre demand site and proposed generation and/or storage asset(s). In the first instance, applicants should seek to propose generation at the same node as a proposed data centre demand connection, however, where this is not feasible, the applicant could propose other options to the SOs for consideration. Assessment of proposals from applicants would be done on a case-by-case basis by the relevant SO. The CRU notes that there may be local system reasons why the relevant SO would not be in a position to accommodate proximate generation as a solution. The requirement to bring onsite or proximate generation is primarily to address risks around generation adequacy and security of supply and will be subject to the relevant application process, e.g. ECP-GSS, in the same manner as other generation applying for a grid connection.

3.4.3. Participation in wholesale electricity market

The CRU has determined that a data centre connection application seeking 10MVA or above will be required to provide onsite or proximate generation and/or storage, that will participate

in the wholesale electricity market (Single Electricity Market) as a standalone generator separately connected and metered. As this dispatchable generation and/or storage is >10MVA, under current market arrangements it is required to participate in the energy and capacity markets (existing dispatchable generators) e.g. Balancing Market, Capacity Remuneration Mechanism (CRM) and being subject to market rules such as the Trading & Settlement Code, the Bidding Code of Practice and the Capacity Market Code.

Some respondents to Proposed Decision CRU202504 expressed concerns about the requirement for data centres to participate in the SEM. Some respondents suggested that SEM participation introduces significant financial and logistical burdens, potentially undermining the business case for data centres. Concerns raised included the need for major capital expenditures and the risk of unintended consequences in the market. Some respondents argued that mandatory participation may render projects commercially unviable and misaligned with long-term energy strategies. There were suggestions that this requirement may deter investment and alternative approaches to ensure flexibility and reduce burdens were proposed. Some respondents suggested allowing non-market-integrated on-site generation, to reduce barriers while ensuring system flexibility and reliability. Concerns were expressed about the mandatory requirement for data centres to participate in the capacity market, citing increased complexity, cost, and planning challenges. Some respondents emphasised the need for clarity on how CRM participation integrates with planning frameworks, grid codes, and regulatory processes.

The CRU considers that it is necessary and proportionate to require new data centres to provide onsite or proximate generation and/or storage that will participate in the wholesale electricity market. This is to assist in ensuring the continuity, security, and quality of supply of electricity is maintained. In the absence of these measures being implemented, the addition of new data centre demand could mean system security standards being threatened. The CRU favours a centrally dispatched approach for this requirement which will help facilitate the optimum solution on a whole system operational basis where possible via existing market structures. This will help the system to efficiently use available renewable electricity on the system. This approach will require a new data centre providing 100% operational capacity to a level equal to or greater than their sites MIC (on de-rated basis) and participation of this generation in the wholesale electricity market. This requirement does not specify the generation and/or storage technology or fuel used. The CRU notes that data centre demand sites may develop the generation assets directly or may choose to contract with service providers to meet these requirements.

Participation in the SEM leverages the existing market settlement systems, providing a participant with potential for remuneration from the wholesale electricity markets for providing these services to the system. Any new generation and/or storage assets developed by data centres under this approach would participate through the existing market structures, contributing to price formation in these different markets. Excluding these new generation and/or storage assets of this scale from the existing market structures could distort the operation of the wholesale market.

3.4.4. Interaction with CRM

In relation to the capacity auction some respondents to Proposed Decision CRU202504 requested detailed guidance on the capacity allocation, and sought clarity on the effect the entry of new demand may have on the capacity auction demand curve. The Capacity Market is designed to help ensure that the generation capacity in the SEM is sufficient to meet demand and that requirements relating to generation adequacy are satisfied. The demand curve reflects the amount of generation that needs to be procured in a given auction. Capacity auctions are run annually to procure generation capacity for delivery in 4 years (T-4) and for delivery in 1 year (T-1). The CRU notes concerns raised as to the potential scenario of existing generation units being displaced, unintentionally distorting the auction outcome due to a disconnect in timing between new data centre demand and its related generation and/or storage being reflected in the demand curve¹⁵.

In the current capacity mechanism auction arrangements, all of the new generation capacity may be reflected in a relevant T-4 CRM auction for a delivery year. Meanwhile the corresponding data centre demand may be projected to ramp up over a number of years (e.g. 20%, 40%, 60% of final demand) to an assumed enduring utilisation rate (e.g. 80%). In a scenario where this were not mitigated, this could create a temporal mismatch between the generation and demand volumes during a number of auction delivery years. This is illustrated in Figure 8 below.

¹⁵ SEMO – June 2025 - CRM T-4 2029/2030 Capacity Auction Parameters consultation includes parameters for the demand curve for 2029/2030 – link [here](#)

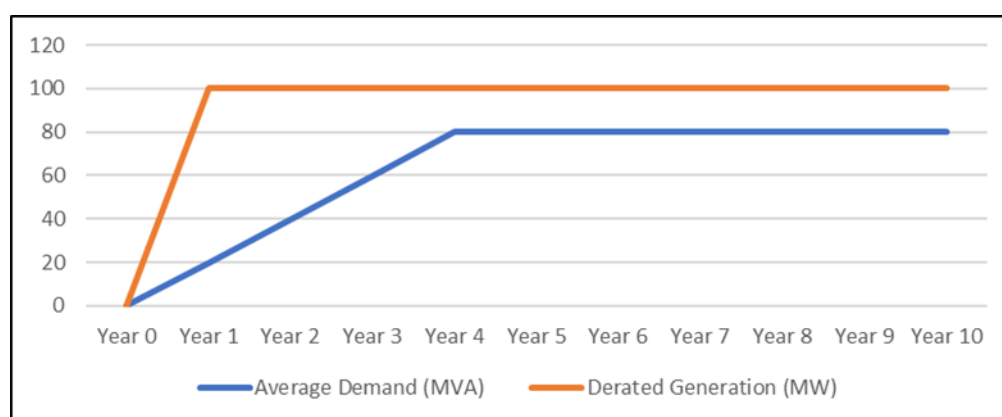


Figure 8: Indicative graph showing potential mismatch between data centre demand and generation in CRM auctions

Another possible issue that the CRU has considered relates to a scenario whereby a generator linked to new data centre demand is successful in the T-4 capacity auction (CRM), securing a 10-year fixed price contract. Consideration was given to a scenario where the new data centre demand does not materialise as expected or exits the market prematurely (before the 10-year fixed price contract from CRM has finished). This could risk leaving the cost/exposure of this contracted capacity to be covered by other electricity demand users for the remaining period left in the CRM contract. Given the potential scale of demand and related generation associated with data centres, this could represent a strategic risk to the efficient functioning of the CRM in the absence of mitigation measures.

In light of these concerns the CRU has determined that the following measures should be introduced:

- The maximum bid volume (on a de-rated basis) of new onsite or proximate generation and/or storage should be limited to the contracted MIC of the related new data centre demand site in that delivery year.
- Where the MIC is contracted to ramp, the maximum bid volume should reflect the level of contracted MIC for that delivery year.
- The associated new generation and/or storage can only bid for a one-year contract in each CRM auction.

The default contract under the CRM is for 1 year, however new generation in the CRM can apply for up to a 10-year contract. In addition, existing dispatchable generation is required to offer all of its capacity into the CRM auction. However, for new generation linked to data centre demand as part of this policy the above measures may need to apply. The CRU

considers that the first determination above will mitigate against the risk of surplus generation displacing existing capacity, despite future demand growth in subsequent years. Meanwhile, the CRU considers that limiting the contract length to one-year reduces the risk of proximate generation securing a capacity market contract for an extended period of time in a situation where the forecast LEU demand does not materialise or exits earlier than planned. In cases where the generation being developed is in excess of that required to meet the requirements in this decision, this excess generation can bid into the CRM. In such instances, this generation is no longer eligible to contribute towards the generation requirement for data centre capacity in future delivery years as this will already be accounted for in the determining the CRM requirement.

The CRU notes that the implementation of these requirements may necessitate changes to the Regulatory Authorities' Exceptional Application process in the CRM, to auction parameters and/or Capacity Market Code (CMC) modifications. The CRU notes the above requirements would likely be enforced through the contractual arrangements of the data centre demand connection. The CRU notes that the existing CRM facilitates the signing of new contracts up to 2028 and that new State Aid approval for a capacity mechanism will be sought to cover the period thereafter.

3.4.5. Requirement to meet demand sites MIC

Data centres are required to provide onsite or proximate generation and/or storage with an MEC at a level equal to or greater than their MIC (subject to derating requirements) and acknowledging its renewable contribution (see Section 3.5 Renewable Electricity Requirements). Some respondents to Proposed Decision CRU202504 expressed concerns about the requirement for data centres to provide onsite or proximate generation matching their MIC. These respondents suggested that this requirement is overly onerous, economically unviable, and introduces significant financial and logistical burdens for developers. Some respondents proposed alternative approaches they consider more flexible and economically viable to meet energy requirements without mandating strict MIC matching. The CRU favours an approach whereby a new data centre will be required to provide 100% operational capacity to a level that at least covers their sites MIC (on de-rated basis). This is to ensure that the energy requirements of the new demand site can be accommodated by the related generation and/or storage provided. In the absence of these provisions the connection of this demand could impact negatively on the continuity, security, and quality of supply of electricity for the system.

3.4.6. *New generation and/or storage*

The CRU has determined that data centres will be required to provide onsite or proximate generation and/or storage at a level equal to or greater than their MIC (subject to derating requirements), with this generation being separately metered and required to participate in the wholesale electricity market. Some respondents to Proposed Decision CRU202504 requested that the policy explicitly state whether new generation is required and how it will be defined, including its eligibility for capacity auctions and contracts. A number of respondents to Proposed Decision CRU202504 emphasised the need for explicit definitions and clarity regarding what constitutes 'new generation'. This new onsite or proximate generation and/or storage must be new/in addition to existing generation and/or storage operational on the system and cannot already be committed and/or accounted for through existing market structures or mechanisms. Otherwise, these assets would not help contribute to the additional operational electricity needs associated with a new data centre demand connection application. For example, generation already operational in the market, or contracted as part of the CRM, and captured within existing adequacy assessments would not be eligible to qualify as new generation for the purposes of this policy. Use of generation for the purposes of this policy already operational in the market, previously contracted or committed, would likely impact on maintaining the continuity, security, and quality of supply of electricity for the new demand itself and the wider system and as such is not permitted to count towards this requirement.

3.4.7. *De-rating of generation and/or storage*

The CRU has determined that the required generation and/or storage will be de-rated by a certain de-rating factor¹⁶ depending on its technology type and size to account for unavailability. Many respondents to Proposed Decision CRU202504 expressed concerns about the application of de-rating factors to generation and storage. Respondents argued that de-rating factors can change over time, creating uncertainty for planning and investment. Many respondents stated that current de-rating levels for storage are too low, making it economically unviable. It was argued that overly stringent de-rating requirements could deter investment in renewable and storage technologies, potentially undermining the goals of decarbonisation and energy security.

¹⁶ An example is where gas generation might have a de-rating factor of 0.85. In this case a data centre with an MIC of 100MVA would require approximately 118MW of generation capacity.

The CRU favours an approach whereby the required generation and/or storage will be de-rated by a certain factor depending on its technology type and size to account for its operational characteristics e.g. whether it is energy limited, for maintenance outage requirements, etc. The de-rating factor depends on the technology type and size and accounts for the availability of the asset to the market. This de-rating step is to ensure that the energy requirements of the new demand site can be reliably accommodated by the related generation and/or storage provided on the network. In the absence of these provisions the connection of this demand could impact negatively on the continuity, security, and quality of supply of electricity for the system. The de-rating of storage reflects its actual energy limited characteristics. Not reflecting these characteristics in the requirements would impact on the effectiveness of the approach. In the scenario where generation/storage assets were accepted without sufficient de-rating to reflect their limitations, the existing system would be required to meet this shortfall potentially putting the security of supply of the system at risk.

As described in Proposed Decision CRU202504 the de-rating to be applied for the purposes of connection requirements will be informed by the de-rating curves that are published in most recent CRM T-4 capacity auction information packs as part of the CRM auctions in the wholesale electricity market (SEM). The CRU acknowledges that the de-rating curves published in the CRM T-4 capacity auction information packs are updated for each auction. In order to account for the uncertainty created by this information changing from auction to auction, the CRU considers it appropriate that the most recent information available is used when planning and developing projects. The de-rating information to be used to inform the sizing of onsite or proximate generation in relation to the sites MIC will be the most recent available at the time of the application for planning permission for the dispatchable generation and/or storage assets.

In relation to the renewable electricity requirement as described in Section 3.5, the CRU is of the view that the minimum of 80% of annual demand being met by renewable electricity generated in the Republic of Ireland should be taken into account when determining the requirement for dispatchable onsite or proximate generation in the SEM. The CRU recognises the security of supply benefits of renewable electricity generated in the Republic of Ireland supporting the electricity system. This associated renewable generation capacity can be reflected on a de-rated basis against the dispatchable generation requirement.

3.4.8. Futureproof technology & storage

A number of respondents to Proposed Decision CRU202504 supported the future proofing of on-site generation to ensure fuel sources can be decarbonised over time. The CRU would encourage that any technologies used for onsite or proximate generation should be sufficiently futureproofed where possible in terms of facilitating low/zero emissions going forward e.g. if using gas generation, where possible and appropriate, the equipment should be compatible with being run on lower or zero-carbon fuels. In relation to storage, the ongoing Future Power Markets workstream by EirGrid, SONI and SEMO includes a Scheduling and Dispatch Programme (SDP). This programme includes facilitating the participation of energy storage such as batteries in the TSOs' scheduling and dispatch system.

3.4.9. Timing of demand and generation asset delivery

In Proposed Decision CRU202504 the CRU noted that there may be timing challenges in relation to the delivery of onsite or proximate generation versus the LEU demand connection. In Proposed Decision CRU202504 the CRU proposed to link the ramping up of a new LEU's demand connection towards full MIC to achieving delivery of onsite or proximate generation and its participation in the wholesale markets. It was described that the de-rated capacity of the onsite or proximate generation must build up in a stepwise manner in line with demand, ensuring that the de-rated generation capacity matches the sites' MIC at a minimum for the duration of the connection.

Some respondents to Proposed Decision CRU202504 raised concerns about the practicality of ramping requirements. Some respondents described ramping requirements as adding complexity, time, and cost to data centre developments. Some respondents emphasised the importance of clear definitions for ramping requirements, with clarity needed to ensure alignment with market and regulatory frameworks. The CRU acknowledges that the timing of the delivery of onsite or proximate dispatchable generation and/or storage capacity versus the connection of the LEU demand will need to be managed appropriately by connection applicants. The CRU has determined that a new data centre demand connection cannot be operational or ramp up to its full MIC without achieving delivery of associated onsite or proximate generation and its participation in the wholesale markets. The de-rated capacity of the onsite or proximate generation and/or storage must at a minimum meet the ramped or enduring MIC of the sites' MIC for the duration of the connection and be operational. This is to ensure that the generation and/or storage capacity is available on the system to reflect the increased energy requirement on the system associated with the demand site, otherwise the

connection of this demand could impact negatively on the continuity, security, and quality of supply of electricity for the system. However, the capacity of the onsite or proximate generation and/or storage can exceed the demand site's ramped or enduring MIC.

3.4.10. Reliability and performance of generation assets

In relation to the performance and availability of the onsite or proximate generation and/or storage, a number of respondents to Proposed Decision CRU202504 provided feedback about the reliability of generation assets, including the need for clear performance criteria, maintenance standards, and the ability to meet demand during outages. Some respondents emphasised how reliability is critical for ensuring uninterrupted operations and meeting system requirements. Some respondents noted that there is a natural incentive on large energy users to maintain their systems to ensure consistent performance and availability of their related generation. It was suggested that de-rating factors for generation already account for the performance and availability of generation, so stricter requirements are not justified. It was suggested that this generation should have the same SEM rules applied to its participation as that of other generators in the market, including performance and availability requirements.

In the CRU's view, the generation and/or storage associated with the data centre demand connections greater than or equal to 10MVA should have to meet some minimum performance and availability requirements. The de-rated capacity of the onsite or proximate generation and/or storage must at a minimum meet the site's MIC for the duration of the data centre demand connection and be operational. This capacity should be made available to the system on an operational basis in order to reflect the additional demand capacity of the data centre and support the continuity, security, and quality of supply of electricity for the wider system. This onsite or proximate generation and/or storage will need to be able to run on an operational basis e.g. should not be bound by limited run hours outside of agreed levels of routine necessary maintenance. As described in Section 3.9.3 Connection process and assessment the CRU requires the electrical SOs to each publish an engagement and connection process for data centre connection applicants by 31 March 2026. As part of this process the SOs will outline minimum expected performance and availability requirements for onsite or proximate generation and/or storage. In relation to the performance and availability of the onsite or proximate generation and/or storage, it is envisaged that reliability of service will be a contractual requirement for the data centre demand connection. If the delivery, performance and availability of the onsite or proximate generation falls below this minimum expected reliability, the SOs will have the ability to reduce the MIC of the related

data centre's demand connection. This should be set out by the SOs within the contractual arrangements.

3.4.11. Single generator for multiple data centres

In feedback to Proposed Decision CRU202504 it was queried if a single large proximate generator can meet the requirements of a number of smaller data centres. It was queried if it is permissible that a generator unit could assign a portion of its capacity (de-rated) to a data centre or to multiple data centres. An example was suggested of a single 300 MW generator allocating 100 MW to each of 3 different data centres. Insofar as the (likely proximate) generation and/or storage is able to comply with the requirements as set out, then this approach could be deemed acceptable. However, the CRU notes that in certain circumstances, there may be local system reasons why the relevant SO would not be able to accommodate generation in a 'shared configuration' as a solution. This assessment would be done on a case-by-case basis by the relevant SO.

3.4.12. Mandatory Demand Curtailment

In Proposed Decision CRU202504 the CRU described how in a System Emergency State, the SOs may instruct relevant LEUs who are subject to mandatory demand curtailment (MDC) provisions to reduce and/or remove their demand in full from the system. It was described how these measures can be called upon during a System Emergency State¹⁷. Demand customers subject to MDC will be prioritised for disconnection over the disconnection of other demand customers where practicable, but only in situations where notice of at least 60 minutes can be provided to the relevant LEU site. LEU sites subject to MDC provisions that receive an MDC instruction and who have not complied with that request within the applicable timeframe may be prioritised for disconnection (without additional notice) in advance of implementation of emergency load shedding or planned rota load shedding. In Proposed Decision CRU202504 the CRU proposed that in light of their contribution to the system, any data centres providing onsite or proximate dispatchable generation as described in this section would not be required to meet MDC provisions. One respondent to Proposed Decision CRU202504 favoured maintaining MDC on these demand sites, describing its removal as a risk. Another respondent sought clarity in event of material outages of associated generation. One respondent who favoured MDC not being required linked this to the associated data centre generation meeting the SOs requirements and

¹⁷ EirGrid - Grid Alerts – [link here](#)

participating in the wholesale market. This respondent suggested that failure to comply (3 strikes rule) could lead to the re-introduction of MDC measures or a reduction in MIC.

In the CRU's view, the requirement for data centre connections to bring generation capacity which matches the sites' MIC means that these sites will contribute to the security of the system. In light of this contribution to the system, the CRU has determined that any data centres that are compliant in providing generation as described in this section will not be required to meet MDC provisions. As noted in Proposed Decision CRU202504 all demand is subject to potential load shedding requirements in emergency conditions as described in CRU202346 *Electricity Crises: A Risk Preparedness Plan for Ireland* and data centres may choose to sign up to MDC where appropriate to assist in managing any potential disruptions to supply.

Decision

The Commission has made a decision that data centres with an MIC equal to or above 10 MVA connecting to the electricity network will be required to provide dispatchable onsite or proximate generation and/or storage capacity to a level that at least covers their MIC (subject to derating requirements), with this generation being separately connected and metered, and required to participate in the wholesale electricity market.

The Commission has made a decision that the associated renewable generation contribution (up to 80% annual demand) should be acknowledged and can be reflected on a de-rated basis against the dispatchable generation requirement (see Section 3.5 Renewable Electricity Requirement).

The Commission has made a decision that any data centres equal to or above 10 MVA and compliant in providing onsite or proximate dispatchable generation as required under this decision will not be required to meet MDC provisions.

The Commission has made a decision that new data centres with an MIC equal to or above 10 MVA cannot be operational or ramp up their demand without achieving delivery of associated onsite or proximate generation. The de-rated capacity of the onsite or proximate generation and/or storage must at a minimum meet the ramped or enduring MIC of the site for the duration of the connection and be operational.

3.5. Renewable Electricity Requirement

The CRU is cognisant that Ireland has set a legally binding target of a reduction in emissions of 51% by 2030 (compared to 2018 levels) and the Government has set sectoral emissions targets for Ireland, as required under section 6C of the Climate Action and Low Carbon Development Act 2015 (Climate Action Act). In addition, Ireland's Climate Action Plan includes a target to have up to 80% of electricity generated from renewable sources by 2030.

Section 3.1 "Emissions remit" of this document sets out the CRU's interpretation of its responsibilities under the Climate Action Act, namely that the Climate Action Act does not confer any additional functions on the CRU but places it under an obligation to perform its current functions in a manner consistent with the objectives and policies in section 15(1)(a)–(e) insofar as practicable. The CRU does not consider, therefore, that the Climate Action Act confers a statutory function on the CRU to set a connection policy other than in line with the CRU's other existing statutory functions. The CRU has no existing statutory function in the 1999 Act or otherwise that allows it to set express requirements for emissions reduction and/or offsetting measures. In contrast, under section 9(1)(s) of the 1999 Act, the CRU has the statutory function of ensuring that grid connection policy takes account of renewable energy policy.

3.5.1. Earlier consultations

In Call for Evidence CRU202357 and Consultation CRU2024001 the CRU outlined a number of potential different approaches to decarbonise LEU demand. This included through on-site electricity generation such as solar and/or wind. If on-site dispatchable generation was to be used, it was described how the fuel for this could be sourced exclusively from renewable sources (e.g. sufficient certified renewable gas feeding into the Irish system). It was suggested that if on-site battery storage was being used, the fuel for this could be sourced exclusively from renewable sources, e.g. by securing sufficient renewable electricity feeding into the Irish system. For electricity consumption it was described how Corporate Power Purchase Agreements (CPPAs) could support additionality of indigenous renewable generation outside of support schemes, with renewable electricity feeding into the Irish system and certified renewable gas feeding into Irish gas network. These provisions were to ensure that the associated renewable electricity and /or gas would contribute to Ireland's emissions targets and security of supply.

In feedback to these papers, some respondents favoured the use of CPPAs for additionality of renewable generation outside of Government support schemes for decarbonising

electricity consumption. Challenges such as having adequate space for sufficient onsite renewables were raised, and it was suggested that the use of CPPAs would be essential to some developers, with on-site generation and CPPAs seen as complementary. CPPAs were described as the most effective instrument to facilitate new renewables, and to support the core investment required to make these projects financeable. It was suggested that CPPAs may support more marginal storage and conversion projects such as pumped hydro that may otherwise have difficulty in finding a route to market.

Some respondents to Proposed Decision CRU202504 suggested mandating renewable energy use, promoting CPPAs, and ensuring renewable energy additionality to meet Ireland's climate targets. CPPAs were highlighted by respondents as a significant mechanism for data centres to meet renewable energy goals, with some respondents highlighting existing commitments to meet at least 30-50% of annual site electricity demand through CPPAs. Some respondents proposed more ambitious goals for CPPAs, including real-time net-zero energy matching and hourly emissions reporting. It was suggested a glide path could be developed toward achieving 24/7 renewable energy matching.

3.5.2. Level of renewable electricity required

In Call for Evidence CRU202357 and Consultation CRU2024001 the CRU considered what target level LEUs carbon emissions should be measured to. For instance, should the end target/goal for new LEUs be close to real time zero emissions or measured over a set time period e.g. on an annual basis. Some respondents raised concerns that achieving closer to real time net zero emissions from LEUs at the time of connection was not practical in the short term, with some suggesting it would be unworkable. As described in CRU2024001 the CRU sees merit in implementing a transition period in order to facilitate the development and maturation of different options/approaches in how LEUs can meet the real time net zero emissions challenge. A benefit to the use of a glide path/transition period is that it can facilitate the path to an end target allowing progress on an incremental basis, for example allowing for an appropriate progression towards requiring closer to real time renewable energy requirements for new LEU connection applications in the future.

The CRU sees merit in requiring new data centre connections to meet a certain percentage of their demand with renewable electricity generated in the Republic of Ireland such as through CPPAs or direct development of renewable generation assets in order to contribute towards Ireland's renewable energy targets. This renewable electricity contribution could be measured on an annual basis. The Climate Action Plan includes measures to increase the

proportion of renewable electricity to up to 80% by 2030. In order to ensure progress towards reaching these national targets, the CRU considers it to be appropriate to require new data centres captured under this policy to provide or procure additional renewable electricity generated in the Republic of Ireland (e.g. CPPAs with wind, solar etc) physically feeding into the Irish electricity network which meet at least 80% of the data centres demand on an annual basis. This requirement reflects the current renewable electricity target and may be reviewed if the target is revised. In meeting this renewable electricity requirement, the actual output of the renewable generation facility should be considered. This means that the location and network infrastructure in the locality of the renewable project are important factors in so far as they may have an effect on the actual output of a project. Renewable generation to meet this requirement must be generated in the Republic of Ireland and be new/in addition to renewable generation which is or has been operational on the system. Renewable generation which has previously been or is currently contracted through existing support mechanisms (e.g. REFIT, RESS, ORESS) cannot be used to meet this requirement. Provision or procurement of the minimum level of renewable electricity generation will be a contractual requirement, as set out in more detail in sub-section 3.5.7. This provision is designed to reduce the risk of this policy inadvertently undermining the state led renewable energy support schemes and achievement of the Government's renewable energy targets. Where full repowering of a renewable electricity project takes place, i.e. the project undergoes decommissioning and replacement of equipment, this can be considered to be eligible for a CPPA to meet the requirements of this policy.

3.5.3. Reflecting renewable electricity contribution

The CRU favours an approach which acknowledges a new data centres' contribution of additional renewable energy outside of state support schemes. The CRU recognises the security of supply benefits of renewable electricity generated in the Republic of Ireland supporting the electricity system. The CRU is of the view that up to the 80% annual renewable electricity match should be taken into account when determining the requirements for autoproduction or dispatchable onsite or proximate generation in the SEM (e.g. meeting the MIC on de-rated basis). In cases where a data centre chooses to develop or contract annual renewable electricity generated in the Republic of Ireland in excess of 80% of their annual demand, only renewable generation contracted to deliver up to the 80% of annual demand will be considered (on de-rated basis) for contributing towards dispatchable generation requirement. This associated renewable generation would be reflected on a de-rated basis against the dispatchable generation requirement.

As an indicative example shown in Table 4 below, a 30 MVA data centre would require circa 34.8 MW of dispatchable generation based the de-rating factor from the 2028/2029 T-4 Capacity Auction Initial Auction Information Pack¹⁸, prior to taking the renewable electricity contribution into account. The data centre in this example is assumed to have 80% utilisation rate (of its MIC) on an enduring basis, resulting in an annual electricity requirement of 210 GWh. The corresponding 80% renewable electricity requirement is 168 GWh. Assuming a capacity factor of 35% for onshore wind, the example shows that 54.9 MW of onshore wind capacity would be the minimum required installed wind capacity. Applying the de-rating factor for onshore wind from 2028/2029 T-4 Capacity Auction Initial Auction Information Pack results in a de-rated capacity of 3.1 MW. This reduces the onsite or proximate dispatchable generation and/or storage requirement to 26.9 MW on de-rated basis (30 MW de-rated requirement minus 3.1 MW). In this example it is assumed that the dispatchable generation is provided by a gas turbine, with 31.2 MW required on nameplate basis. This is an indicative example and doesn't account for the full complexity of the requirements including aspects such as dispatch down, oversupply or other detailed considerations. The actual values may differ when these are taken into account.

Data centre capacity (MVA)	30
Installed dispatchable generation requirement (MW) - Prior to renewable generation being taken into account	34.8
Annual data centre electricity demand (GWh) - Assumes 80% utilisation of demand connection	210
Annual 80% Renewable Electricity contribution (GWh)	168
Equivalent installed onshore wind capacity (MW) - Based on 35% capacity factor - Doesn't account for dispatch down, oversupply or other detailed considerations	54.9
De-rated capacity for onshore wind (MW) - De-rating factor of 0.056 from CRM	3.1
Remaining dispatchable generation requirement (MW) - de-rated	26.9
Installed dispatchable generation requirement (MW) - De-rating factor of 0.863 from CRM	31.2

Table 4: Indicative example of renewable generation requirement and it's contribution to the dispatchable generation and/or storage requirement. The total de-rated capacity must be equal to or greater than the MIC of the data centre.

¹⁸ SEMO – October 2024 - 2028/2029 T-4 Capacity Auction Initial Auction Information Pack – link [here](#).

3.5.4. Indicative impact of renewable electricity requirement

In terms of measuring the possible impact of measures such as the renewable electricity requirement, an indicative high-level example is set out below in Table 5. This indicative example shows how the renewable generation requirement will abate circa 1,400 tCO₂ per annum for every new 1 MVA of data centre demand connected relative to the baseline emissions for the electricity system.

Data centre capacity (MVA)	30
Annual 80% Renewable Energy contribution (GWh)	168
Annual associated carbon dioxide abatement (tCO ₂) due to installation of renewables	Circa 42,600

Table 5: Annual electricity use offset by renewable energy and emissions offset

In this example the following assumptions are made:

- LEU demand is a 30MVA data centre with a utilisation factor of 80%.
- Assumes a data centre procuring renewable energy meeting 80% of its annual demand.
- Using SEAI emissions data for the electricity system from 2023¹⁹.

The emission factors used in the above calculations reflect the system level emissions on the electricity network and include only direct CO₂ emissions from combustion of fuels and do not include indirect or upstream emissions, such as those from extraction, cultivation, transportation or processing of fuels.

3.5.5. Annual renewable electricity requirement

The CRU has determined that new data centre connections with an MIC equal to or above the de-minimis level will be required to meet at least 80% of their annual demand with renewable electricity generated in the Republic of Ireland. Provision or procurement of the minimum level of renewable electricity generation will be a contractual requirement, set out

¹⁹ [Electricity | Energy Statistics In Ireland | SEAI](#) & [Conversion Factors | SEAI Statistics | SEAI](#)

in the contractual arrangements by the relevant System Operator. This renewable generation could be facilitated via CPPA or directly developed renewable assets. This will help ensure additionality of renewables e.g. renewable energy projects not facilitated through RESS. Based on the national renewable electricity targets and security of supply considerations, the CRU intends to include the following criterion for the SOs to assess connection applications:

- Ability of applicant to meet at least 80% of their annual demand through provision or procurement of additional renewable electricity generated in the Republic of Ireland (e.g. through CPPAs with wind, solar etc, or through direct development of renewable energy projects) and feeding into the Irish electricity network.

In the above criterion, the CRU has specified renewable electricity generated in the Republic of Ireland, i.e. renewable electricity feeding into the Irish system. This provision is to ensure the associated renewable electricity contributes to Ireland's renewable electricity targets and security of supply.

3.5.6. Timing of delivery of renewable electricity requirements (development timeframe)

One challenge that was highlighted through feedback was the challenge in having renewable generation projects delivered at the same time or in advance of the energisation of the data centre demand. Challenges were highlighted in terms of the volume of renewable projects available in the pipeline, and time required to develop these. The option of requiring renewable generation to be in place at the time of connection and energisation of the data centre may present a risk to the pipeline of projects being delivered through RESS rather than new projects being developed to meet the data centre demand. One possible option would be to provide some flexibility in the timing of delivery of the renewable generation, however any delay in this would impact on the ability of data centres to contribute towards Ireland's renewable electricity targets immediately upon connection and energisation of a data centre. The CRU acknowledges the challenges associated with the delivery timeframe for renewable energy projects and sees merit in allowing a transition period for new data centre connections to build up to meet at least 80% of their annual demand with renewable electricity generated in the Republic of Ireland. In order to reflect these timing challenges, the CRU considers that new data centres should have a 6-year glide path from the date of a data centre demand site's energisation to build up to meet at least 80% of demand with

renewable electricity generated in the Republic of Ireland on an annual basis. The 6-year transition period facilitates the gradual build-up of renewable electricity either through direct development of renewable generation or contracting through a CPPA to meet the requirement of at least 80% of the data centres annual demand.

The CRU considers that a 6-year transition period provides an appropriate balance between accounting for the timeline associated with renewable energy project development in Ireland, while also ensuring the renewable generation is in place in a timely manner. In the 2019 IWEA report titled “Life-cycle of an Onshore Wind Farm²⁰” it describes the different phases of development of a project (feasibility, planning and permitting, pre-construction, construction, commissioning). The report shows estimated timelines ranging from approximately 5 to 10 years to complete these stages and become operational. In determining the appropriate timeline, the CRU has given consideration to the current development timelines for renewable energy projects, the permitting timelines required under RED III and the timelines for delivery of projects under the Renewable Electricity Support Scheme (RESS). The CRU is cognisant of the need for additionality of renewables and considers that this timeframe will allow for greater additionality (i.e. delivery of new renewable electricity projects), rather than being met solely by the existing pipeline of new renewable electricity projects. For projects that have been unsuccessful in RESS/ORESS auctions, a CPPA with a data centre can provide an alternative route to market. In many cases these projects will be further along the development pipeline and may not proceed in the absence of a long-term contract such as a CPPA. As part of their grid connection application, applicants will be required to demonstrate a credible plan (e.g. would identify the specific renewable generation that will support the projects and the anticipated timeline for development) in relation to how they intend to meet at least 80% of their annual demand with renewable electricity generated in the Republic of Ireland within a 6-year period from the date of the demand site’s energisation. Although a transition period is being provided to reach 80% of demand with renewable electricity on an annual basis, the CRU notes that early connection of renewable energy will deliver benefits to the system, consumers and developers and would encourage connection of renewable energy associated with meeting this requirement to be as expedient as possible.

Following the initial transition period, the renewable electricity requirement will be in place for the duration of the demand connection agreement. The data centre customer will be

²⁰ IWEA – March 2019 - Life-cycle of an Onshore Wind Farm – [link here](#)

required to meet at least 80% of their annual electricity demand with renewable electricity generated in the Republic of Ireland on an enduring basis.

3.5.7. Compliance with requirements

Provision or procurement of the minimum level of renewable electricity generation will be a contractual requirement, set out in the contractual arrangements by the relevant System Operator. As part of their application, the data centre developer will be required to submit a credible plan (e.g. identifying the specific renewable generation projects and the anticipated timeline for development) in relation to how they intend to meet at least 80% of their annual demand with renewable electricity generated in the Republic of Ireland within a 6-year period from the date of the demand site's energisation. This credible plan must take into account the expected output of the renewable generation facility. This means that the location and network infrastructure in the locality of the renewable project are important factors in so far as they may have an effect on the actual output of a project. Data centres will be required to report annually on progress towards and compliance with this requirement. Data centres will have the time during the development of the data centre and then an additional 6-year glide path from the date of the demand sites energisation to directly develop or contract with sufficient renewable electricity generated in the Republic of Ireland in order to meet the minimum 80% renewable electricity requirements. If a party to a data centre connection agreement fails to meet the minimum 80% renewable energy generated in the Republic of Ireland requirement following the end of the 6-year glide path, the SOs will have the ability to reduce the MIC of the related data centre's demand connection to the level met successfully by 80% renewable electricity. This should be set out by the SOs within the contractual arrangements. The CRU is also cognisant that there may be some aspects beyond the control of the party to a data centre that could result in a delay to the delivery of the renewable energy projects. As part of the implementation of this decision, the SOs will develop a ruleset for how to assess this requirement, including how to address instances of non-compliance in a fair and transparent way.

Section 3.8 Renewable Electricity Reporting Requirements provides further information on reporting requirements that will be included in the connection conditions for new data centre connections. The CRU may review these requirements going forward, for instance if national renewable energy targets are updated.

Decision

The Commission has made a decision to require data centres with an MIC equal to or above the de-minimis level to meet at least 80% of their annual demand with additional renewable electricity generated in the Republic of Ireland.

The Commission has made a decision that new data centre should have a 6-year glide path from the date of demand site's energisation in order to meet the requirement of at least 80% of demand with renewable electricity generated in the Republic of Ireland on annual basis.

The Commission has made a decision that as part of their grid connection application, applicants will be required to demonstrate a credible plan (e.g. would identify the specific renewable generation that will support the projects and the anticipated timeline for development) in relation to how they intend to meet renewable electricity requirement.

3.6. Location

3.6.1. Constraints on the electrical system and location

In Proposed Decision CRU202504, Section 2 'Constrained regions of the electrical system and security of supply' sets out some of the system and capacity challenges faced on the electricity system, and the location specific characteristics of some of these. In previous papers such as consultation CRU2024001 the locational aspect of LEUs was discussed, describing how the CRU sees merit in locating new LEUs close to renewable generation and storage, and being located outside of constrained areas on the grid. In Proposed Decision CRU202504 the CRU proposed that the SOs should take into account the location of the requested connection (to include the demand and the associated onsite/proximate generation) in respect of whether it is in a constrained or unconstrained region, in considering whether a connection offer can be made, citing the impact of local and regional system conditions on any new data centre demand connections, and vice versa. This was consistent with aspects of the decision made in CRU/21/124 in relation to Data Centre grid connection processing and related direction to the SOs.

3.6.2. Greater Dublin region constraints

In Proposed Decision CRU202504 it described some of the system challenges around the Dublin region. It was described how the rapid increase in demand from data centre

customers in the general Dublin region had placed significant pressures on the local system and generation capacity requirements. In the All-island Resource Adequacy Assessment 2025–2034 EirGrid describe how based on their annual review of data centres and new technology loads, demand is expected to continue to rise from current levels as these customers build out towards their contracted load. EirGrid describe how almost all this extra load is contracted in the greater Dublin region and was contracted prior to the CRU 2021 direction which brought additional requirements on new applicants. Proposed Decision CRU202504 described EirGrid's Local Security of Supply multi-year plan 2023-2027 which identifies the infrastructure delivery actions and activities that EirGrid will undertake during the period to contribute to the resolution of security of supply issues in the greater Dublin region. Within this document EirGrid reference the Powering Up Dublin programme²¹ which is an integrated programme of works to update and transform the Dublin Area electricity transmission network.

In Proposed Decision CRU202504 it also described how short circuit current/fault levels in the Dublin region are a challenge, referring to an EirGrid report from October 2023²². It described how EirGrid indicated that this is a safety and system security issue and is related to the amount of generation connected in the Dublin area and the topology of the transmission network. EirGrid set out how Dublin has a high concentration of synchronous generators, with the highly meshed Dublin network. In their Short Circuit Summary for Industry²³ from March 2025, EirGrid described that the main sources of short-circuit currents are conventional generators, synchronous condensers, and induction machines. It describes how renewable sources and inverter-based resources also produce short-circuit currents, and generator transformers change the impedance of the network, exacerbating the issue. EirGrid described how Dublin (and to a lesser extent Cork) is where the issue has now manifested due to the need to run a lot of conventional generation at times to manage power flows and other constraints arising from the rapid development experienced in this area.

3.6.3. Constraints outside the Dublin region

Proposed Decision CRU202504 referred to EirGrid's Shaping our Electricity Future V1.1 paper, which outlined that outside of the Dublin region EirGrid has updated its assumptions

²¹ EirGrid – Powering Up Dublin – [link here](#)

²² EirGrid – October 2023 - PR5 Balanced Scorecard and Incentive Multi-Year Plan 2024-2028 – [link here](#)

²³ EirGrid – March 2025 - Short Circuit Summary for Industry – [link here](#)

in relation to the growth of large energy users, including for 300 MVA²⁴ of LEU demand in addition to that already contracted connecting outside of Dublin and the Mid-East, stating an assumed 75 MVA of LEU demand in each of the Galway, Limerick, Cork, and Waterford areas. It was described how due to the scale and relative speed of increase of potential demand like this in relation to local system conditions outside of the Dublin region, the addition of LEUs such as data centres may potentially exacerbate existing constraints or create constraints in previously unconstrained parts of the system and therefore detailed analysis of any such connection applications is required.

3.6.4. Feedback to Proposed Decision CRU202504 on location and constraints

Some respondents to Proposed Decision CRU202504 discussed the significant challenges posed by network constraints, particularly in the Greater Dublin Area. It was described how these constraints affect grid capacity, security of supply, and the ability to accommodate new connections, including data centres. Some respondents identified data centres as major contributors to electricity demand and network constraints. It was described how rapid growth in data centres is surpassing the pace of grid infrastructure development, creating pressures on the network. Some respondents described how the Greater Dublin Area, including counties Dublin, Meath, and Kildare, were identified as a Tier 1 location for data centre connectivity. One respondent highlighted that where there is a high concentration of data centres, for example in Dublin, and as such that there is the potential for exceeding air quality standards for NO_x, especially if generators across several of the data storage facilities operate simultaneously with each other and power plants or other licensed activities in the area. Some responses to Proposed Decision CRU202504 highlighted the need for flexibility in locational policies, suggesting that overly rigid constraints could hinder innovation and development. Some respondents called for the need for principled, site-specific assessments and avoiding overly restrictive locational policies. It was proposed that blanket constraints could be removed. A number of respondents to Proposed Decision CRU202504 stated the “Constrained Area Construct” is redundant in a context where LEU’s have independent generation coupled with the capability to deliver a “real-time” flexible connection to the System Operator. These respondents suggested that maintaining this construct will exclude most developments, existing and planned, and amounts to an effective retention of the current moratorium.

²⁴ Additional data centre capacity has contracted since this publication.

Some respondents to Proposed Decision CRU202504 described how data centres have significantly contributed to Ireland's economy, generating billions of Euro in terms of economic benefits, creating thousands of jobs, and supporting ICT services exports. It was described how their development is vital for Ireland's position as a global technology hub. Some respondents stated the location of data centres near interconnected metro areas is critical for their success. It was suggested Ireland's foundational infrastructure offers opportunities for digital investment, but competition with other jurisdictions must be considered. Some respondents stated that energy policy uncertainty and grid connection challenges are deterring Foreign Direct Investment and data centre expansion in Ireland. It was suggested that addressing these issues is crucial to maintain Ireland's attractiveness for investment.

3.6.5. Impact of location

As described in Proposed Decision CRU202504 the CRU recognises the challenges of connecting in constrained areas or areas where there are short circuit issues, and where the connection of large demands in these areas in advance of infrastructure development poses a risk to system security standards and supply to new and existing customers. The potential scale and speed of increase of potential new data centre demand in relation to local system conditions, means that existing constraints may be exacerbated or new ones created in previously unconstrained parts of the system. The CRU considers that taking account of location in respect of whether a connection is in a constrained or unconstrained location remains a relevant and important consideration. The CRU notes that this assessment should not be on a wide geographical/regional basis, and instead a more localised consideration of constraints and solutions should be carried out by the relevant SO. As outlined in Section 3.7.3, it is expected that a framework on flexible connections will be developed in due course.

As described above the CRU considers that it is necessary and proportionate to require new data centres above the de-minimis level (1MVA) to provide onsite or proximate generation and/or storage or autoproducer (depending on demand size) that will participate in the wholesale electricity market. This is to ensure the continuity, security, and quality of supply of electricity is maintained. The CRU favours this centrally dispatched approach for this requirement which will help facilitate the optimum solution on a whole system operational basis where possible via existing market structures. As the CRU noted in Proposed Decision CRU202504 a connection application seeking a certain level of demand and associated generation could have an effect on the constraint status of an area if it were to proceed. In

some cases, the requirement to bring onsite or proximate generation may add to the constraint, e.g. in areas where there are high short circuit levels on the existing network, the addition of synchronous generation can exacerbate safety risks. Therefore, there may be areas of the network where further connections may not be available in the absence of reinforcements and upgrades. Given the uncertainty of future demand requirements, this may require consideration as part of the network development planning process.

Based on the above considerations, the CRU has determined that the SOs should take into account the location of the requested connection (to include the demand and the associated onsite/proximate generation) in respect of whether it is in a constrained or unconstrained location, in considering whether a connection offer can be made. It is within the SOs remit to determine whether a connection can or cannot be accommodated based on their assessment of each application. As described above the CRU notes that this assessment should not be on a wide geographical/regional basis, and instead a more localised consideration of constraints and the specific impact a proposed data centre (including the necessary generation) is expected to have on the grid. This approach will help account for the potential impact of local and regional system conditions on any new data centre demand connections, and vice versa. The CRU considers that the SOs taking into account the location of the requested connection as an important step to protect against risks to system security standards. In a scenario where a connection application cannot be facilitated the relevant SO should provide sufficient detail to the applicant on why this outcome occurred, and reasons provided shall be based on objective and justified criteria.

3.6.6. Publication of network information

As described in Proposed Decision CRU202504 in order to provide more clarity to potential connection applicants on the areas of the electricity network that are constrained and the areas where the SOs are planning network reinforcements, the CRU is of the view that the SOs will need to provide accessible information in relation to locations that are constrained or likely to become constrained. This includes information on the network capacity currently available across the electricity networks and that which will become available under network development plans.

It was described in Proposed Decision CRU202504 how the amendments introduced by Regulation (EU) 2024/1747²⁵ to Article 50 of Regulation (EU) 2019/943 require Transmission

²⁵ EU – June 2024 - Regulation 2024/1747 – [link here](#)

System Operators (TSOs) to provide significantly enhanced and transparent network information. TSOs in European Member States are now required to publish detailed data on the available capacity for new connections with a high level of spatial granularity. This includes information on capacity currently under connection requests and the possibility of flexible connections in congested areas. Directive 2024/1711²⁶ also amends Article 31 of Directive 2019/944, focusing on the responsibilities of Distribution System Operators (DSOs). DSOs are also now required to publish transparent and detailed information on available capacity for new connections, updated at least quarterly. This information must be presented with high spatial granularity and include details on capacity under connection requests and the possibility of flexible connections in congested areas.

In Proposed Decision CRU202504 the CRU cited existing examples of network information being made publicly available by network companies or system operators in other jurisdictions. These included the UK Power Networks' resource Network Infrastructure & Usage Map²⁷, Belgian TSO Elia online interactive map²⁸, Western Australia SO Western Power online network capacity planning tool²⁹, and Estonian SO Elering connections capacity e-Grid map³⁰.

Proposed Decision CRU202504 referred to the information available on ESB Network's existing Demand Capacity Heatmap³¹ which provides up to date information on the availability for new demand capacity at different voltage substations on an interactive map interface. It was described how an equivalent heatmap for Ireland's transmission system has not yet been developed.

Sources of information regarding future network development were cited, EirGrid's All-Island Ten-Year Transmission Forecast Statement³² which provides information on potential demand and generation opportunities on the transmission system. Proposed Decision CRU202504 also referenced the ESB Networks Network Scenario Headroom Reports³³ which was the first step in their plan to publish a Distribution Network Development Plan (DNDDP) which provides a 10-year time horizon for the development of the electricity

²⁶ EU – June 2024 - Regulation 2024/1711 – [link here](#)

²⁷ UK Power Networks – Open Data Portal – [link here](#)

²⁸ Elia – Grid Hosting Capacity – [link here](#)

²⁹ Western Power - Network capacity mapping tool – [link here](#)

³⁰ Elering - Connection capacities on e-Gridmap – [link here](#)

³¹ ESBN – Availability Capacity Heat Map – [link here](#)

³² EirGrid SONI – 2023 – All island 10 year Transmission Forecast Statement 2022 – [link here](#)

³³ ESBN – Capacity Workbooks – [link here](#)

distribution network and can signal future capacity changes. Since the publication of Proposed Decision CRU202504, ESB Networks have published an Available Capacity Map³⁴ and a draft Distribution Network Development Plan³⁵ for consultation which closed in late September 2025. In Proposed Decision CRU202504 the CRU proposed to require the SOs to make detailed information relating to network capacity on the electricity system easily accessible to ensure greater visibility to inform appropriate locations for connection to the network.

Some respondents to Proposed Decision CRU202504 supported the need for more network information being provided, emphasising the importance of SOs providing regular, transparent updates on network constraints. Some respondents suggested the inclusion of detailed, color-coded maps, indicative timelines for grid reinforcements, and clarity on constrained and unconstrained areas to aid in planning and decision-making. Some respondents requested more granular and specific information, such as substation-level details, to better understand constraints. Some respondents suggested this will help in aligning demand with available capacity, reducing inefficiencies, and supporting the development of renewable energy projects. The CRU notes the benefits of having more regular detailed information relating to network capacity made available to potential future connection applicants, giving greater transparency and helping to inform stakeholder investment decisions.

The CRU requires the System Operators to make detailed information relating to network capacity on the electricity system easily accessible so that there can be greater visibility to the investment community in relation to appropriate locations for development. The publication of network information should:

1. Enhance transparency and accessibility of data
2. Clearly demonstrate the impact of the implementation of network development plans
3. Be updated frequently (quarterly, moving closer to real-time)
4. Use clear and consistent definitions throughout
5. Provide a coordinated and integrated view of distribution and transmission system capacity.

³⁴ ESNB – Available Capacity Heatmap – [link here](#)

³⁵ ESNB – Draft Distribution Network Development Plan – [link here](#)

The CRU expects that the network information provided by the SOs would include the following:

- Heatmaps/information illustrating current and projected capacity availability at different nodes/substations.
 - This should account for the capacity which is already contracted.
 - Information on capacity that is expected to be taken up by projected growth (e.g. electrification of transport and housing, planned new housing development and other social needs) should be included.
 - The information should also account for other limitations at substation level such as availability of bays at substation, thermal limits, short-circuit capacity, space constraints and other factors which may impact the ability to connect at this location.
 - TSO and DSO information should be integrated to take into account upstream capacity, e.g. available transmission capacity upstream from a Bulk Supply Point.
- Forward looking heatmaps/information illustrating capacity which is due to become available based on network development plans accounting for the capacity which will be taken up by projected growth, and the associated timelines for additional capacity and future network delivery.
- Greater visibility of network development plans.

As described in Proposed Decision CRU202504 the granularity of information should be sufficient to help inform potential new connection applicants (demand and generation) in terms of viable areas for connection. This information should be provided on a sufficiently regular basis to ensure it is up to date to inform potential connection applicants, for instance on a quarterly basis, and moving closer to real time. As noted in Proposed Decision CRU202504 given the interaction between capacity availability on the distribution and transmission systems, there is a need for interaction between ESB Networks and EirGrid in relation to developing and publishing the required information. This is also aligned with the requirements under Regulation 2024/1747 which states *'Distribution system operators and transmission system operators shall cooperate with each other in publishing, in a consistent manner, consistent information on the capacity available for new connections in their respective areas of operation that provides sufficient granular visibility to developers of new energy projects and other potential network users'*.

The CRU requests proposals from the System Operators outlining a plan for delivery of the requirements set out above and under Directive (EU) 2024/1711 (Article 2) & Regulations (EU) 2024/1747, the integration of information provision for the transmission and distributions systems, what measures are currently in place and what network information can be made available in the near term.

The CRU requests the two SOs to provide initial proposals in relation to these requirements, including plans to ensure consistency and integration between information provision relating to the transmission and distribution systems, by 31 March 2026. The CRU envisages that this work will likely require ongoing engagement between the CRU and SOs in due course in order to achieve the above requirements and benefits.

Decision

The Commission has made a decision that the SOs should take into account the location of the requested data centre connection application and associated generation in respect of if it is in a constrained or unconstrained location on the electricity network. It is within the SOs remit to determine whether a connection can or cannot be accommodated based on their assessment of each application.

The Commission requires the SOs to publish regular up to date locational information (existing and outlook) in relation to the availability of capacity on the electricity network and network constraint. The SOs are to provide to the CRU, initial proposals in relation to these requirements by 31 March 2026.

3.7. Demand flexibility & flexible connections

In the Call for Evidence (CRU202357), Consultation (CRU2024001) and Proposed Decision (CRU202504) papers the use of demand flexibility in the context of this review of LEU connection policy was explored. It was described how effective demand flexibility is a key element in supporting the electricity system and supporting a higher proportion of renewable energy on the system. Leveraging demand flexibility could help support the reliability and operation of the electricity network while enabling decarbonisation by making better use of renewable energy sources. It was described in Proposed Decision CRU202504 how as part

of the Climate Action Plan (CAP24)³⁶, a key measure to manage electricity demand flexibility and growth is that the CRU will deliver an Electricity Demand Side Strategy and Implementation Plan (action number EL/23/24), with the aim of 20 to 30% of electricity demand to be flexible by 2030 (15-20% flexibility by 2025). In fulfilment of this action, the CRU published the National Energy Demand Strategy³⁷ (or NEDS) in July 2024.

It was described in the previous papers how demand flexibility can mean a site increasing or decreasing demand from the grid in response to certain signals/information. This could be facilitated by load-shifting, i.e. an LEU moving tasks/workloads to different times, or it could mean using onsite storage or back up generation to supply onsite load or feed into the grid. Proposed Decision CRU202504 cited how the NEDS decision paper determined that demand flexibility will be defined as the percentage of average daily demand (MWh) that can be flexed up or down.

Some respondents to Proposed Decision CRU202504 favoured enabling some form of demand response or flexibility as part of the connection requirements. However, many respondents saw this as a substitute for some or all of the requirement to provide proximate or on-site generation and/or storage which matches the demand sites MIC on de-rated basis. Some respondents described requiring both flexibility and proximate and/or onsite generation as onerous, as this could require data centres to provide power for export to the grid and for their own consumption simultaneously. Some respondents described flexibility as a less carbon intensive and more efficient method of addressing capacity and constraint issues on the system. Some described it as a temporary measure only required until system adequacy issues are addressed. Some respondents highlighted the need for smarter dispatch and forecasting systems for demand response and flexibility.

3.7.1. Provision for demand flexibility in direction

In Proposed Decision CRU202504 the CRU stated that, in light of the requirement for data centre connections to bring onsite or proximate dispatchable generation capacity which, at a minimum, matches the sites' MIC, the CRU does not propose mandating an additional requirement that connection applications falling under this policy must also provide a demand flexibility contribution to the system. In Proposed Decision CRU202504 it described how the CRU sees merit in the System Operators having the ability to require demand

³⁶ [Climate Action Plan 2024](#)

³⁷ CRU – July 2024 – National Energy Demand Strategy decision – [link here](#)

flexibility from data centres on the local system as deemed necessary on a case-by-case basis. Many respondents to Proposed Decision CRU202504 emphasised the importance of making demand flexibility a mandatory requirement. Some respondents requested greater clarity on the criteria, parameters, and scenarios under which demand flexibility would be required. Some respondents requested transparent protocols and measurable standards to provide regulatory certainty and support investment decisions. Some respondents raised concerns about the cost implications and operational complexity of implementing demand flexibility requirements. There were mixed views on the effectiveness of incentives with some respondents stating that flexibility should be a product available in the market that incentivises adoption, rather than a penalty mandated on the industry by system operators, while others noted that financial incentives are of limited value to data centres as their customer service level agreements are based on power availability. Some respondents highlighted the importance of aligning these mechanisms with European Electricity Market Design Regulations. Several respondents advocated for integrating renewable energy sources and storage solutions into demand flexibility strategies.

The CRU considers that requirements under this decision for data centres to provide onsite or proximate generation or as an autoproducer available to the SEM (depending on MIC) replaces the need for mandatory flexibility requirements since the demand can be offset by the generation when required. However, the CRU notes that there may be significant opportunities for data centres to participate in demand flexibility measures such as those outlined below, which may provide additional revenue streams while supporting system needs. A number of these initiatives are in early stages of development and opportunities may emerge as they are rolled out in future.

3.7.2. Dispatchable demand flexibility schemes

In Proposed Decision CRU202504 it described how it is envisaged that a new formalised scheme(s) and related product(s) will be implemented by the SOs to facilitate dispatchable demand flexibility from LEUs on a regular operational basis. It is envisaged that these schemes will be built upon iteratively and that flexibility markets will be put in place. A number of schemes are currently in place or under development by the System Operators, with examples including:

- **Beat the Peak:** In 2022 ESB Networks introduced Beat the Peak, as part of the National Network, Local Connections Programme. Beat the Peak is a collection of initiatives for homes and businesses to try to move energy consumption away from times that put strain on the network, towards times of lower carbon supply.

- **ESBN Demand Flexibility Product:** As part of the Distribution Markets and System Operation (DMSO) programme ESBN are seeking to enable and incentivise demand flexibility to support Ireland's national targets, while securely and efficiently managing the electricity distribution network during this period of rapid change. In their consultation document³⁸ published in December 2023, ESBN outlined a proposal for a medium-term demand flexibility product to be procured in locations where there is a defined system need, as part of an overall programme to meet identified capacity requirements. It is described how medium-term demand flexibility can be taken to mean the ability to deliver demand reduction, demand shifting or inject power at or near their full contracted capacity for a minimum of 4 hours each day over specified hours, on the majority of business days over a minimum of 3-6 months of the year. ESBN described how the product has been designed to meet the specific network need arising at this time and to support the delivery of the 2025 and 2030 demand flexibility targets. Following further consultation, the CRU published the DSO Demand Flexibility Product Arrangements decision paper (CRU202560)³⁹ in May 2025, which approved the ESB Networks' proposed Demand Flexibility Product Arrangements. This outlined that ESBN is expecting that approximately 109 MW will be sourced in the first procurement batch. Further procurement batches could then follow to realise up to 500 MW of Demand Flexibility Product contracted across the distribution system by 2030.
- **Demand Side Unit (DSU):** Under existing arrangements, demand sites can participate in the wholesale electricity market as a standalone Demand Side Unit (DSU). DSUs can participate in the wholesale electricity markets as an aggregated Demand Side Unit (DSU) or stand-alone DSU e.g. above 10MW (cannot be part of aggregated DSU). This would entail participation in the energy markets and possibly in the capacity market Capacity Remuneration Mechanism (CRM).

³⁸ ESBN – December 2023 - Demand Flexibility Product Proposal – Consultation Document – [link here](#)

³⁹ CRU – May 2025 - DSO Demand Flexibility Product decision paper – [link here](#)

3.7.3. *Flexible connections*

The Electricity Market Design Directive (EU) 2024/1711⁴⁰ sets out a number of different provisions including the requirement for Member States to develop a framework for the TSO and DSO to offer the possibility of establishing flexible connections in areas where there is limited or no network capacity availability for new connections. The Department of Climate, Energy and the Environment (DCEE) published a consultation⁴¹ on 15 October 2024 to seek views in assisting the transposition of this directive into Irish law, including whether the CRU as the regulatory authority, or another competent authority, shall develop this framework and have authority over this provision. Following this consultation process, it is envisaged that the New Electricity Market Design Directive will be transposed into Irish law and that CRU will be designated as the competent authority. It is expected that following the confirmation of these developments in a corresponding decision by the Department of Climate, Energy and the Environment the CRU will develop a framework on flexible connections in due course.

Several respondents to Proposed Decision CRU202504 suggested that data centres could be given flexible connections or other similar arrangements whereby the demand site could “come off” the network during times of constraint or system tightness. At present there are a limited number of examples of flexible demand connections in Ireland, these include:

- **Flexible Demand Operating Protocol:** The Flexible Demand Operating Protocol was introduced as a requirement for a number of connecting data centres. In this approach EirGrid retains the right to instruct the data centre to lower its power consumption after exhausting other hierarchical actions, such as dispatching available relevant generation and DSUs. This protocol would be activated to avoid entering an alert state if there is a shortage of generation, or to help alleviate a local constraint. It would not be classified as a TSO action in wholesale markets, as it does not involve a registered market unit, nor would it fall under the current Grid Code definition of "Demand Control".
- **ESB Networks Timed Connections Pilot:** A Timed Connections pilot is being progressed as part of ESB Networks’ innovation programme and seeks to increase existing network utilisation and allow faster connection timelines for customers. ESB

⁴⁰ EU – June 2024 - Regulation 2024/1711 – [link here](#)

⁴¹ DECC - Consultation on the Electricity Market Design Directive – [link here](#)

Networks have proposed to offer certain eligible customers the opportunity to have additional import capacity, on a time restricted basis, when the network is traditionally less congested e.g. night-time. These timed connections may allow for increased capacity at specific times of the day, but in future could extend to specific days of the week or times of the year.

- **ESB Networks Flexible Demand Connections Initiative:** ESB Networks is developing a process for Flexible Demand Connections, allowing for an increase in Maximum Import Capacity (MIC) at a connection, subject to specific conditions. Under this initiative, which is currently very limited in scope, participants agree to lower their peak demand when required by ESB Networks in exchange for a higher flexible MIC in constrained areas, allowing for faster connection times. During high-demand periods with grid constraints, ESB Networks can instruct the customer to reduce consumption up to the agreed amount in line with the flexible proportion of the MIC. This is a temporary arrangement pending grid reinforcements. Once the necessary network upgrades are in place the connection will be deemed firm. As part of the conditions when accepting a flexible connection, a customer must comply with instructions to reduce consumption, failure to do so could result in disconnection.

It should be noted that these initiatives are still at an early stage and are limited in scale. Learnings from these arrangements will help to inform the future framework for flexible connections, taking into account aspects such as control, measurement, reliability and scalability.

3.8. Reporting Requirements

3.8.1. Proposed decision

In Proposed Decision CRU202504 it described how the CRU proposed to require regular reporting on renewable energy use and emissions by data centres to system operators, a summary of which would be published by the system operators.

In Proposed Decision CRU202504 the CRU noted that there are a number of initiatives underway relating to reporting requirements for data centres and LEUs.

The Energy Efficiency Directive⁴² includes requirements to collect and publish data on the energy performance, water footprint, and demand side flexibility of data centres, to contribute towards increasing efficiency and promote decarbonisation of the grid. The Energy Efficiency Directive is supplemented by Regulation 2024/1364 on the first phase of the establishment of a common Union rating scheme for data centres. This Regulation sets out the information and key performance indicators (KPIs) to be communicated to the European database by the operators of data centres with an installed information technology power demand of at least 500 kW and are necessary for the establishment of a common Union scheme for rating the sustainability of data centres in the EU, as well as a common measurement and calculation methodology. It also defines the first data centre sustainability indicators that will be calculated based on the information and key performance indicators communicated to the European database on data centres. The focus on KPIs such as energy consumption, renewable energy use, waste heat reuse, and water input ensures that data centres are continuously monitored for environmental performance.

The Corporate Sustainability Reporting Directive⁴³ (Directive (EU) 2022/2464) requires companies to disclose how sustainability risks impact them and how their operations impact society and the environment. This directive supports the EU's Green Deal objectives by ensuring that corporate practices are aligned with resource efficiency and the transition to climate neutrality by 2050.

In Proposed Decision CRU202504 the CRU noted that Action EL/24/22 in the 2024 Climate Action Plan sets out that SEAI /CRU /EirGrid /ESBN are to deliver the 'Implementation of enhanced emissions reporting framework for electricity emissions for large energy users and the system operators dispatch actions'. As part of this action, SEAI published the 'LEU electricity emissions reporting framework – Recommendations for design and implementation'⁴⁴. This report sets out high-level recommendations for how such a framework could be structured.

3.8.2. Proposed Decision CRU202504 feedback

Many respondents to Proposed Decision CRU202504 emphasised the importance of renewable energy procurement and emissions reporting. Many respondents emphasised the

⁴² EU – September 2023 - Regulation 2023/955 – [link here](#)

⁴³ EU – December 2022 - Regulation 2022/2464 – [link here](#)

⁴⁴ SEAI – December 2024 - LEU electricity emissions reporting framework – [link here](#)

importance of aligning self-reporting requirements with existing EU directives, such as the Energy Efficiency Directive (EED) and Corporate Sustainability Reporting Directive (CSRD). This ensures consistency and avoids duplicative reporting. There was general support for utilising existing reporting mechanisms, such as EPA and ETS requirements, to ensure efficiency and consistency in sustainability reporting. Some submissions expressed concerns about the potential for greenwashing, particularly with the use of Guarantees of Origin (GoOs) in renewable reporting mechanisms. Some suggested stricter standards to maintain credibility. Several respondents highlighted the need for streamlined reporting mechanisms to reduce administrative burdens. It was suggested a single repository could be used for annual reporting and avoiding duplicative requirements. Some respondents stressed the importance of transparency in reporting, advocating for independent audits and public availability of data to ensure accuracy and build trust.

3.8.3. Reporting requirements

As described Section “3.5 Renewable Electricity Requirement” the CRU has made a decision to require data centres to match at least 80% of their annual demand with additional renewable electricity generated in the Republic of Ireland, e.g. through direct development of renewable assets or through CPPAs. The CRU notes that data centres will be required to report to the SOs on their compliance with this requirement, which will be covered under the data centre’s contractual arrangements.

The CRU notes that Article 12 of the Energy Efficiency Directive requires data centres (defined by the directive as falling into three categories: enterprise, colocation and co-hosting) to report publicly on their energy performance annually. The key performance indicators to be set out are specified in Commission Delegated Regulation (EU) 2024/1364 of 14 March 2024 and include measures relating to consumption of renewables, inter alia,

- Total renewable energy consumption
- Total renewable energy consumption from Guarantees of Origin
- Total renewable energy consumption from Power Purchasing Agreements
- Total renewable energy consumption from on-site renewables

Following engagement with DCEE, the CRU expects that the transposition of the Energy Efficiency Directive will require individual data centres to report publicly on the measures referred to above. This is in line with the proposals within the CRU’s Proposed Decision CRU202504. Taking into account this development and the feedback to the proposed decision in relation to existing mechanisms to fulfil the reporting requirement, the CRU

considers that there is no longer a need for the public reporting requirement as envisaged in the Proposed Decision.

The CRU notes that the reporting requirement covered by the EED may include renewables contracted under CPPAs in Ireland and in other countries, some of which may be covered by imported GoOs. Given that the renewable electricity requirement set out in Section 3.5 Renewable Electricity Requirement is intended to assist in the delivery of the national 80% renewables target as set out in the Climate Action Plan and contribute to security of supply, the data centres will be required to indicate to the SOs specifically the renewables connected or contracted on the Republic of Ireland system by the LEUs.

The CRU also acknowledges that work is ongoing in relation to the LEU electricity emissions reporting framework. As capability is developed in this area it is envisaged that data centres which fall under the framework will be required to report their emissions on an hourly matched basis rather than an annual basis, however this is not a requirement of the CRU's review of LEU connection policy.

Decision

The Commission has made a decision that data centres will be required to report to the SOs on their compliance with meeting at least 80% of their annual demand with renewable electricity generated in the Republic of Ireland.

3.9. Connection Process, Assessment and Enforcement

3.9.1. Proposed decision

In Proposed Decision CRU202504 it described how it is envisaged that the SOs will assess applications at the connection application stage to assess whether the proposed measures meet the requirements outlined. Where the SO is not satisfied by reference to the assessment criteria that a connection offer can be made to an applicant consistent with the needs of the electricity system, the application will not be processed by the SO, accordingly, the application will terminate.

It was described that requirements associated with this new connection policy will be appropriately reflected in contracts which the system operators may enter into with connection applicants. Any breach of the requirements could result in actions up to and including a termination of the connection agreement. The CRU considers this appropriate in circumstances where the requirements are not being met given the potential risk to system security.

3.9.2. Proposed Decision CRU202504 feedback

Some respondents to Proposed Decision CRU202504 raised challenges such as practical issues in connection agreements and engagement levels with system operators during the connection process. Some respondents emphasised the importance of stakeholder engagement through workshops, transparent review processes, and regular updates on policy and decision-making. It was suggested these measures could streamline connection applications and ensure clarity in SO operations. Some respondents recommended monthly workshops for stakeholders to engage with System Operators, discuss power system models, and improve collaboration and feedback mechanisms. It was suggested that regular engagement such as this would allow stakeholders engage with the SOs and get early feedback on site locations. It was suggested that engagement between potential applicants and EirGrid prior to an application for planning permission being submitted will also be needed.

Some respondents called for clear and published criteria for connection decisions, along with a transparent review and appeals process to ensure accountability and fairness in the termination of applications. Some respondents emphasised the need for clear and updated policies for data centre connection processes and called for clear guidelines, performance standards, and oversight by regulators to ensure compliance. Some respondents suggested reviewing and updating the Data Centre Connection Offer Process and Policy, outlining criteria for application acceptance, and ensuring transparency in decision-making. In feedback to Proposed Decision CRU202504 the unilateral termination of connection applications was raised as a significant concern, marking a divergence from established engagements and raising questions about fairness and transparency. One respondent raised issue with the application of any new direction to existing applications being processed. This respondent highlighted the wording change from 'all new connection applications contracts' to 'all new connection contracts'. This respondent stated the CRU should not subject current applications being processed or terminations being appealed or judicially reviewed to another policy change.

3.9.3. Connection process and assessment

The CRU notes respondents' comments seeking clear assessment criteria and connection processes. The CRU notes that this policy decision will apply to all new connection applications for new or additional capacity captured under the scope of the decision. Direction CRU/21/124 will be superseded by the new direction to the SOs as set out in Section 6.2. As part of this new direction, the CRU is requiring the SOs to publish a clear and transparent engagement and connection application process for data centres reflecting the decisions stated in this paper. The CRU expects that the process will set out the following:

Stages of the process: The relevant stages of the connection process and the associated indicative timelines, including proposals for early engagement for data centre applicants.

Application Requirements: The SOs should set out the requirements for a complete project application including a template application form, requirements for supporting documentation (including any relevant planning permission requirements, proof of generation, etc.), and any applicable fees. These requirements should be based on the assessment criteria outlined in this decision, along with other information that the SOs deem relevant.

Offer process: SOs to provide clarity on the type of information and requirements that would be included in a connection offer.

The SOs are subject to EU obligations to improve transparency around grid connection capacity under Article 50(4a) of Regulation (EU) 2019/943, as amended by Regulation (EU) 2024/1711, and separately, under Directive (EU) 2024/1771, which amends Directive (EU) 2019/944. Both provisions aim to support efficient grid access and planning. While this information is not a guarantee of capacity, any prospective applicant should refer to any available network information prior to contact with the SOs' to ensure their proposal has potential to be feasible. As set out in Section 3.6.6 Publication of Network Information, the CRU requires the System Operators to make detailed information relating to network capacity on the electricity system easily accessible so that there can be greater visibility to the investment community in relation to appropriate locations for development.

The CRU acknowledges that new project applicants/developers may require early engagement with the relevant SO in order to inform a number of different project design elements. These early engagements could provide information relating to constrained locations and help inform the proximate generation specification and siting, and whether the proposed approach would be deemed acceptable to the relevant SO. The CRU recognises that SO resources should be targeted towards more advanced projects, and that a certain level of project maturity may need to be demonstrated to enter into the pre-engagement process. This is to ensure that the pre-engagement process should find an appropriate balance between the SOs' workload and providing adequate feedback to the applicant.

As required under this decision, data centre applications will be required to provide both dispatchable and renewable generation. The grid connection for this generation will need to be applied for via the ECP-GSS application process. The SOs' connection application process should outline how the data centre application will interact with their corresponding generation application(s) in ECP-GSS. Technical specifications and requirements expected for generation should also be provided to facilitate applicants in their planning.

The CRU requests that, following the publication of this policy decision, each of the electrical SOs develop and publish an engagement and connection process for data centres in order to provide transparency and clarity for prospective applicants. This should include a high-level process timeline to help inform stakeholder engagement expectations. As part of the development of a connection process based on this decision, the electrical SOs should outline minimum expected performance and availability requirements for onsite or proximate generation and/or storage and autoproducer units required through this policy. These expected performance and availability requirements should acknowledge the need for routine necessary maintenance on the generation and/or storage assets. It is understood that the development and publication of the connection engagement and application process by the SOs will require some time to complete. In order to allow sufficient time to develop and publish this connection process reflecting this decision the CRU requests that each electrical SO publishes their respective process by 31 March 2026. Once published new applicants will then have the transparency and clarity required to advance new data centre connection applications.

3.9.4. Termination of connection applications

As described in Proposed Decision CRU202504 in terms of assessing data centre connections, it is envisaged that the SOs will assess applications at the connection

application stage to assess whether the proposed measures meet the requirements outlined. Where the SO is not satisfied by reference to the assessment criteria that a connection offer can be made to an applicant consistent with the needs of the electricity system, the application will not be processed by the SO, accordingly, the application will terminate. The CRU considers this to be the most appropriate approach. In cases where a connection offer cannot be made to the applicant, the SOs must provide relevant information to the customer on the reasons for refusal and, where the reason for refusal is due to a lack of network capacity, measures that would be required to reinforce the network as required under Section 34(5) of the 1999 Act. The CRU notes that these measures may not be included in network development plans.

3.9.5. Enforcement

As described above in Section 3.3 Requirements for data centres that have an MIC <10MVA, Section 3.4 Requirements for all data centres equal to or above 10 MVA and Section 3.5 Renewable Electricity Requirement, the CRU's view is that the energy assets required under this policy should have to meet the same performance and availability requirements as any other equivalent unit in the system. This new capacity should be made available to the system on an operational basis in order to reflect the additional demand capacity of the data centre and support the continuity, security, and quality of supply of electricity for the wider system. It is envisaged that reliability of service will be a contractual requirement in the data centre's contractual arrangements. If the delivery, performance and availability of the required energy services falls below this minimum expected reliability or provision of available capacity to the system, the SOs will have the ability to reduce the MIC of the related data centres demand connection and/or move it to non-firm status. This should be set out by the SOs within the contractual arrangements.

3.9.6. New connection applications

In Proposed Decision CRU202504 it described how the outcome of this work will inform any resulting CRU decision, including any new direction under Section 34 of the 1999 Act, that will apply to all new connection contracts for new or additional capacity captured under the scope of the decision. Direction CRU/21/124 will be superseded by the new direction to the SOs as set out in Section 6.2. The CRU notes concerns raised in relation to the application of any new direction to existing connection applications already being processed. This decision and new direction will apply to all new connection applications following publication

of this decision. Applications received prior to the publication of this decision and currently being processed will continue to be processed under CRU/21/124.

3.9.7. Application of this policy to new demand versus increases to existing demand sites

The CRU notes that some data centre connection applications may relate to existing data centre sites seeking an increase to their MIC. This raises the question as to what requirements this data centre demand must meet, reflecting the potential different sizes these MIC increases may represent versus the size of the overall site demand.

In Table 6 below a number of different scenarios are set out, outlining what requirements should apply in each of these. These scenarios are intended to capture a broad range of possible data centre applications. The requirements described for each scenario are intended to be proportionate in relation to the corresponding MIC requests/increases. The CRU notes the requirements are based on the MIC increase itself and are not based on the overall MIC of the site. Existing projects increasing their MIC to 1MVA or more (even if the requested increase in capacity is <1MVA) would not be captured under the de-minimis, as this de-minimis level applies to the whole project.

The CRU notes concerns raised by the SOs regarding potential behaviour by applicants such as ‘project splitting’. Multiple applications below a certain level for the same project/owner must be treated on an aggregated basis by the SOs. Project splitting has the potential to undermine this policy and potentially increase security of supply and network constraint risks.

	(MVA)				
	New	Existing	Increasing MIC	What approach applies	MIC approach applies to:
Scenario 1	0.9			De-minimis approach applies	0.9
Scenario 2	9			<10MVA approach applies	9
Scenario 3	12			>10MVA approach applies	12
Scenario 4	40			>10MVA approach applies	40
Scenario 5		0.4	0.4	De-minimis approach applies	0.4
Scenario 6		0.4	0.9	<10MVA approach applies	0.9
Scenario 7		8	8	<10MVA approach applies	8
Scenario 8		12	0.9	<10MVA approach applies	0.9
Scenario 9		20	8	<10MVA approach applies	8
Scenario 10		20	20	>10MVA approach applies	20

Table 6: Which requirements apply under different scenarios

Decision

The Commission has made a decision that the electrical SOs should each publish an engagement and connection process for data centre connection applicants by 31 March 2026.

4. Gas connections

In Proposed Decision CRU202504 it described how a number of applications from Data Centres have been received by Gas Networks Ireland (“GNI”) for connection to the gas system. These connections could be in addition to, or as back-up to, a site’s electrical connection. Some of these data centre applications may have chosen gas as their primary source of energy, for example, in cases where they were unable to secure an electrical connection. In these cases, applicants seek a gas connection to generate electricity onsite for the data centre load - arrangements known as ‘islanded data centres’ since they are isolated from the electricity network. It described how the CRU understands that a number of data centres have been contracted by GNI to connect to the gas system as their primary energy source.

In the Call for Evidence (CRU/202357) it set out how a coordinated approach for connections to the electricity and gas networks could ensure that policies introduced for electricity do not inadvertently result in an unintended consequence of increased connections to the gas network, and vice-versa. The measures being put in place for the connection of data centres to the electricity network have been developed in the context of system constraints and security of supply. Where gas-connected projects are also connected to the electricity system, these connections can provide resilience for Ireland’s energy supply. However, the CRU does acknowledge that, due to the scale of these applicants’ typical energy demands, an influx of a number of these types of users could impact gas usage and trigger the need for investment in gas infrastructure. It described how these type of gas users may not represent long term demand (unlike traditional industrial heat users) and may result in the risk of stranding of gas infrastructure assets as this demand may seek to electrify in the future.

4.1.1. *Security of supply*

In Proposed Decision CRU202504 it described how GNI has an obligation under Section 8(2) of the Gas Act 1976 to have regard to the need to ensure the safety and security of the transmission, distribution and supply of natural gas, and it is essential that GNI continues to monitor the risk associated with connection applications to the gas network to determine whether they pose any risk to security of supply or increased network investment costs.

As set out in Proposed Decision CRU202504, GNI described in the Network Development Plan 2024⁴⁵ that annual gas demand is expected to increase up to 2025/26 and then decline for the remaining years of the period towards 2031. Peak day gas demand is predicted to grow over the ten-year period and is driven by the requirement for dispatchable gas-fired electricity generation to meet the growing electricity demand on days of low available renewable energy. The declining long-term trend of emissions intensity of electricity generation and the growing renewable installed capacity were also described. Some respondents to Proposed Decision CRU202504 raised concerns that the requirement for data centres to provide onsite or proximate generation may lead to increased demand on the gas network and result in security of supply concerns. Some respondents to Proposed Decision CRU202504 stressed the importance of a coordinated approach between gas and electricity networks to avoid unintended consequences, such as increased gas connections due to electricity grid constraints. Some respondents called for better planning and communication between the system operators.

4.1.2. Interruptible gas product

The concept of potential future interruptible gas connections was discussed in Consultation CRU2024001. Proposed Decision CRU202504 described how the Government's Energy Security in Ireland to 2030 - Energy Security Package (published in November 2023) outlines that DCEE are leading an action "to review gas connection policy and introduce gas demand flexibility measures" in 2025. The National Energy Demand Strategy further reinforces this by assigning an action to GNI to "Undertake assessment to identify flexibility products & services on the gas network ...". Proposed Decision CRU202504 described how GNI are working on the development of an interruptible gas capacity product for large energy users which supports the maintenance of gas supply/demand balance.

Some respondents to Proposed Decision CRU202504 supported the development of interruptible gas capacity products for large energy users (LEUs), emphasising their role in balancing gas supply and demand. Some respondents suggested that such products could enhance grid stability and provide flexibility for LEUs. Several respondents expressed concerns about the application of interruptible gas contracts, particularly for projects providing dispatchable capacity. These respondents argued that reliance on interruptible gas connections could undermine energy security and operational reliability for data centres.

⁴⁵ GNI – 2024 – Network Development Plan – [link here](#)

Some respondents suggested the need for clear policies regarding interruptible gas products. Some respondents suggested that the CRU should provide explicit guidance on the use of these products and ensure coordination between gas and electricity system operators to avoid unintended consequences.

4.1.3. Islanded data centres

The July 2022 Government Statement on the Role of Data Centres in Ireland's Enterprise Strategy outlined that islanded data centres (i.e. those connected to the gas network but not the electricity network) would not be in line with national policy, suggesting these would run counter to emissions reduction objectives and would not serve the wider efficiency and decarbonisation of the energy system. The Government Statement also said that growth in 'Islanded' data centres may transfer security of supply risk from electricity to gas supply, potentially putting stress on the gas network and gas importation. In Proposed Decision CRU202504 it described how the CRU understands that the development of islanded gas data centres continues not to be in line with Government policy.

Some respondents to Proposed Decision CRU202504 opposed the development of islanded data centres, citing concerns about their inconsistency with government policy, their negative impact on decarbonisation efforts, and their potential to hinder climate goals. Islanded data centres were described as a step backward in achieving a sustainable energy future. Some respondents criticised islanded data centres' reliance on gas connections for exacerbating dependence on fossil fuels, increasing greenhouse gas emissions, and slowing progress toward decarbonisation. Some respondents emphasised the need to transition away from fossil fuels to meet climate objectives.

Some respondents highlighted the lack of clear policy direction and legal basis for addressing gas connections for islanded data centres. Some respondents called for coordinated policies between gas and electricity connections and stressed the importance of aligning with climate action and energy policies. Some respondents discussed the economic implications of islanded data centres, including the risk of stranded assets, the need for long-term planning, and the importance of developing a mature renewable gas market.

Some respondents to Proposed Decision CRU202504 described the use of islanded data centres as a transitional solution, provided they adhere to strict guidelines and timelines. Some respondents suggested that these gas connections could be used as a temporary solution for data centres while waiting for electrical grid connections/upgrade works. Some

respondents proposed setting a maximum time limit for such interim use to ensure it remains a short-term (non-enduring) measure.

4.1.4. Renewable gases

In Proposed Decision CRU202504 the CRU noted that, where data centres are connected to the gas network, the use of biomethane could play a role in decarbonisation of their demand. The certainty of long-term contracts with data centres could support the development of indigenous biomethane production, which should be done within sustainable production limits and taking into account other demands for biomethane and renewable gases. In Consultation CRU2024001 and Proposed Decision CRU202504 an example was provided to illustrate what generation capacity a limited renewable fuel supply could support. Table 7 below approximates the potential capacity of gas generation that could be supported by the biomethane volumes determined in SEAI's Heat Study⁴⁶.

Available biomethane (TWh)	% of hours running	Installed Gas Generation Capacity (MW)
2.7	10%	1541
2.7	50%	308
2.7	90%	171
3.7	10%	2112
3.7	50%	422
3.7	90%	235
5.1	10%	2911
5.1	50%	582
5.1	90%	323

Table 7: Illustrative example of gas generation capacities based on heat study biomethane volumes

The CRU noted in Proposed Decision CRU202504 the potential role of the gas network in decarbonising Ireland's energy system, and GNIs commitment to achieving a net-zero gas network by 2045. This includes ongoing work by GNI towards the continued roll-out of biomethane and Compressed Natural Gas (CNG) technologies. It was described how going forward hydrogen may be an option to decarbonise the energy system. It was described how the domestic production of renewable gases can reduce the need for investment in cross-border infrastructure, support security of supply and contribute to the delivery of Ireland's decarbonisation objectives.

⁴⁶ SEAI – February 2022 – Sustainable Bioenergy for Heat – [link here](#)

Some respondents to Proposed Decision CRU202504 highlighted renewable gases like biomethane and green hydrogen as essential components in achieving decarbonisation goals. Some respondents described them as critical for reducing emissions and supporting Ireland's transition to a sustainable energy system. Some respondents raised concerns about the limited supply of renewable gases in the medium term and the need for sustainable sourcing practices. Issues were raised by some respondents such as biodiversity loss and the indirect land use change associated with biofuels. Some respondents raised the need for sustainable sourcing and proper certification to avoid biodiversity loss, and the need for legislative backing to ensure renewable gases are sourced sustainably and utilised effectively.

Some respondents to Proposed Decision CRU202504 suggested the use of long-term contracts and corporate PPAs to support the biomethane and green hydrogen markets. Some respondents suggested the integration of biomethane and green hydrogen into gas and electricity networks as a way to enhance energy efficiency and reduce renewable energy curtailment. Flexible gas network connections were suggested as integral to this process. Some respondents questioned the use of renewable gases for baseload electricity generation in data centres as an inefficient use. There was a call from some respondents to avoid long-term commitments to fossil fuels and ensure renewable gases are prioritised for harder-to-abate sectors rather than for data centres.

4.1.5. *Next steps*

The CRU is cognisant that there is considerable interaction between the gas and electricity networks and a coordinated approach to connections to the electricity and gas networks has merit. The CRU notes the recent update to the Gas Directive (to be transposed by August 2026) states that: "Member States shall endeavour to ensure coordinated planning steps of the respective ten-year network development plans for natural gas, hydrogen and electricity" and that this will inform future work in this area. However, the CRU also notes that coordinated connection policies between gas and electricity for individual connections would likely require new legislation to be introduced.

The CRU is not proposing to introduce any new decisions relating to connections to the gas network as part of this review process. The CRU does acknowledge the need to consider what changes may be required in this regard and is actively engaging with Gas Networks Ireland to progress the potential introduction of an interruptible gas capacity product and proposes to consult separately on this topic in the near term.

5. Other considerations

This section outlines other issues raised as part of feedback to the proposed decision.

5.1.1. *Strategic Environmental Assessment (SEA)*

The European Directive 2001/42 (the “SEA Directive”) introduces the requirement of Strategic Environmental Assessment (SEA)⁴⁷. An SEA is a process for the formal, systematic evaluation of the likely significant environmental effects of implementing a plan or programme. An SEA aims to provide for a high level of protection of the environment and to contribute to the integration of environmental considerations into the preparation and adoption of plans with a view to promoting sustainable development.

A number of respondents to Proposed Decision CRU202504 raised the possible need for a Strategic Environmental Assessment (SEA) of the CRU’s Review of LEU Connection Policy. It was suggested that the decision would represent a plan or programme for the energy sector which sets the framework for data centres and comes within the scope of the SEA Directive. Therefore, it was suggested that an environmental assessment is required under the SEA Directive. Another respondent highlighted that the Government Statement on the Role of Data Centres in Ireland’s Enterprise Strategy, despite being repeatedly utilised as a basis, framework and justification for further data centre development, was never subject to a SEA. This respondent suggested that, to their knowledge, no SEA screening was conducted.

The CRU considers that the LEU connection policy, which sets the terms and conditions by which an individual data centre can connect to the electricity network, does not constitute a plan or programme for which a requirement for SEA arises under the SEA Directive.

5.1.2. *Infrastructure*

Some respondents to Proposed Decision CRU202504 highlighted the need to upgrade Ireland’s electricity grid to accommodate data centre demand while ensuring sustainability. Some respondents emphasised the need for significant upgrades to Ireland’s electricity and gas infrastructure to support increased electrification and energy demands. The CRU notes

⁴⁷ <https://www.gov.ie/en/department-of-housing-local-government-and-heritage/publications/strategic-environmental-assessment-sea/>

the network development plans included in the Price Review 6 (PR6) submissions by the SOs are developed to deliver upon government and sector plans and policies including renewable targets, to meet security of supply requirements and to meet the increasing demand for electricity including for national housing targets. However, in the absence of clarity around the scale and location of future data centre demand, it is challenging for the system operators to plan and build the electricity system to meet these potential additional future needs. The CRU is of the view that a State-led approach to infrastructure development for data centres is required in order to accommodate such potential future demand. Such an approach could encompass spatial planning for data centres, along with targets-based and plan-led infrastructure development, which drives synergies between energy, environmental and enterprise policy, and would help to ensure that the utility infrastructure (e.g. energy, communications, water) required to meet growing demands will be planned in a coordinated and efficient manner. As described in Proposed Decision CRU202504, in order to better understand the scale of potential medium-term demand from prospective data centres and to help inform the potential development of a State-led approach to enable the continued future development of the data centre sector in Ireland, the CRU requested the electricity and gas SOs to conduct a market intelligence exercise. Initial feedback from this market intelligence exercise suggests that there is potential for in the order of 5.8GW additional demand capacity required for the data centre sector in Ireland in the medium term. This is in addition to demand already contracted and would require consideration of a bespoke or plan-led approach to infrastructure development in Ireland.

5.1.3. Private wires

Many respondents suggested private wire systems as a solution to reduce grid strain and support renewable energy integration. Some respondents recommended implementing private wire policies, encouraging their use for clean energy, and providing clear guidance on their role in infrastructure development. In July 2025, DCEE published a Private Wires Policy Statement⁴⁸ which states that the Government has decided to allow private wires to be built and operated in a limited number of circumstances (four use cases were identified) where the public benefits of allowing such developments are clear. Some of the guiding principles and objectives for the development of the Private Wires Policy (published in July 2024) were to accelerate the deployment of renewable generation and storage, and to serve other policy objectives including security of supply, the offshore wind strategy, the hydrogen strategy,

⁴⁸ DCEE Private_Wires_Policy_Statement – [link here](#)

industrial policy, and the national climate objective, while not undermining the financing or efficient development of the National Electricity Grid.

There are a number of complex regulatory and administrative issues that will have to be addressed prior to the implementation of this policy. This includes a change required to primary legislation, making detailed regulations and assigning new powers, tasks and resources to the CRU, and potentially to other bodies. Following the introduction of new legislation, the CRU will be required to develop and/or update frameworks as required.

5.1.4. Collaboration amongst key stakeholders

Many respondents emphasised the importance of collaboration among stakeholders, and identified key stakeholders including the CRU (Commission for Regulation of Utilities), EirGrid, SOs (System Operators), An Coimisiún Pleanála, Planning Authorities, EPA (Environmental Protection Agency), and Government. These entities were highlighted for their roles in policy development, implementation, and regulation of data centre connections and energy infrastructure. The CRU recognises the need for key stakeholders to collaborate in order to more effectively and efficiently deliver on intended policy outcomes, and considers that stakeholder collaboration will be required in any potential State-led approach.

5.1.5. Stranded assets

Several respondents to Proposed Decision CRU202504 highlighted concerns about stranded assets due to cancelled connection applications, sunk costs, and lack of firm power availability. It was described that these issues were linked to significant investments in permitting and site development that remain unutilised, creating uncertainty for developers and investors. Some respondents raised concerns about the negative message sent to potential foreign investors due to stranded assets and terminated applications. It was suggested addressing these issues is seen as critical to maintaining Ireland's reputation as a trustworthy investment location. Some respondents suggested creating a cross-functional task force to resolve stranded investment cases, implementing structured dialogue among stakeholders, and adopting a more dynamic approach to connections to support electrification and reduce stranded capacity. Some respondents emphasised the importance of distinguishing between advanced-stage projects with significant investments and speculative projects. It was suggested that prioritisation should be given to consented more advanced developments to prevent loss of digital infrastructure and stranded assets.

The requirements in this decision will apply to all new connection applications following the publication of this decision. Applications that were previously terminated would need to reapply and be subject to the conditions set out in this new policy.

5.1.6. Cost burden & Tariff review

A number of respondents raised concerns relating to the associated cost impacts on consumers of requiring new dispatchable generation. It was stated that the consequence of this may be to increase costs for all consumers. It was suggested that the burden of funding new generation and/or storage assets as part of this policy would need to be appropriately shared between the data centre in question, and consumers more broadly. The CRU notes that all electricity market charges and a significant percentage of electricity network charges are levied on SEM demand on a €/MWh basis. Any new data centre demand would contribute towards these costs through their energy payments.

A number of respondents to Proposed Decision CRU202504 raised the issue of locational signals for demand customers. These respondents raised the current network tariff structure and how it does not provide explicit locational signals for demand. These respondents suggested this should be assessed in the network tariff review to incentivise demand to locate in the most efficient and/or least constrained areas of the network. The CRU notes feedback received in relation to the use of the network tariff structure towards providing explicit locational signals for demand. The CRU has recently re-commenced the Electricity Network Tariff Structure Review Project⁴⁹ and stakeholders are invited to engage on this process as it develops. The CRU notes that additional large demand connections would increase the charging base for tariffs/charges. This means that the costs captured by the tariffs/charges are being spread over a larger volume of demand, which has the potential to lower costs on a per unit basis.

5.1.7. Fault Ride Through

In Proposed Decision CRU202504 the CRU noted the ongoing work in relation to future standards being developed around system security, including fault ride-through capability. It was described in Proposed Decision CRU202504 how EirGrid noted in their feedback as

⁴⁹ [The Electricity Network Tariff Structure Review | CRU.ie](#)

part of this review that operational issues have arisen regarding the technical performance of data centres on the electricity system. EirGrid's observations are that the collective response of data centres to system faults is exacerbating disturbances on the power system via disconnection and automatic reconnection of their demand, and that this behaviour is already presenting some technical challenges. In order to alleviate these risks, EirGrid is engaging with stakeholders in order to develop mandatory Grid Code standards, including fault ride-through capability, to ensure the SOs can securely accommodate the projected growth of demand of data centres. Following the introduction of Grid Code standards, it is expected that similar standards will ultimately be transposed to the Distribution Code.

A number of respondents to Proposed Decision CRU202504 suggested that flexibility should be a requirement in the new policy. These respondents suggested that new proven technologies could be used which deliver real time flexibility to the SO which will eliminate the risk of fault ride through to the transmission system. One respondent stated that fault ride through for data centres has emerged as a serious issue and the development of any new policy cannot ignore this issue. This respondent suggested that the SOs ability to make further connection offers may be jeopardised unless it can be assured that this issue will not be factor for any new projects connecting.

The CRU notes that the new Grid Code standards being progressed in relation to Fault Ride Through are intended to apply to existing and new connections, and consideration should be given to potential requirements, where known, in the project development stage. The CRU notes the importance of grid stability to all customers including data centres.

5.1.8. Definition of a data centre

A number of respondents to Proposed Decision CRU202504 commented on the definition of a data centre and the need to clarify this. One respondent suggested the definition of a data centre is too broad, and suggested that the policy should only apply to data centres that provide cloud services to third parties, or lease space for third party equipment to provide cloud services, and that operate at scale. Another respondent suggested that the definition of a data centre as set out should ensure that other LEU types such as dispatchable demand, electrolyzers etc. are not inadvertently captured by this policy. One respondent stated that it would be important to clarify that the definition of a data centre includes three key types: hyperscale / wholesale / retail, each with different economic and energy use profiles. This respondent suggested that Hyperscale and Wholesale data centres are large

energy use facilities, and their energy use is consistent with the description in the policy paper, but recommended excluding retail data centres (<20MW). The CRU notes feedback received in relation to the definition of a data centre.

5.1.9. District Heating

A number of respondents to Proposed Decision CRU202504 supported the use of waste heat from data centres in local district heating networks. Some respondents were supportive of district heating as a significant potential contributor to sustainable development in Ireland, describing the decarbonisation benefits of waste heat generated by data centre facilities being exported via local district heating schemes serving nearby businesses and/or residences. One respondent stated that the deployment of district heating networks needs to be accelerated. One respondent suggested that any requirement for data centres to provide heat to district heating networks should be voluntary as some locations will suit and some may not. This respondent stated that the cost of the district heating network cannot be borne by the heat provider alone.

The CRU understands that Government intends to enact legislation in this area, having approved the General Scheme of the Heat (Networks and Miscellaneous Provisions) Bill in November 2024. Enactment will provide the legislative and regulatory framework to support the development of district heating. Article 26 (6) of the Energy Efficiency Directive states that “Member States shall ensure that data centres with a total rated energy input exceeding 1 MW utilise the waste heat or other waste heat recovery applications unless they can show that it is not technically or economically feasible”. The CRU notes that the policy framework for district heating networks is evolving, that Government policy supports the expansion of district heating in Ireland to contribute to the diversification of fuel supply and decarbonisation of the heat sector, and the allocation of funding by Government from the Climate Action Fund in July 2025 to support pre-construction development costs for efficient district heating projects in Ireland. The CRU does not intend to create a mandate relating to district heating for data centre requirements as part of this decision.

5.1.10. Energy Efficiency Directive

A respondent to Proposed Decision CRU202504 highlighted the requirement under the Energy Efficiency Directive for EU Member States to reduce their energy consumption, and

considers that the CRU should (at least) indicate that data centre growth in Ireland presents a risk to meeting this requirement.

Article 4 of the Energy Efficiency Directive sets a target for reducing the Final Energy Consumption of EU Member States by 2030 by 11.7% compared to 2020. The individual contributions from each Member State were to be determined as set out in the Directive as part of the development of their National Energy and Climate Plans. Ireland's indicative target was approved in February 2024 as 10.451 Mtoe of Final Energy Consumption, a reduction of 12.6% on the 11.969 Mtoe consumed in 2022. Ireland's National Energy and Climate Plan⁵⁰ acknowledges the significant challenge that this presents and that energy consumption is likely to rise in the short term, but that alongside existing policies and measures in place, further initiatives are intended to be developed to meet the target.

⁵⁰ DCEE – July 2024 - National Energy and Climate Plan – [link here](#)

6.Direction to System Operators

Upon publication of this Large Energy Users connection policy decision, direction CRU/21/124 will be superseded by the new direction to the SOs as set out in this Section 6.2 below.

6.1. Previous 2021 direction in relation to data centres

As described in Proposed Decision CRU202504 following extensive engagement between the CRU and EirGrid on security of supply matters and the role of data centres in this context, EirGrid sent a letter to CRU dated 27 May 2021, which outlined their concerns. In response to this in June 2021 the CRU published a consultation paper (CRU/21/060). This was in the context of a wider system security review, including greater insight into the delivery of generation through the Capacity Remuneration Mechanism pipeline, short-term security of supply challenges and network constraints. It was clear that measures would need to be implemented in order to prevent new connections for data centres from exacerbating some of these risks.

The CRU identified risks that continuing to allow data centres to connect to the electricity network in accordance with previously established arrangements would have significantly impacted the CRU's ability to comply with its statutory obligation to protect the security of supply of electricity by ensuring that electricity system can meet the reasonable demands of all consumers, including the demands of existing data centres. Following a consultation process, in November 2021, the CRU issued directions to the Electricity TSO, EirGrid, and the Distribution System Operator (Electricity DSO), ESB Networks, regarding the assessment of data centre connection applications (CRU/21/124). This was in response to an evolving, significant risk to electricity security of supply in Ireland, and network constraints identified by the SOs.

6.1.1. **Assessment Criteria (CRU/21/124) - 2021 direction**

The 2021 direction text stated: "*Pursuant to Section 34(1) of the Electricity Regulation Act 1999 (the Act), the CRU directs EirGrid as (TSO) & ESN as (DSO) to assess applications for the connection of data centres by reference to the following assessment criteria to determine whether a connection offer can be made within the system stability and reliability needs of the electricity network:*

- *The location of the data centre applicant with respect to whether they are within a constrained or unconstrained region of the electricity system.*

- *The ability of the data centre applicant to bring onsite dispatchable generation (and/or storage) equivalent to or greater than their demand, which meets appropriate availability and other technical requirements as may be specified by the relevant SO, in order to support security of supply.*
- *The ability of the data centre applicant to provide flexibility in their demand by reducing consumption when requested to do so by the relevant SO in times of system constraint through the use of dispatchable on-site generation (and/or storage) which meets appropriate availability and other technical requirements as may be specified by the relevant SO, in order to support security of supply.*
- *The ability of the data centre applicant to provide flexibility in their demand by reducing consumption when requested to do so by the relevant SO, in times of system constraint, in order to support security of supply.”*

6.1.2. Proposed Direction text outlined in Proposed Decision CRU202504

In Proposed Decision CRU202504 the CRU set out proposed text to replace direction criteria in the 2021 direction. This proposed to direct the electrical SOs (EirGrid and ESB Networks) to assess applications for the connection of data centres by reference to the following assessment criteria to determine whether a connection offer can be made within the system stability and reliability needs of the electricity network:

- The location of the data centre applicant with respect to whether they are within a constrained or unconstrained region of the electricity system.
- The ability of the data centre applicant to bring onsite or proximate dispatchable generation (and/or storage) capacity equivalent to or greater than their demand, that participates in wholesale market arrangements, is separately metered, which meets appropriate availability and other technical requirements as may be specified by the relevant SO, in order to support security of supply.
- The ability of the data centre applicant to bring demand flexibility provisions if deemed necessary by the relevant SO.
- The applicant's commitment to self-report to SOs on the data centre site's emissions and use of renewable energy on an annual basis.

6.1.3. Respondents feedback

Some respondents to Proposed Decision CRU202504 emphasised the need for optionality in the directions provided to the SOs. It was suggested this optionality could include triggering requirements only when beneficial to the grid. Suggestions included allowing projects to meet only relevant criteria, enabling case-by-case assessments, and avoiding rigid requirements that could hinder grid application progress. Concerns were raised about the narrow and rigid criteria as applied by the SOs, which may place undue responsibility on applicants and restrict locational options. Some respondents to Proposed Decision CRU202504 suggested the direction should focus on incentivising renewable energy development, integrating renewables into the grid, and adopting holistic approaches to ensure system reliability and sustainability.

6.2. New direction in relation to data centres

Based on the decisions outlined in this paper, the CRU is directing the SOs to assess applications for the connection of data centres to the electricity network, as set out below. It is intended that this new direction will supersede the direction to the electrical SOs from 2021 (CRU/21/124).

6.2.1. *New Direction to the System Operators*

Pursuant to Section 34(1) of the Electricity Regulation Act 1999 (the Act), the CRU directs EirGrid (as TSO) & ESBN (as DSO) to assess applications for the connection of data centres by reference to all the following assessment criteria to determine whether a connection offer can be made within the system security and reliability needs of the electricity network:

- For data centre applicants with an MIC equal to or above the de-minimis level of 1MVA and less than 10MVA, the ability of the data centre applicant to provide an autoproducer unit in the wholesale electricity market which meets 100% of the demand sites MIC (on de-rated basis).
- For data centre applicants with an MIC equal to or above 10 MVA , the ability of the data centre applicant to bring new onsite or proximate dispatchable generation and/or storage capacity equivalent to or greater than their MIC (on de-rated basis), that will be capable of participating in wholesale electricity market arrangements, is separately connected and metered, which meets appropriate availability and other technical requirements as may be specified by the relevant SO, in order to support security of supply.
- For data centre applicants with an MIC equal to or above the de-minimis level, the ability of the data centre applicant to meet at least 80% of their annual demand through

provision or procurement of additional renewable electricity generated in the Republic of Ireland. Applicants will be required to demonstrate a credible plan in relation to how they intend to meet these requirements within a 6-year period from the date of the demand site's energisation. The renewable generation contribution can be reflected (up to 80% of annual demand) on a de-rated basis against the dispatchable generation requirement.

- The location of the data centre connection application and, if relevant, any associated onsite/proximate generation, with respect to whether they are within a constrained or unconstrained location on the electricity system. It is within the SOs remit to determine whether a connection can or cannot be accommodated based on their assessment of each application.

Where the SO is not satisfied by reference to the assessment criteria that a connection offer can be made to an applicant consistent with the needs of the electricity system, the application will not be processed by the SO, accordingly, the application will terminate. Where the SO refuses to offer into a connection agreement, they shall provide the applicant with the reasons for the refusal.

6.2.2. Additional SO requirements

In addition to the assessment of applications according to the assessment criteria outlined above, the CRU also requires the SOs to:

- Publish regular up to date locational information (existing and outlook) in relation to the availability of capacity on the electricity network and network constraint. The SOs are to provide initial proposals in relation to these requirements, including how to capture interaction between the transmission and distribution systems, by 31 March 2026.
- Develop and publish the required engagement and connection application process for data centre applicants reflecting the decisions stated in this paper, by 31 March 2026.
- Update the relevant contractual requirements required to enforce the decisions set out on this paper.
- Provide a bi-annual report to the CRU on the implementation and effectiveness of this policy.

7. Future potential evolution of LEU policy

As described in Proposed Decision CRU202504 there are a number of areas where developments may occur in the coming years that may provide more opportunities to further develop the connection policy for LEUs. In particular, the CRU will review the connection policy as government policy continues to evolve and as markets emerge for the provision of flexibility products. Some of the relevant areas are set out in detail below.

7.1.1. Data Centre market intelligence exercise

As described in Proposed Decision CRU202504 in order to better understand the scale of potential medium-term demand from prospective data centres and to help inform the potential development of a State-led approach to enable the continued future development of the data centre sector in Ireland, the CRU requested the electricity and gas SOs to conduct a market intelligence exercise. The data and analysis provided to CRU may be used to inform future policy development, e.g. a potential State-led strategic approach to delivery of utility infrastructure for data centres in the medium term, and to highlight any risks arising in relation to accommodating organic economic growth. This work is being carried out in parallel with this ongoing review and will be focussed on informing the medium-term approach. Initial feedback from this market intelligence exercise suggests that there is potential for in the order of 5.8GW additional demand capacity required for the data centre sector in Ireland in the medium term. This is in addition to demand already contracted and would require consideration of a bespoke or plan-led approach to infrastructure development in Ireland.

7.1.2. State-led approach

The Government Statement on the Role of Data Centres in Ireland's Enterprise Strategy⁵¹ published in July 2022 set out the Government policy aims of enabling the "twin transitions" of digitalisation and decarbonisation of our economy and society, recognising the value of renewable energy and digital technologies to Ireland.

⁵¹ [Government Statement on the Role of Data Centres in Ireland's Enterprise Strategy - DETE](#)

In Proposed Decision CRU202504 it described how, in light of Government policy to support the “twin transitions” of digitalisation and decarbonisation of our economy and society, and the scale of data centre demand growth relative to the size of Ireland’s electricity system, the CRU is of the view that the step-change in energy requirements from LEUs requires a strategic approach to infrastructure development. It was described that, while this connection policy seeks to provide clarity on the pathway to connections in the near term, a longer-term approach is required to provide clear investment signals.

Initial feedback from the data centre market intelligence exercise performed by the system operators exercise suggests that there is potential for in the order of 5.8GW additional demand capacity required for the data centre sector in Ireland in the medium term. This is in addition to demand already contracted. The CRU is of the view that the scale of potential LEU development requires a longer-term State-led approach encompassing spatial planning for data centres, along with targets-based and plan-led infrastructure development, which drives synergies between energy, environmental and enterprise policy. This will help to ensure that the utility infrastructure (e.g. energy, communications, water etc.) required to meet growing demands will be planned in a coordinated and efficient manner, and will provide certainty to the investment community in relation to planning of future projects. As part of this approach consideration should be given to the associated costs and benefits, and any potential risks arising from high volumes of similar demand customer types.

In Proposed Decision CRU202504 it described how as part of the National Energy Demand Strategy (NEDS) decision⁵², the CRU outlined one of the key recommendations for Government Departments, particularly DCEE and DETE, to support the implementation of the NEDS as follows:

1. Consider a national strategic approach for the facilitation of new LEU connections

Consideration to be given to a national strategic approach for the planning of large demand customers and associated infrastructure requirements (e.g. energy, water, broadband, transport etc.), the associated costs and benefits, and any potential risks arising from high volumes of similar demand customer types.

Some respondents to Proposed Decision CRU202504 emphasised the importance of a State-led approach to energy policy development, advocating for structured guidance and coordination across government departments and agencies. This approach was seen by

⁵² CRU – July 2024 - National Energy Demand Strategy decision - link [here](#)

respondents as essential for ensuring successful implementation of policies and infrastructure development. Some respondents described a State-led approach as a means to bring together industry stakeholders, public agencies, and private entities to achieve holistic and efficient policy implementation. The State-led approach was described as requiring strategic infrastructure and spatial planning, and aiming to improve coordination, reduce delays, and support the transition to net-zero energy systems. This includes aligning energy generation, consumption, and spatial policies. It was described that while a State-led approach provides structured guidance, concerns were raised about the potential rigidity of this approach and the risk of stifling innovation. The key recommendations arising from the feedback to Proposed Decision CRU202504 are that a State-led approach should:

- Clarify leadership and oversight: Establish which department or public authority will coordinate a State-led approach, ensuring a clear mandate and streamlined decision-making processes.
- Confirm legal basis and regulatory scope: Address questions regarding statutory powers, particularly in relation to Section 15(1) of the Climate Act.
- Promote cross-Governmental coordination: Ensure alignment between relevant departments and agencies to support coherent policy implementation and avoid fragmentation.
- Integrate spatial and infrastructure planning: Align land-use, zoning, and development strategies to support the effective rollout of priority infrastructure.
- Balance strategic certainty with operational flexibility: Design the approach to provide clear long-term direction while allowing for responsiveness to evolving technologies, demand patterns, and market conditions.

In the CRU's view a strategic State-led approach to economic development and coordinated infrastructure delivery can address some of the challenges being faced in terms of grid capacity and security of supply in the medium to long term.

7.1.3. *Renewable generation*

Proposed Decision CRU202504 described how Ireland has significant renewable energy potential with a non-binding target of up to 37GW of offshore wind, 12GW of onshore wind⁵³ and up to 12GW of utility scale solar PV to be developed by 2050. Respondents to Proposed

⁵³ EirGrid SONI – 2024 - Tomorrow's Energy Scenarios 2023 – [link here](#)

Decision CRU202504 cited the potential role of data centres in supporting decarbonisation. Many respondents emphasised the importance of integrating data centres with renewable energy sources. Many respondents emphasised the importance of co-locating data centres with renewable energy sources to enhance efficiency and reduce costs. Suggestions included encouraging data centres to invest in renewable energy, storage, and energy efficiency.

Some respondents to Proposed Decision CRU202504 favoured evolving policies to adapt to technological advancements and market needs. The need for clear pathways to achieve net-zero emissions, including the adoption of renewable energy technologies, performance-based incentives, and strategic planning for energy transition was highlighted. Some respondents raised concerns about the lack of a comprehensive energy transition masterplan and the need for clarity in policy timelines, with many suggesting collaboration among planning agencies and stakeholders to align infrastructure development with renewable energy goals.

As described above in Section “3.5 Renewable Electricity Requirement” the CRU has made a decision to require data centres to meet at least 80% of their annual demand with additional renewable energy generated in the Republic of Ireland. This level is based on national renewable energy targets and security of supply considerations. This renewable generation could be facilitated via CPPA or directly developed renewable assets. This will help ensure additionality of renewables e.g. renewable energy projects not facilitated through RESS. The CRU may review these renewable energy requirements in the future based on developments such as changed national renewable energy targets.

In Call for Evidence CRU202357 and Consultation CRU2024001 the CRU described the potential use of timestamped Guarantees of Origin (GOs) and/or renewable credits towards facilitating meeting possible future real-time zero emission requirements. It was described how there is ongoing work being carried out in this area. Previous feedback referenced the EnergyTag initiative to track renewable energy, and energy from storage in a way which is linked to the place the energy is generated or stored as well as to the time it is fed into the grid. In the proposed decision CRU202504 the CRU noted Action EL/24/22 in the 2024 Climate Action Plan that sets out that SEAI /CRU /EirGrid /ESBN are to deliver the ‘Implementation of enhanced emissions reporting framework for electricity emissions for large energy users and the system operators dispatch actions’. As part of this action, SEAI published the ‘LEU electricity emissions reporting framework – Recommendations for design and implementation’. As systems and products are developed to facilitate the transition to real-time requirements for net-zero energy use, the CRU may review the renewable energy requirements set out in this policy.

7.1.4. Generation Adequacy

As outlined in Proposed Decision CRU202504 Ireland has significant targets for renewable generation which exceed current projections for electricity demand. As these projects are built out, along with the development of the electricity grid and other capacity procured through auction processes, the requirements as deemed necessary for new data centre connections in this policy decision may be reviewed. EirGrid will continue to monitor the adequacy of the electricity system. The requirements associated with generation adequacy set out in this policy may also be reviewed in the future. Consideration may also have to be given to the interaction if any, with any potential future State-led approach for the development of data centres in Ireland.

7.1.5. Additional flexibility products and markets

As described in Proposed Decision CRU202504 and Section 3.7 above, the development of further flexibility products and markets can help unlock the flexibility potential of LEU demand while at the same time providing beneficial revenue returns. Some respondents to Proposed Decision CRU202504 emphasised the importance of making demand flexibility a mandatory requirement in new policies. Other respondents suggested that flexibility should be incentivised through market mechanisms rather than imposed as a penalty/requirement. Some respondents cited benefits of demand flexibility such as enhanced system efficiency, reduce carbon emissions, and optimised renewable energy usage.

As further developments emerge in the area of demand flexibility, and as the SO systems and controls evolve, the CRU may review the need for mandatory flexibility provisions in future.

7.1.6. Connection charging

As the profile of demand customers changes, there may be benefit to carrying out a review of connection charging policy to ensure an appropriate balance can continue to be struck between upfront connections costs and charges & tariffs paid over the lifetime of the connection.

8. Next steps

Decision and SO direction

This paper sets out the CRU's decision in relation to the new LEU connection policy. These decisions will apply to all new connection applications for new or additional capacity captured under the scope of the decision. Direction CRU/21/124 is now superseded by this new direction to the SOs. The SOs will update the relevant policies and processes required for implementation of this decision.

SO connection process

The SOs will publish an engagement and connection process for data centre connection applicants based on this decision by 31 March 2026. Once published new applicants will then have the transparency and clarity required to advance new possible data centre connection applications.

Publication of network information

Following on from this consultation, the Commission requires the SOs to publish regular up to date locational information (existing and outlook) in relation to the availability of capacity on the electricity network and network constraint. The SOs are to provide initial proposals in relation to these requirements, including how to capture interaction between the transmission and distribution systems, by 31 March 2026.

Gas

The CRU is not proposing to introduce any new decisions relating to connections to the gas network as part of this review process. However, the CRU does acknowledge the need to consider what changes may be required in this regard and is actively engaging with Gas Networks Ireland to progress the potential introduction of an interruptible gas capacity product and proposes to consult separately on this topic in the near term.

Medium term

In the CRU's view a strategic State-led approach to economic development and coordinated infrastructure delivery can address some of the challenges being faced in terms of grid capacity and security of supply in the medium to long term. The CRU will work with the relevant Government departments and agencies to support any such developments in this area.

Appendix A – Summary of proposed decision feedback

The CRU received 81 responses to the Proposed Decision on Review of Large Energy Users Connection Policy (CRU202504), with 9 of these marked as confidential. 72 of these responses are published alongside this consultation paper. The respondents (76) are listed below (excluding identifiable members of the public):

American Chamber of Commerce	Gas Networks Ireland
An Taisce	Greengate Biogas
Art data centres	Herbata Limited
ARUP	Hitachi Energy Ireland Limited
Bitpower Energy Solutions	Hydrogen Ireland Association
Bord na Móna	IBEC
Bord Gáis Energy	IDA Ireland
Captured Carbon Ltd	Ireland Electrified
Cloud Infrastructure Ireland	Keppel DC REIT Ireland
Clarke Energy Ireland Limited	Lumcloon Energy Ltd
Cement Manufacturers Ireland	Lynn Boylan MEP
Codema	Mainspring Energy
Community Law & Mediation	Mark Foley Strategic Solutions Ltd
Constant Energy Ltd	Mayo Renewables Ltd
Cork Chamber of Commerce	Mission Critical E2 Ltd
CyrusOne Irish Datacentre Holdings Ltd	Nephin Renewable Gas
Digital Infrastructure Ireland	Net Zero Energy
Electricity Association of Ireland	Not Here Not Anywhere
EirGrid	NTR plc
EDF renewables	Ocean Winds and BnaM
Echelon Data Centres	Oriel Windfarm Ltd
Energia	Pure DC
EnergyTag	RE24 Limited
EngineNode	Rengen Power
Engineers Ireland	Reverve Energy
EP UK Investments Ltd	Safety Before LNG & Future Proof Clare
Environmental Protection Agency	SBM Offshore
Equinix	Shannon Energy Corporation
ESB Customer Solutions	Siemens Energy Ltd
ESB Generation & Trading	Simply Blue Group
ESB Networks	Soleire and EngineNode
Fingleton White & Co. Ltd	South Dublin Chamber
Fluence Energy	South Dublin County Council
Finsbury Infrastructure Ltd	SSE
Friends of the Earth	Statkraft Ireland Ltd.
	Uisce Eireann

Friends of the Irish Environment
FuturEnergy Ireland

Wind Energy Ireland and Energy Storage Ireland
Vantage data centres

The following section provides a high-level summary of some of the key messages received through feedback to each question of proposed decision CRU202504.

The CRU has fully considered all submissions made in response to Proposed Decision CRU/202504 as part of the process of setting the connection policy set out in this Decision Paper. While it is not possible to include every detail of each submission given the detailed nature of many of the submissions received, this summary is provided by way of assistance to readers.

Q1. Comments are invited from interested parties in relation to the topics covered in Section 2 Constrained regions of the electrical system and security of supply.

Many respondents discussed the significant challenges posed by network constraints, particularly in the Greater Dublin Area. It was described how these constraints affect grid capacity, security of supply, and the ability to accommodate new connections, including data centres. It was described that the Greater Dublin Area, including counties Dublin, Meath, and Kildare, were identified as a Tier 1 location for data centre connectivity. However, significant network constraints exist, requiring detailed maps, timelines for grid investments, and strategic planning to address these issues effectively.

In response to these challenges some respondents suggested publishing detailed maps of constrained areas, conducting cost-benefit analyses, and implementing measures such as self-generation, storage, and flexible resources to alleviate congestion. Some respondents also proposed self-generation capabilities, battery energy storage systems, and generation fuelled by hydrogen to transform data centres into active contributors to grid stability. Stakeholders emphasised the need for transparency and flexibility in planning and decision-making.

Stakeholders highlighted the need for a State-led strategic approach to address the challenges of data centre growth. It was indicated that this approach would balance economic benefits with infrastructure upgrades and ensure alignment with national policy objectives. Stakeholders stressed the importance of coordinated energy policies across government departments. There was strong support from some respondents for conducting

a market intelligence exercise to gather data on electricity and gas demand from data centres. Stakeholders emphasize the importance of publishing anonymised findings from the market intelligence exercise to inform future policy and planning.

Data centres were identified by some respondents as major contributors to electricity demand and network constraints. It was described how rapid growth in data centres is surpassing the pace of grid infrastructure development, creating pressures on the network. Concerns were raised about the impact of unconstrained growth on infrastructure, resilience, and investor confidence. Some stakeholders recommend prioritising security of supply and integrating renewable energy solutions to support sustainable growth. Some respondents described the economic benefits of data centres, foreign direct investment, and the need for clear, stable, and predictable energy policies. Some respondents described that balancing economic growth with sustainability and security of supply is essential.

Some respondents discussed the impact of data centres on CO₂ emissions, decarbonisation targets, and the importance of sustainable development. Recommendations included prioritising projects that contribute to GHG emissions savings and transitioning data centres into contributors to grid stability and sustainability.

Some respondents called for increased transparency in planning and consultation processes, publishing findings of market intelligence exercises, and engaging stakeholders to address challenges effectively. Suggestions include clarifying definitions and timelines for grid investments. Some respondents underscored the importance of clear and predictable energy policies to support future development of data centres and other large energy users. It was suggested that these policies should ensure sustainable growth, avoid retroactive measures, and foster innovation while addressing network constraints and achieving climate targets.

Q2. Comments are invited from interested parties in relation to the topics described in Section 3 Proposed decision on electricity connections.

The below text summarises some of the key themes discussed by respondents.

Who policy applies to

In terms of who the policy should apply to, some respondents emphasised the need for clear definitions and classifications of data centres and LEUs. A number of respondents agreed with the proposed approach of this policy applying exclusively to data centres. It was stated that this is justified given the relatively small size of the SEM, and the growing proportion of total electricity demand utilised by data centres. It was also highlighted that it is important that the beneficial role data centres can play the electricity system as a whole is recognised. It was described by one respondent that they recognise the impact that data centres have on a grid such as Ireland's, but any targeted policy should only apply over a certain MIC. While another respondent stated policy should apply to all data centres regardless of size and without a de minimis level being introduced. Some respondents proposed distinguishing between hyperscale, wholesale, and retail data centres, and ensuring policies do not inadvertently affect other LEU types like biomethane plants. It was described that hyperscale self-build represents three-quarters of the existing data centre footprint in Ireland, with over half of Ireland's operational data centres below 10 MW IT capacity. It was stated these data centres have less than 18% of the total MIC power capacity of all operational data centres in Ireland, with data centres above 10 MW IT having 82% of the MIC capacity. Some respondents discussed including minimum connection thresholds, setting thresholds for MIC and energy usage, and clarifying policies for different types of data centres. Some respondents raised concerns about policies targeting data centres exclusively, with suggestions that this policy should apply to all LEUs. These respondents highlighted the importance of non-discrimination and the need for balanced approaches to energy consumption and decarbonisation goals. Some respondents called for regulatory clarity on connection policies, thresholds, and their application to existing and new facilities.

Proximate generation

Many respondents emphasised the need for a clear and precise definition of the term 'proximate generation'. Suggestions include defining it as either geographically or electrically proximate, with some advocating for a radius-based or substation-based approach. Suggestions include defining it as assets connected at the same electrical node or within a specific radius, and clarifying its implications for grid stability and planning. It was suggested that the lack of clarity had caused confusion among stakeholders. Some respondents expressed concerns about the feasibility of meeting proximate generation requirements due to planning, financial, and logistical challenges. The economic and operational challenges of implementing proximate generation were discussed, some respondents cited issues like the

complexity of SEM participation, the economic viability of small-scale generation, and the burden on data centres to construct generation facilities. Some respondents suggested incorporating renewable energy and storage solutions into proximate generation to enhance sustainability and decarbonisation.

Derating factors

Many respondents expressed concerns about the application of de-rating factors to generation and storage. Some respondents argued that de-rating factors can change over time, creating uncertainty for planning and investment. Some respondents suggested fixing de-rating factors before planning to ensure proper sizing of generation and demand load. Many respondents stated that current de-rating levels for storage are too low, making it economically unviable. Some respondents suggested applying more favourable de-rating factors for storage to encourage participation in the market. Some respondents highlighted that de-rating factors influence the economic feasibility of participating in the Single Electricity Market (SEM). They argue that overly stringent de-rating requirements could deter investment in renewable and storage technologies, potentially undermining the goals of decarbonisation and energy security. Some respondents proposed up-rating factors for storage or reducing the de-rating requirements for renewable generation outside of support schemes. Some respondents suggested that de-rating factors should account for the performance and availability of generation without imposing stricter requirements. Some respondents requested more detail on how de-rating factors will be applied, particularly for new technologies like Battery Energy Storage Systems (BESS), emphasising the importance of transparency to avoid unintended market distortions.

Participation in the SEM

Some stakeholders expressed concerns about the requirement for data centres to participate in the SEM. Some respondents suggested that SEM participation introduces significant financial and logistical burdens, potentially undermining the business case for data centres. Concerns included the need for major capital expenditures and the risk of unintended consequences in the market. Some respondents argued that mandatory participation may render projects commercially unviable and misaligned with long-term energy strategies. Some respondents suggested allowing non-market-integrated on-site

generation, to reduce barriers while ensuring system flexibility and reliability. In relation to the capacity market, some respondents expressed concerns about the mandatory requirement for data centres to participate in the CRM, citing increased complexity, cost, and planning challenges. Some respondents suggested that this requirement may deter investment and proposed alternative approaches to ensure flexibility and reduce burdens. Some respondents emphasised the need for clarity on how CRM participation integrates with planning frameworks, grid codes, and regulatory processes. Some respondents requested detailed guidance on ramping requirements, capacity allocation, and the impact on the demand curve. Some respondents sought clarity on the effect the entry of new demand may have on the capacity auction demand curve.

New generation

A number of respondents emphasised the need for explicit definitions and clarity regarding what constitutes 'new generation.' Some respondents requested that the policy explicitly state whether new generation is required and how it will be defined, including its eligibility for capacity auctions and contracts. Some respondents expressed concerns about the economic feasibility of requiring new generation. They highlight issues such as high capital expenditure, planning complexities, and the potential for making data centre projects commercially unviable.

Ramping/timing requirements

Some respondents raised concerns about the practicality of ramping requirements, including the need for significant capital investment and the lack of clear guidance on ramp rates, intervals, and milestones. It was suggested that ramping requirements may lead to oversupply of gas-fired generation and pose operational challenges. Some respondents suggested replacing linear ramp-up provisions with milestone-based approaches tied to grid connection and system needs. Some respondents proposed allowing phased compliance to align generation capacity with operational scale-up. Ramping requirements were seen as adding complexity, time, and cost to data centre developments. Some respondents emphasised the importance of clear definitions for ramping requirements, with clarity needed to ensure alignment with market and regulatory frameworks.

Separate connections

A number of respondents support the requirement for onsite/proximate generation to be independently connected to the grid rather than directly to the data centre. This approach is seen as beneficial for ensuring system reliability and optimising the use of dispatchable energy plants. However, some respondents raised concerns about the practicality and economic viability of separate connections for onsite/proximate generation. Issues raised include increased complexity, cost, and planning challenges, as well as the potential for inefficiencies in the system. One respondent highlighted the need for significant infrastructure investment due to the requirement for a separate grid connection for each generator, resulting in increased capital expenditure for data centres and grid operators. It was described how this setup introduces inefficiencies in energy use, as power generated on-site must first be exported to the grid before it can be consumed by the data centre, causing an unnecessary transmission and/or distribution loss. This respondent suggested that a more technically and economically efficient approach would be to integrate onsite generation directly with LEU demand. Some respondents requested clearer definitions and guidelines for separate connections, including what constitutes 'proximate' generation and how these connections will be implemented in practice. Stakeholders emphasised the need for detailed rulesets and regulatory clarity to avoid misinterpretation and ensure effective implementation. There were concerns about the economic and operational implications for data centres, particularly regarding market integration and compliance requirements.

Reliability and performance of generation assets

A number of respondents provided feedback about the reliability of generation assets, including the need for clear performance criteria, maintenance standards, and the ability to meet demand during outages. Some respondents emphasised how reliability is critical for ensuring uninterrupted operations and meeting system requirements. Some respondents noted that it is in the interest of large energy users to maintain their systems to ensure consistent performance and availability of the related generation. Concerns were raised about the impact of outages and run-hour limitations. Some respondents requested clarity on performance metrics, it was suggested these metrics are critical for planning and investment decisions and ensuring generation assets meet operational needs. It was suggested that de-

rating factors for generation already account for the performance and availability of generation, so stricter requirements are not justified. It was suggested that this generation should have the same SEM rules applied to its participation as that of other Generators in the market, including performance and availability requirements. This respondent did not see a justification for a difference in treatment, especially if such treatment led to an increased risk of capacity not being physically available for suppliers to meet their demand.

Requirement to match MIC

Some respondents expressed concerns about the requirement for data centres to provide onsite or proximate generation matching their Maximum Import Capacity (MIC). These respondents suggested that this requirement is overly onerous, economically unviable, and introduces significant financial and logistical burdens for developers. It was described as a potential deterrence for data centres to locate in Ireland. Some respondents proposed alternative approaches they consider more flexible and economically viable to meet energy requirements without mandating strict MIC matching. One alternative approach involved enabling shared generation units for multiple data centres, integrating renewable energy and storage solutions, and adopting non-market-based models to meet MIC requirements. It was suggested this would reduce costs and complexity while supporting decarbonisation. Some respondents suggested the proposed requirements are seen as adding significant complexity to planning and investment processes, emphasising the need for a balanced approach that considers the commercial and operational realities of data centre developments.

Future proofing technology

Some respondents favoured ensuring generation technologies are adaptable to future energy needs, including compatibility with renewable energy sources like biomethane and hydrogen. Some respondents favoured technology-agnostic policies to accommodate emerging solutions and innovations. Some concerns were raised about the long-term sustainability of fossil fuel replacements (e.g. HVO) and the importance of decarbonising fuel sources over time. Some respondents suggested leveraging advanced technologies like floating power barges and energy park arrangements.

Location

Some respondents emphasised the importance of location in data centre development, including proximity to renewable energy sources, unconstrained areas, and the Greater Dublin Area. Some respondents criticised the blanket categorisation of areas like Dublin as constrained, suggesting a more nuanced, site-specific approach to assessing constraints and connection applications to better reflect local conditions and opportunities. Some responses highlighted the need for flexibility in locational policies, suggesting that overly rigid constraints could hinder innovation and development. Some respondents called for the need for principled, site-specific assessments and avoiding overly restrictive locational policies. Some respondents suggested proposals like removing blanket constraints, assessing connections on a site-specific basis, and incentivising data centres to locate in less-constrained regions. A number of respondents to Proposed Decision CRU202504 stated the “Constrained Area Construct” is redundant in a context where LEU’s have independent generation coupled with the capability to deliver a “real-time” flexible connection to the System Operator. These respondents suggested that maintaining this construct will exclude most developments, existing and planned, and amounts to an effective retention of the current moratorium. Some respondents favoured the co-location of data centres with renewable energy generation and storage facilities to minimise grid constraints and enhance energy efficiency. Some respondents favoured energy park developments and private wire solutions to support clean energy integration. Many respondents favour adopting a plan-led approach, aligning policies across government departments.

Many responses emphasised the importance of SOs providing regular, transparent updates on network constraints. Suggesting the inclusion of detailed, color-coded maps, indicative timelines for grid reinforcements, and clarity on constrained and unconstrained areas to aid in planning and decision-making. Some respondents requested more granular and specific information, such as substation-level details, to better understand constraints. They also advocated for clear criteria and rulesets to ensure predictability and transparency in connection assessments. It was suggested that regular updates on network constraints are seen as crucial for facilitating investment and planning. Some respondents suggested this will help in aligning demand with available capacity, reducing inefficiencies, and supporting the development of renewable energy projects.

Emissions reporting

Many respondents emphasised the importance of renewable energy procurement and emissions reporting. Many respondents emphasised the importance of aligning self-reporting requirements with existing EU directives, such as the Energy Efficiency Directive (EED) and Corporate Sustainability Reporting Directive (CSRD). This ensures consistency and avoids duplicative reporting. There was general support for utilizing existing reporting mechanisms, such as EPA and ETS requirements, to ensure efficiency and consistency in sustainability reporting. Some submissions expressed concerns about the potential for greenwashing, particularly with the use of guarantees of origin in renewable reporting mechanisms. Some suggested stricter standards to maintain credibility. Several respondents highlighted the need for streamlined reporting mechanisms to reduce administrative burdens. It was suggested a single repository could be used for annual reporting and avoiding duplicative requirements. Some respondents stressed the importance of transparency in reporting, advocating for independent audits and public availability of data to ensure accuracy and build trust.

Some respondents mentioned CPPAs as a key mechanism for renewable energy sourcing. CPPAs were highlighted by some respondents as a significant mechanism for data centres to meet renewable energy goals, with commitments made by some respondents that equate to at least 30-50% of site electricity demand through CPPAs. The use of CPPAs were described as essential for achieving decarbonisation objectives and transitioning to low or zero carbon energy sourcing. Concerns were raised by some respondents about the administrative burden and compliance costs associated with CPPAs. Some respondents cautioned against barriers that may discourage participation in the Irish market and emphasised the need for clear frameworks and incentives to support CPPAs effectively. Some respondents proposed more ambitious goals for CPPAs, including real-time net-zero energy matching and hourly emissions reporting. It was suggested a glide path could be developed toward achieving 24/7 renewable energy matching.

Legal advice / mandate

A number of respondents highlighted concerns about the CRU's interpretation of its legal mandate under the Climate Action and Low Carbon Development Act. Some respondents criticised the CRU for not prioritising low-carbon objectives and for perceived

policy uncertainty. Some called for the CRU to take a more proactive role in promoting decarbonisation and aligning its decisions with climate laws and goals. Some respondents urged the CRU to align its policies with climate objectives, address legal ambiguities, and ensure compliance with national and international climate commitments. Several respondents questioned the CRU's assertion that it lacks a sufficient legal basis to mandate emissions reduction measures. Some respondents suggested that this interpretation contradicts legal precedents and the principles of the Climate Act, urging the CRU to seek legal advice and clarify its position. Some respondents expressed disappointment with the CRU's approach, urging it to engage with the government, address legal shortcomings, and revise its policies to better align with climate objectives and legal obligations. Some respondents criticised the CRU's policies for potentially hindering Ireland's ability to meet its national and international climate targets. Some respondents emphasised the importance of aligning connection policies with decarbonisation goals to avoid damaging Ireland's reputation in renewable energy and climate action.

Environment

Concerns were raised by some respondents about the impact of data centre development on Ireland's climate goals. Some respondents recommended imposing moratoriums on new developments, requiring emissions modelling, and ensuring data centres contribute positively to decarbonization efforts. Some respondents emphasised the importance of integrating renewable energy into data centre operations and large energy users (LEUs). Some respondents suggested mandating renewable energy use, promoting corporate PPAs, and ensuring renewable energy additionality to meet Ireland's climate targets. Some respondents raised concerns about policy uncertainty, including the CRU's change in focus from renewable energy to dispatchable generation. Some respondents stressed the need for clear guidance and robust policies to support decarbonisation.

Economy

Some respondents described how data centres have significantly contributed to Ireland's economy, generating billions of Euro in economic benefits, creating thousands of jobs, and supporting ICT services exports. It was described how their development is vital for Ireland's

position as a global technology hub. Some respondents stated the location of data centres near interconnected metro areas is critical for their success. Ireland's foundational infrastructure offers opportunities for digital investment, but competition with other jurisdictions must be considered.

Some respondents stated AI-driven data centre investments present opportunities for Ireland, but persistent uncertainty could push industries to other European markets. It was suggested that clear policies are needed to capture these opportunities and mitigate risks. Some respondents stated that energy policy uncertainty and grid connection challenges are deterring Foreign Direct Investment and data centre expansion in Ireland. It was suggested that addressing these issues is crucial to maintain Ireland's attractiveness for investment. Some respondents stated that while data centres are essential for economic growth, their expansion must align with Ireland's climate goals. Some respondents suggested failure to meet climate targets could lead to economic instability and higher energy costs.

Integration of renewables and storage

Many respondents emphasised the importance of integrating renewable energy sources into data centre operations. Some respondents suggested approaches like mandating battery storage instead of fossil fuel generation, encouraging renewable energy installations, and allowing data centres to connect to renewable parks via private wires, with these measures aiming to enhance sustainability and decarbonization. Some respondents argued that a SEM participation requirement may hinder renewable energy integration and proposed more flexible, non-market-based models to support renewables. Some respondents voiced strong support for technologies like Long Duration Energy Storage (LDES) and battery systems to aid in decarbonisation. Some respondents highlighted the need for policies that encourage the use of non-fossil fuel dispatchable generation and energy storage to align with renewable energy goals.

Some respondents recommended measures like creating a fit-for-purpose private wire policy, enabling real-time responsiveness between LEUs, renewable developers, and system operators, and ensuring that renewable energy projects are economically viable through improved de-rating factors and regulatory support.

Q3. Comments are invited from respondents as to whether there should be a minimum level in terms of MIC below which this policy, or elements thereof, should not apply and, if so, what would be a reasonable minimum level of MIC?

Some respondents suggested different minimum Maximum Import Capacity (MIC) thresholds for data centres, ranging from 1 MW to 20 MW, with arguments for different levels based on technology, system risk, administrative burden, and the impact on smaller facilities. Some respondents raised concerns about the potential negative effects of strict policies on smaller data centres, including SMEs and local facilities. Some respondents suggested varying requirements based on connection types, such as distribution-connected facilities versus transmission-connected facilities, with this differentiation aiming to balance system demand and grid stability.

Some respondents suggested including exemptions or less stringent requirements for smaller facilities to avoid stifling growth and innovation. Some respondents highlighted the risk of applicants splitting projects into smaller parts to bypass thresholds. Some respondents recommended solutions like regulatory clarity and aggregated treatment of multiple applications for the same project to mitigate this risk. It was suggested gas and electricity consumption / demand should be coordinated to inform a de-minimis level e.g. 50MWth would relate to 20MW_e. Some respondents did not support the setting of a minimum level, in terms of MIC below which this policy would not apply.

Q4. Comments are invited from respondents on the proposed approach of providing the System Operators with the ability to require demand flexibility from data centres on the local system as deemed necessary on a case-by-case basis.

Many respondents emphasised the importance of making demand flexibility a mandatory requirement in new policies. It was suggested that this would enhance system efficiency, reduce carbon emissions, and optimise renewable energy usage. Many respondents suggested that flexibility should be incentivised through market mechanisms rather than imposed as a penalty/requirement. Some respondents supported the use of market-based mechanisms to encourage demand flexibility. Some respondents highlighted the need for clear signals, incentives, and remuneration to ensure investments in flexibility are financially viable. Some respondents highlighted the importance of aligning these mechanisms with European Electricity Market Design Regulations. Some respondents raised concerns about

the cost implications and operational complexity of implementing demand flexibility requirements. Some respondents suggested that supports or incentives should be provided to mitigate these challenges and ensure equitable adoption.

Some respondents requested greater clarity on the criteria, parameters, and scenarios under which demand flexibility would be required. Some respondents requested transparent protocols and measurable standards to provide regulatory certainty and support investment decisions. Several respondents advocated for integrating renewable energy sources and storage solutions into demand flexibility strategies. Some respondents highlighted the potential of technologies like Battery Energy Storage Systems (BESS) and hybrid energy models to enhance grid stability and reduce reliance on fossil fuels.

Q5. Comments are invited from interested parties in relation to the topics described in Section 4 Gas connections.

The below text summarises some of the key themes discussed by respondents.

Interruptible gas products

Some respondents supported the development of interruptible gas capacity products for large energy users (LEUs), emphasising their role in balancing gas supply and demand. Some respondents suggested that such products could enhance grid stability and provide flexibility for LEUs. Several respondents expressed concerns about the application of interruptible gas contracts, particularly for projects providing dispatchable capacity. These respondents argued that reliance on interruptible gas connections could undermine energy security and operational reliability for data centres. Some respondents suggested the need for clear policies regarding interruptible gas products. Some respondents suggested that the CRU should provide explicit guidance on the use of these products and ensure coordination between gas and electricity system operators to avoid unintended consequences.

Islanded data centres

Respondents' views were divided on the issue of islanded data centres. Many respondents opposed the development of islanded data centres, citing concerns about their inconsistency with government policy, their negative impact on decarbonisation efforts, and their potential to hinder climate goals. Islanded data centres were described as a step backward in achieving a sustainable energy future. Some respondents criticised islanded data centres' reliance on gas connections for exacerbating dependence on fossil fuels, increasing greenhouse gas emissions, and slowing progress toward decarbonisation. Some respondents emphasised the need to transition away from fossil fuels to meet climate objectives.

Some respondents highlighted the lack of clear policy direction and legal basis for addressing gas connections for islanded data centres. Some respondents called for coordinated policies between gas and electricity connections and stressed the importance of aligning with climate action and energy policies. Some respondents discussed the economic implications of islanded data centres, including the risk of stranded assets, the need for long-term planning, and the importance of developing a mature renewable gas market. They also emphasised the need for coordinated infrastructure planning to avoid unintended consequences.

Some respondents described the use of islanded data centres as a transitional solution, provided they adhere to strict guidelines and timelines. Some respondents suggested that these gas connections could be used as a temporary solution for data centres while waiting for electricity grid connections/upgrade works. Some respondents proposed setting a maximum time limit for such interim use to ensure it remains a short-term measure.

Renewable gases

Some respondents highlighted renewable gases like biomethane and green hydrogen as essential components in achieving decarbonisation goals. Some respondents described them as critical for reducing emissions and supporting Ireland's transition to a sustainable energy system. Some respondents raised concerns about the limited supply of renewable gases in the medium term and the need for sustainable sourcing practices. Issues were raised such as biodiversity loss and the indirect land use change associated with biofuels was emphasised. Some respondents raised the need for sustainable sourcing and proper

certification to avoid biodiversity loss. Some respondents suggested the need for legislative backing to ensure renewable gases are sourced sustainably and utilised effectively.

Some respondents suggested long-term contracts and Corporate PPAs to support the biomethane and green hydrogen markets. Some respondents suggested the integration of biomethane and green hydrogen into gas and electricity networks as a way to enhance efficiency and reduce renewable electricity curtailment. Flexible gas network connections were suggested as integral to this process. Some respondents questioned the use of renewable gases for baseload electricity generation in data centres as an inefficient use. There was a call from some respondents to avoid long-term commitments to fossil fuels and ensure renewable gases are prioritised for harder-to-abate sectors.

Other

Several respondents stated there are inconsistencies in the proposed policies with existing laws and climate objectives. Some respondents called for clearer legal and regulatory frameworks, including the need for environmental assessments and alignment with national and European policies.

Many respondents stressed the importance of a coordinated approach between gas and electricity networks to avoid unintended consequences, such as increased gas connections due to electricity grid constraints. Some respondents called for better planning and communication between electricity and gas system operators.

Q6. Comments are invited from interested parties in relation to the proposed approach described in Section 5 Proposed direction to System Operators.

Some respondents discussed the assessment grid connection criteria for System Operators (SOs), noting changes and suggesting directions to improve grid access management. Some respondents suggested including more optionality in criteria application, flexibility in achieving goals, and the need for clear guidelines and performance standards. Several respondents emphasised the need for optionality in the directions provided to System Operators (SOs). Suggestions include allowing projects to meet only relevant criteria, enabling case-by-case assessments, and avoiding rigid requirements that could hinder grid

application progress. This optionality could include triggering requirements only when beneficial to the grid. Concerns were raised about the narrow and rigid criteria applied by SOs, which may place undue responsibility on applicants and restrict locational options. Suggestions include introducing flexibility mechanisms and broader criteria to address grid constraints effectively.

Some respondents raised challenges such as practical issues in connection agreements and engagement levels with system operators during the connection process. Some respondents emphasised the importance of stakeholder engagement through workshops, transparent review processes, and regular updates on policy and decision-making. It was suggested these measures could streamline connection applications and ensure clarity in SO operations. Some respondents recommended monthly workshops for stakeholders to engage with System Operators, discuss power system models, and streamline the connection application process. It was suggested these workshops would improve collaboration and feedback mechanisms. Some respondents suggested the direction should focus on incentivising renewable energy development, integrating renewables into the grid, and adopting holistic approaches to ensure system reliability and sustainability.

Some respondents raised the unilateral termination of connection applications as a significant concern, marking a divergence from established engagements and raising questions about fairness and transparency. Some respondents called for clear and published criteria for connection decisions, along with a transparent review and appeals process to ensure accountability and fairness in application termination. Some respondents called for clear guidelines, performance standards, and oversight by regulators to ensure compliance. Some respondents emphasised the need for clear and updated policies for data centre connection processes. Some respondents suggested reviewing and updating the Data Centre Connection Offer Process and Policy, outlining criteria for application acceptance, and ensuring transparency in decision-making.

Q7. Comments are invited from interested parties in relation to Section 6 Future potential evolution of LEU policy.

Some respondents cited the role of data centres in supporting decarbonisation. Many respondents emphasised the importance of integrating data centres with renewable energy

sources. Suggestions include co-locating data centres with renewable energy generation, implementing policies for 24/7 carbon-free energy alignment, and encouraging data centres to invest in renewable energy, storage, and energy efficiency. Some respondents favoured evolving policies to adapt to technological advancements and market needs. Recommendations included performance-based incentives, adaptive regulatory frameworks, and structured roadmaps for policy development.

Some respondents emphasised the importance of a State-led approach in energy policy development, advocating for structured guidance and coordination across government departments and agencies. This approach was seen as essential for ensuring successful implementation of policies and infrastructure development. Some respondents described a State-led approach as a means to bring together industry stakeholders, public agencies, and private entities to achieve holistic and efficient policy implementation. The State-led approach was described as linked to strategic infrastructure and spatial planning, aiming to improve coordination, reduce delays, and support the transition to net-zero energy systems. This includes aligning energy generation, consumption, and spatial policies. It was described that while a State-led approach provides structured guidance, concerns are raised about its potential rigidity.

Many respondents emphasised the importance of co-locating data centres with renewable energy sources to enhance efficiency and reduce costs. This includes enabling policies for renewable energy generation and storage, as well as aligning data centre operations with net-zero energy goals. Several respondents stressed the need for clear pathways to achieve net-zero emissions, including the adoption of renewable energy technologies, performance-based incentives, and strategic planning for the energy transition. Some respondents raised concerns about the lack of a comprehensive energy transition masterplan and the need for clarity in policy timelines. Some respondents suggested collaboration among planning agencies and stakeholders to align infrastructure development with renewable energy goals.

Other comments

The below text summarises some of the key themes discussed by respondents.

Infrastructure

Some respondents highlighted the need for upgrading Ireland's electricity grid to accommodate data centre demand while ensuring sustainability. Some respondents emphasised the need for significant upgrades to Ireland's electricity and gas infrastructure to support increased electrification and energy demands. Many respondents suggested private wire systems as a solution to reduce grid strain and support renewable energy integration. Some respondents recommended implementing private wire policies, encouraging their use for clean energy, and providing clear guidance on their role in infrastructure development.

Climate

Some respondents emphasised the need for data centre policies to align with Ireland's climate goals, including reducing greenhouse gas emissions, prioritizing renewable energy, and avoiding reliance on fossil fuels. Recommendations included implementing moratoriums, promoting renewable energy integration, and ensuring compliance with carbon budgets. Some respondents emphasised the need for data centres to adopt renewable energy sources, such as wind and solar, and to implement real-time net-zero reporting. Some respondents proposed incentivised renewable energy use through CPPAs and creating a roadmap for achieving 24/7 renewable energy matching. Some respondents called for a robust legislative and regulatory framework to align data centre policies with climate goals.

A number of respondents to Proposed Decision CRU202504 raised the possible need for a Strategic Environmental Assessment (SEA). It was suggested that the proposed decision is a plan or programme for the energy sector which sets the framework for data centres, and as such that it comes within the scope of the EIA Directive. Therefore, it was suggested an environmental assessment is required under the SEA Directive. Another respondent highlighted that the Government Statement on the Role of Data Centres in Ireland's Enterprise Strategy, despite being repeatedly utilised as a basis, framework and justification for further data centre development, was never subject to a SEA per EU Directive 2001/42/EC. This respondent suggested that to their knowledge no SEA screening was conducted.

Stranded assets

Several respondents highlighted concerns about stranded assets due to cancelled connection applications, sunk costs, and lack of firm power availability. It was described that these issues were linked to significant investments in permitting and site development that remain unutilised, creating uncertainty for developers and investors. Some respondents raised concerns about the negative message sent to potential foreign investors due to stranded data centre assets and terminated applications. It was suggested addressing these issues is seen as critical to maintaining Ireland's reputation as a trustworthy investment location. Some respondents suggested creating a cross-functional task force to resolve stranded investment cases, implementing structured dialogue among stakeholders, and adopting a more dynamic approach to connections to support electrification and reduce stranded data centre capacity.

Some respondents emphasised the importance of distinguishing between advanced-stage projects with significant investments and speculative projects. It was suggested that prioritisation should be given to consented more advanced developments to prevent loss of digital infrastructure and stranded assets.

Policies and collaboration

Some respondents requested clear, transparent, and structured policies for data centre connections, including timelines, appeals mechanisms, and alignment with national and EU regulations. Concerns were raised about the economic and social implications of data centre growth, including increased electricity costs for consumers, energy security, and equitable access to resources. It was recommended to prioritise projects with social benefits. Many respondents emphasised the importance of collaboration among stakeholders, including the CRU, government, and industry. Some respondents called for transparency in decision-making and clear timelines.

Some respondents identified many key stakeholders these include the CRU (Commission for Regulation of Utilities), EirGrid, SOs (System Operators), An Bord Pleanála, Planning Authorities, EPA (Environmental Protection Agency), and the Government. These entities were highlighted for their roles in policy development, implementation, and regulation of data centre connections and energy infrastructure.